

VFD GROUP PLC
CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
31 DECEMBER 2025

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CORPORATE INFORMATION

DIRECTORS:

Mr. Olatunde Busari (SAN)	Chairman
Mr. Nonso Okpala	Group Managing Director
Mr Folajimi Adeleye	Executive Director (Appointed 9th June 2025)
Mrs Morenike Ominike	Executive Director
Mr. John Okonkwo	Executive Director (Resigned effective 31st May 2025)
Mr. Azubike Emodi	Non- Executive Director
Mr. Mobolaji Adewumi	Non- Executive Director
Mr. Kelvin Orogun	Non- Executive Director
Mr. Hubert Asamoah	Non- Executive Director
Mr. Abe Ibraheem	Non-Executive Director
Mr. Adeniyi Adenubi	Non- Executive Director
Mr. Chuks Ozigbo	Non- Executive Director (Resigned effective 8th May 2025)
Mr. Adegboyega Fatoki	Independent Non- Executive Director
Ms. Omolola Bolusire	Independent Non- Executive Director
Dr. Nneka Okekearu	Independent Non- Executive Director
Ms. Rashida Saleh	Independent Non- Executive Director

RC No. RC 829196

COMPANY SECRETARY: Oluwagbeminiyi Shoda

REGISTERED OFFICE: 8, MacGregor Road
Ikoyi
Lagos

BANKERS: United Bank for Africa Plc
Zenith Bank Plc
First Bank of Nigeria Limited
Providus Bank Plc
Access Bank Plc
VFD Microfinance Bank Limited
Sterling Bank Limited
Abbey Mortgage Bank Plc

AUDITORS: PricewaterhouseCoopers
FF Millenium Towers
13/14 Ligali Ayorinde Street
Victoria Island
Lagos, Nigeria

CORPORATE GOVERNANCE REPORT

VFD Group Plc holds good governance as one of its fundamental pillars and confirms its commitment to the implementation of effective corporate governance principles in its business operations.

The Corporate Governance Report contains detailed information on the VFD Group PLC's (VFD Group) governance structures, policies, and practices, as well as environmental and social risks which is in compliance with the Securities and Exchange Commission's Code of Corporate Governance for Public Companies of 2011, the Nigerian Code of Corporate Governance of 2018, the Rules and Regulations the Nigerian Exchange Limited, the Investment and Securities Act (ISA) 2025, the Companies and Allied Matters Act 2020 as may be amended from time to time and global best practices in relation to its governance framework, culture and the activities of its Board of Directors, Executive Committee and Management Committee during the reporting period.

To promote effective governance of VFD Group, the following structures have been put in place for the execution of VFD Group's corporate governance strategy:

- Board of Directors
- Board Committees
- Executive Management Committees

COMMITMENT TO CORPORATE GOVERNANCE

The Company remains committed to institutionalizing Corporate Governance principles.

The Board operates in line with its responsibilities as contained in Regulatory Codes of Corporate Governance, the Articles of Association and the Companies and Allied Matters Act. Its oversight of the operations and activities of the Company are carried out transparently without undue influence.

Essentially, Corporate Governance depends on the quality and integrity of the Directors. Consequently, the Company has undertaken to create the institutional framework conducive for defending the integrity of its Directors and is convinced that on account of this, the Board of the Company is functioning in a highly effective manner. It is intended that Directors and Management would be continuously challenged to improve in areas where the need for improvement is identified.

a) THE BOARD OF DIRECTORS

As at December 31, 2025, the Board comprised five [5] Independent Non-Executive Directors including the Chairman, six [6] Non-Executive Directors and three [3] Executive Directors [including the Group Managing Director/Chief Executive Officer], all of whom bring a wide range of skills and experience to the Board. The Non-Executive Directors have the requisite integrity, skills, and experience to bring independent judgment to bear on Board deliberations and discussions. The members of the Board have competence and experience in Accounting, Investment, Risk Management, Legal, Planning and Strategy, Corporate Finance, Compliance, Information Technology and Business Administration. The Board of Directors act on behalf of shareholders and is responsible for controlling and managing the strategic business of the Company and constantly reviews and presents a balanced and comprehensive assessment of the Company's performance and prospects.

The Board is accountable to Shareholders and ensures that the conduct of the Company's activities is within the applicable regulatory framework. The Board of Directors carries out its responsibility through its standing Committees. These are the Board Corporate Governance & Nomination Committee, Board Finance & General-Purpose Committee, Board Audit Committee, Board Risk Management & Compliance Committee, Board Remuneration Committee and Board Investment Committee. Through the workings of these Committees, the Board sets broad policy guidelines and ensures the proper management and direction of the Group.

The guiding principles of the Company's Code of Corporate Governance remain as follows:

- All power belongs to the shareholders.
- Delegation of authority by the owners to the Board and subsequently to Board Committees and Executives is clearly defined and agreed.
- Institutionalized individual accountability and responsibility through empowerment and relevant authority.
- Clear terms of reference and accountability for Committees at Board and Executive levels.
- Effective communication and information sharing outside of meetings.
- Actions are taken on a fully informed basis, in good faith with due diligence and care and in the best interest of the Company and Shareholders.
- Enhancing compliance with applicable laws and regulations and the interest of the stakeholders. Where there is any conflict between the Company's rules and local laws and legislation, such local laws and legislation will supersede.
- Conformity with overall Company strategy and direction.
- Transparency and full disclosure of accurate, adequate and timely information regarding the personal interest of Directors in any area of potential conflict regarding the Company's business.

RESPONSIBILITY

The roles of the Chairman and Chief Executive Officer are separated and clearly defined. The Chairman is primarily responsible for the working of the Board whilst the Group Managing Director/ Chief Executive Officer is responsible for the running of the business and implementation of Board strategy and policy. The Group Managing Director is assisted in managing the business of the Group on a day-to-day basis by the Executive Management Committee, which he chairs and comprises all Executive Directors. The Board's primary responsibility is to increase shareholder wealth. The Board is accountable to shareholders and is responsible for the management of the relationships with its various stakeholders.

The Board regularly reviews group performance; matters of strategic concern and any other matters it regards as material. The Board is also responsible for the group's structure and areas of operation, investment policy and monitoring of investment and strategic commitments, performance management, financial reporting, ensuring there is an effective system of internal control and risk management and appointments to the Board. The Board has the authority to delegate matters to Directors, Board Committees, and the Executive Management Committee.

According to the Company's Articles of Association, the responsibility of managing the Company's business lies with the Board of Directors. The Board has the power to exercise any rights not reserved for the Company in general meetings, as required by statute or the Articles of Association. As of now, the Board consists of fourteen (14) members, an Independent Non-Executive Chairman heads the Board, and the Group Managing Director (GMD) leads the Company's management team as per the Board's mandate.

CORPORATE GOVERNANCE REPORT

1	Mr. Olatunde Busari [SAN]	Chairman/ Independent Non-Executive Director
2	Mr. Nonso Okpala	Group Managing Director
3	Mr. Adegboyega Fatoki	Independent Non-Executive Director
4	Ms. Omolola Bolusire	Independent Non-Executive Director
5	Ms. Rashida Saleh	Independent Non-Executive Director
6	Dr. Nneka Okekearu	Independent Non-Executive Director
7	Mr. Mobolaji Adewumi	Non-Executive Director
8	Mr. Azubike Emodi	Non-Executive Director
9	Mr. Kelvin Orogun	Non-Executive Director
10	Mr. Adeniyi Adenubi	Non-Executive Director
11	Mr. Hubert Asamoah	Non-Executive Director
12	Mr. Abe Ibraheem	Non-Executive Director
13	Mr. Folajimi Adeleye	Executive Director, Finance & Investors Relations
14	Mrs. Morenike Ominike	Executive Director- Operations

CONDUCT AT BOARD MEETINGS

Key:

P	= Present
AWA	= Absent with Apology
NYA	= Not Yet Appointed
R	= Resigned
NLC	= No Longer on the Committee
NAC	= Not Appointed to the Committee

The Board met six (6) times during the year ended 31 December 2025, and the attendance is represented below:

S/N	DIRECTORS	JANUARY 17, 2025	MARCH 25, 2025	JULY 29, 2025	SEPTEMBER 22, 2025	OCTOBER 28, 2025	DECEMBER 22, 2025
1.	Mr. Olatunde Busari [SAN]	P	P	P	P	P	P
2.	Mr. Nonso Okpala	P	P	P	P	P	P
3.	Mr. Adeniyi Adenubi	P	P	P	P	P	P
4.	Mr. John Okonkwo	P	P	R	R	R	R
5.	Mr. Abe Ibraheem	P	P	P	P	P	P
6.	Mr. Mobolaji Adewumi	P	P	P	P	P	P
7.	Mrs. Morenike Ominike	P	P	P	AWA	P	AWA
8.	Mr. Adegboyega Fatoki	P	P	P	P	P	P
9.	Ms. Omolola Bolusire	P	P	P	P	P	P
10.	Mr. Hubert Asamoah	P	P	P	P	P	P
11.	Mr. Azubike Emodi	P	P	P	P	P	P
12.	Ms. Rashida Saleh	P	P	P	P	P	P
13.	Mr. Chuks C. Ozigbo	P	P	R	R	R	R
14.	Mr. Kelvin Orogun	P	P	P	AWA	P	P
15.	Dr. Nneka Okekearu	P	P	P	P	P	P
16.	Mr. Folajimi Adeleye	NYA	NYA	P	P	P	P

b) BOARD COMMITTEES

During the financial year ended December 31, 2025, the Board delegated some of its responsibilities to its Committees as follows:

1 Board Finance and General-Purpose Committee

The functions of the Finance & General Purpose Committee include reviewing the Company's global budgets, accounts, strategy, tax strategy, treasury activities, risk assessment and Management, insurance programs/coverage, financial exposures and financial objectives and monitoring the implementation of those strategies and objectives, reviewing and approving proposals for the allocation of capital and other resources, considering and approving major capital projects being proposed by Management as well as review of extraordinary business initiatives of Management on behalf of the Board, recommend to the Board of Directors dividends to shareholders and other shareholder actions and other ancillary duties as may be assigned by the Board from time to time.

Composition

1 Mr. Adegboyega Fatoki	Chairman
2 Mr. Nonso Okpala	Committee Member
3 Mr. Mobolaji Adewumi	Committee Member
4 Dr. Nneka Okekearu	Committee Member
5 Mr. Folajimi Adeleye	Committee Member
6 Mr. Nahim Ibraheem	Committee Member
7 Mr. Hubert Asamoah	Committee Member
8 Mr. Chuks Ozigbo	Committee Member
9 Mr. John Okonkwo	Committee Member

CORPORATE GOVERNANCE REPORT (CONT'D)

The Finance and General-Purpose Committee met four (4) times during the 2025 financial year. The following table shows attendance of members at the meetings.

S/N	COMMITTEE MEMBERS	FEBRUARY 11, 2025	JUNE 11, 2025	OCTOBER 22, 2025	DECEMBER 17, 2025
1	Mr. Adegboyega Fatoki	NYA	NYA	P	P
2	Mr. Chuks Ozigbo	P	R	R	R
3	Mr. Nonso Okpala	P	P	P	P
4	Mr. John Okonkwo	P	P	R	R
5	Mr. Hubert Asamoah	P	P	P	P
6	Mr. Mobolaji Adewumi	P	P	P	P
7	Dr. Nneka Okekearu	P	P	AWA	NLC
8	Mr. Folajimi Adeleye	NYA	P	P	P
9	Mr. Nahim Ibraheem	NYA	NYA	NYA	P

2 Board Remuneration Committee

Its functions include making recommendations to the Board on Board's appointments as well as recruitment, promotion, compensation, and remuneration policy for the Company, overseeing Board performance and evaluation and succession planning for key positions on the Board. The Committee provides input to the annual report of the Company in respect of Directors' compensation, attract, retain and motivate key talent who add value to the Company based on individual and team contributions, engage as necessary, the services of an independent adviser to carry out periodic compensation surveys across comparative organizations and ensure adequate disclosure of Directors' remuneration to stakeholders.

Composition

1 Ms. Omolola Bolusire	Chairman
2 Mr. Adegboyega Fatoki	Committee Member
3 Mr. Chuks Ozigbo	Committee Member
4 Mr. Azubike Emodi	Committee Member
5 Dr. Nneka Okekearu	Committee Member
6 Ms. Rashida Saleh	Committee Member

The Board Remuneration Committee met four (4) times during the 2025 financial year. The following table shows attendance of members at the meetings.

S/N	COMMITTEE MEMBERS	FEBRUARY 28, 2025	JUNE 25, 2025	OCTOBER 10, 2025	DECEMBER 18, 2025
1.	Ms. Omolola Bolusire	P	P	P	P
2.	Mr. Chuks Ozigbo	P	R	R	R
3.	Mr. Azubike Emodi	P	P	P	P
4.	Mr. Adegboyega Fatoki	P	P	P	P
5.	Mrs. Nneka Okekearu	P	P	AWA	P
6.	Ms. Rashida Saleh	P	P	P	P

3 Board Nomination and Governance Committee

Its functions include reviewing and making recommendations for improvement to the Company's VFD Group's Corporate Governance framework, establishing a formal and transparent process for Board appointments, including establishing the criteria for appointment to the Board and Board committees, reviewing prospective candidates' qualifications and any potential conflict of interest, assessing the contribution of current Directors against their re-nomination suitability, and making appropriate recommendations to the Board, ensuring that the company has a formal program for the induction and training of Directors, undertaking the annual assessment of the independent status of each INED, ensuring that the Company has a succession policy and plan in place for the Chairman of the Board, the MD/CEO, and all other EDs, NEDs and senior management positions to ensure leadership continuity, developing a process and ensuring that the Board undertakes an annual performance evaluation of itself, its committees, the Chairman and individual Directors, developing and reviewing the Board and committee policy and other governance policies, such as the code of ethics, conflict of interest and whistleblowing among others while ensuring adequate Corporate Governance disclosures are made in the Annual Reports and to relevant regulatory authorities.

Composition

1 Mr. Kelvin Oroqun	Chairman
2 Mr. Adegboyega Fatoki	Committee Member
3 Ms. Omolola Bolusire	Committee Member
4 Ms. Rashida Saleh	Committee Member
5 Mr. Azubike Emodi	Committee Member
6 Dr. Nneka Okekearu	Committee Member
7 Mr. Abe Ibraheem	Committee Member
8 Mr. Adeniyi Adenubi	Committee Member

The Board Nomination and Governance Committee met four (4) times during the 2025 financial year. The following table shows attendance of members at the meetings.

S/N	COMMITTEE MEMBERS	FEBRUARY 17, 2025	JUNE 11, 2025	SEPTEMBER 29, 2025	OCTOBER 16, 2025	DECEMBER 18 2025
1.	Ms. Omolola Bolusire	P	P	P	P	P
2.	Mr. Azubike Emodi	P	P	P	P	P
3.	Mr. Kelvin Orogun	P	P	P	P	P
4.	Ms. Rashida Saleh	P	P	P	P	P
5.	Mr. Adegboyega Fatoki	NYA	NYA	NYA	NYA	P
6.	Dr. Nneka Okekearu	NYA	NYA	NYA	NYA	P
7.	Mr. Abe Ibraheem	P	P	P	P	NLC
8.	Mr. Adeniyi Adenubi	P	P	P	P	NLC

CORPORATE GOVERNANCE REPORT (CONT'D)

4 Board Risk and Compliance Committee

Its function includes overseeing Enterprise Risk Management's vision, goals and objectives in line with best practice, monitoring the Company's risk profile against set targets [risk appetite], approving and periodically reviewing the Company's risk appetite and portfolio strategy, ensuring that appropriate risk management policies, processes and methodologies are in place for managing the various risks to which the Company may be exposed, establishing a Management structure that is capable of implementing the Company's Risk Management framework and ensuring that qualified and competent person[s] at senior levels are employed to manage the various risk areas.

Composition

1 Mr. Adegboyega Fatoki	Chairman
2 Dr. Nneka Okekearu	Committee Member
3 Mr. Nonso Okpala	Committee Member
4 Mr. Folajimi Adelewe	Committee Member
5 Mrs. Morenike Ominike	Committee Member
6 Ms. Omolola Bolusire	Committee Member
7 Mr. John Okonkwo	Committee Member
8 Mr. Chuks Celestine Oziqbo	Committee Member
9 Mr. Adeniyi Adenubi	Committee Member
10 Mr. Mobolaji Adewumi	Committee Member

The Board Risk and Compliance Committee met four (4) times during the 2025 financial year. The following table shows attendance of members at the meetings.

S/N	COMMITTEE MEMBERS	FEBRUARY 24, 2025	JULY 2, 2025	OCTOBER 15, 2025	DECEMBER 15 2025
1.	Dr. Nneka Okekearu	NYA	NYA	NYA	P
2.	Mr. Adegboyega Fatoki	P	P	P	P
3.	Mr. Nonso Okpala	P	AWA	P	P
4.	Mr. Chuks Ozigbo	P	R	R	R
5.	Mr. John Okonkwo	P	R	R	R
6.	Ms. Omolola Bolusire	P	P	P	NLC
7.	Mrs. Morenike Ominike	P	P	P	P
8.	Mr. Folajimi Adelewe	NYA	P	P	NLC
9.	Mr. Adeniyi Adenubi	NYA	NYA	NYA	P
10.	Mr. Mobolaji Adewumi	NYA	NYA	NYA	P

5 Board Investment Committee

Under the delegated powers of the Board of Directors, the Board Investment Committee is responsible for the review, provide advice, approve expert advice and approval of all investment recommendations that are above the approving threshold of Executive Committee subject to a maximum cumulative threshold of 30% of Shareholders Fund. All investments approved by the Board Investment Committee shall be ratified by the Board of Directors in the subsequent Board meetings.

Composition

1 Mr. Abe Ibraheem	Chairman
2 Mr. Nonso Okpala	Committee Member
3 Mr. Nonso Okpala	Committee Member
4 Mr. Mobolaji Adewumi	Committee Member
5 Mr. Adegboyega Fatoki	Committee Member
6 Mrs. Morenike Ominike	Committee Member
7 Mr. Folajimi Adeleye	Committee Member
8 Mrs. Morenike Ominike	Committee Member
9 Mr. Hubert Asamoah	Committee Member

The Board Investment Committee met four (4) times during the 2025 financial year. The following table shows attendance of members at the meetings.

S/N	COMMITTEE MEMBERS	MARCH 12, 2025	JULY 25, 2025	OCTOBER 27, 2025	DECEMBER 15 2025
1.	Mr. Abe Ibraheem	P	P	P	P
2.	Mr. Nonso Okpala	P	AWA	P	P
3.	Mr. Mobolaji Adewumi	P	P	P	NLC
4.	Mr. Kelvin Orogun	NYA	NYA	NYA	P
5.	Mr. Adegboyega Fatoki	P	P	P	NLC
6.	Mr. Hubert Asamoah	P	P	P	P
7.	Mrs. Morenike Ominike	P	P	P	P
8.	Mr. Folajimi Adeleye	NYA	NYA	NYA	P

CORPORATE GOVERNANCE REPORT (CONT'D)

6 Board Audit Committee

The Board Audit Committee is responsible for oversight of audit functions, ascertaining whether the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices, reviewing the scope and planning of audit requirements, keeping under review the effectiveness of the Company's system of accounting and internal control, authorizing the Internal Auditor to carry out investigations into any activities of the Company which may be of interest or concern to the Committee, review the findings in management letter in conjunction with the external auditor and management responses, make recommendations to the Board regarding the appointment, removal, and remuneration of the external auditors of the Company, exercise oversight over Management's processes to ascertain the integrity of the Company's financial statements, compliance with all applicable legal, oversee the process for the identification of fraud risks across the Company and ensure that adequate prevention, detection and reporting mechanisms are in place, discuss the interim or annual audited financial statements as well as significant financial reporting findings and recommendations with Management and External Auditors, maintain oversight of financial and non-financial reporting, review and ensure that adequate whistle-blowing policies and procedures are in place, Preserve auditor independence, by setting clear hiring policies.

Composition

1 Dr. Nneka Okekearu	Chairman
2 Ms. Rashida Saleh	Committee Member
3 Mr. Mobolaji Adewumi	Committee Member
4 Mr. Abe Ibraheem	Committee Member
5 Mr. Adeniyi Adenubi	Committee Member
6 Kelvin Oroqun	Committee Member

S/N	COMMITTEE MEMBERS	FEBRUARY 14, 2025	JUNE 20, 2025	OCTOBER 7, 2025	DECEMBER 15 2025
1.	Dr. Nneka Okekearu	P	P	P	P
2.	Mr. Adegboyega Fatoki	NYA	NYA	NYA	P
3.	Mr. Nonso Okpala	NYA	NYA	NYA	P
4.	Ms. Rashida Saleh	P	P	P	NLC
5.	Mr. Mobolaji Adewumi	P	P	P	P
6.	Mr. Abe Ibraheem	P	P	P	NLC
7.	Mr. Adeniyi Adenubi	P	P	P	P
8.	Mr. Kelvin Orogun	P	AWA	P	NLC
9.	Mrs. Morenike Ominike	NYA	NYA	NYA	P

7 Statutory Audit Committee

The Statutory Audit Committee's major functions include the approval of the annual audit plan of the internal auditors, review and approval of the audit scope and plan of the external auditors, review of the audit report on internal weaknesses observed by both the internal and external auditors during their respective examinations and to ascertain whether the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices.

Composition

1 Alhaji Tambari Kabiru	Chairman/Shareholder (present)
2 Mr. Akinola Oladapo	Chairman/Shareholder (former)
3 Mr. Chiiioke Ugorji	Shareholder
4 Ms. Ifeoma Okonkwo	Shareholder
5 Mr. Kelvin Orogun	Shareholder
6 Mr. Adeniyi Adenubi	Director

COMMITTEE MEMBERS	FEBRUARY 25, 2024	JULY 7, 2025	OCTOBER 24, 2025	DECEMBER 19, 2025
Alhaji Kabiru Tambari	P	P	P	P
Mr. Akinola Oladapo	AWA	P	R	R
Mr. Chiiioke Ugorji	P	P	P	P
Ms. Ifeoma Okonkwo	NAC	NAC	P	P
Mr. Kelvin Orogun	P	P	P	P
Mr. Adeniyi Adenubi	P	P	P	P

c) ALTERNATE DIRECTORSHIP

There was no alternate directorship during the year under review.

CORPORATE GOVERNANCE REPORT (CONT'D)

d) DELEGATION TO MANAGEMENT

The Board has delegated the responsibility for day-to-day operations of the Company to Management and ensures that Management strikes a balance between promoting long-term growth and delivering short-term objectives. In fulfilling its primary responsibility, the Board is aware of the importance of achieving a balance between adherence to governance principles and economic performance.

e) DIRECTORS' INDEPENDENCE

Directors are expected to contribute views and judgment at Board deliberations that are independent of Management and free of any business or other relationship or circumstance that could materially interfere with the exercise of objective, unfettered or independent judgment, having regard to the best interests of the Company.

f) COMPLIANCE WITH STATUTORY REPORT

VFD Group Plc complied with all applicable regulatory and financial reporting requirements during FY 2025.

g) BOARD PERFORMANCE AND EVALUATION

To ensure effective governance and best practices, the Board engaged an independent consultant Messrs. Ernest & Young to conduct the annual Board and Directors Appraisal for the 2025 financial year. The Board believes that using an independent consultant encourages objectivity in evaluating the Board's performance and enhances transparency in the evaluation process. The Board, Board Committees, and individual directors were assessed and found to have satisfactory performance. Feedback from the exercise was communicated to the Board Chairman.

h) REMUNERATION OF DIRECTORS

VFD Group Plc ensures that remuneration paid to its directors complies with the provisions of the Code of Corporate Governance issued by its regulators. Therefore, in compliance with Section 34 [5] [f] of the SEC Code of Corporate Governance for Public Companies, the Company makes disclosures of the remuneration paid to its Directors.

Package	Type	Description	Period
Basic Salary	Fixed	This is part of the gross salary package for Executive Directors only	Paid monthly during the financial year
Directors Fees	Fixed	This is paid only to Non-Executive Directors	Paid quarterly, each year
Sitting Allowance	Fixed	This is paid only to Non-Executive Directors	Paid after each meeting

i) PROFESSIONAL INDEPENDENT ADVICE

All Directors are aware that they may take independent professional advice at the expense of the Group, in the furtherance of their duties. They all have access to the advice and services of the Company Secretary, who is responsible to the Board for ensuring that all governance matters are complied with and assists with professional development as required.

J) BOARD APPOINTMENT PROCESS, TRAINING AND INDUCTION

The process of appointing directors involves assessing whether there is a need to appoint a new director, either to fill a vacancy or for other reasons and the nomination of a candidate to the board is done in accordance with the Appointment of Directors Policy. The resume of suitable candidates with the required skills, competence, and experience are referred to the Nomination and Governance Committee, who then interview the candidates and recommend the best fit to the board for approval. Any director appointed by the board is presented at the next Annual General Meeting of the company's members for election in compliance with statutory requirements.

The Board ensures that its members receive regular training and education to enhance their decision-making acumen, performance, and overall effectiveness. Newly appointed Directors receive a customized induction program that includes one-on-one meetings with Executive Directors and Senior Executives. These sessions are designed to provide an understanding of the challenges, opportunities, and risks facing the organization. The induction program covers an overview of all business units, Board processes, and policies. The Board is committed to providing regular training and development opportunities to its members. It is the opinion of the Board that robust professional development will significantly enhance Directors' performance in fulfilling their oversight responsibilities.

CORPORATE GOVERNANCE REPORT (CONT'D)

K) EXECUTIVE COMMITTEES

The Executive Management is made up of the Group Managing Director (GMD), the Executive Directors and Departmental Heads. The role of the committee is led by the GMD, who ensures that VFD Group's strategic objectives as set by the Board are achieved and the company is optimized. The committee meets weekly and is responsible for the day-to-day operation of VFD Group. The members of the committee include:

S/No.	Names	Position Held
1.	Nonso Okpala	Managing Director
2.	Folajimi Adeleye	ED Finance & Investors Relations
3.	Morenike Ominike	ED, Operations
4.	Raphael Olope	Chief Financial Officer
5.	Cynthia Akumuo	Risk Manager
6.	Martins Akpore	Head Treasury

I) ACCOUNTABILITY AND AUDIT

• Financial Reporting

The Board has presented a balanced assessment of the Group's position and prospects. The Board is mindful of its responsibilities and is satisfied that in the preparation of its financial reports, it has met its obligation under the Group's Code of Corporate Governance. The Directors make themselves accountable to the shareholders through regular publication of the Group's financial performance and annual reports. The Board has ensured that the Group's reporting procedure is conveyed on the most recent infrastructure to ensure accuracy. This procedure involves monitoring performance throughout the financial year, in addition to monthly reporting of key performance indicators. Messrs. PriceWaterHouse Coopers acted as external auditors to the Group for the year ended December 31, 2025. Reporting and disclosure requirements are in accordance with International Financial Reporting Standards [IFRS]. The Company ensures prudent financial reporting and maximum disclosure in the Annual Reports & Accounts.

• Internal Control

The Group has consistently improved its internal control system to ensure effective management of risks. The Directors review the effectiveness of the system of internal control through regular reports and reviews at Board Risk & Compliance Committee meetings.

• Control environment

The Board has continued to place emphasis on risk management as an essential tool for achieving the Group's objectives. Towards this end, it has ensured that the Group has in place robust risk management policies and mechanisms to ensure identification of risk and effective control. The Board approves the annual budget for the Group and ensures that a robust budgetary process is operated with adequate authorization levels put in place to regulate capital expenditure.

• Shareholder rights

The Board has always placed considerable importance on effective communication with its shareholders. It recognizes the importance of ensuring the flow of complete, adequate and timely information to existing and potential shareholders and regulators to enable them to make informed decisions about the Group. The Board is committed to maintaining high standards of corporate disclosure. It ensures that the rights of shareholders are always protected. Notice of meetings and all other statutory notices and information are communicated to the shareholders regularly. The Group always ensures the protection of statutory and general rights of shareholders, particularly their right to vote at general meetings. All shareholders are treated equally regardless of their equity interest or social status. The General Meeting of Shareholders is the highest decision-making body of the Group and meetings are conducted in a fair and transparent manner that gives shareholders the opportunity to express their opinion. The Group continues to engage shareholders of the Company, through its investor relations unit, which routinely attends to shareholders' enquiries and ensures that shareholders' views are appropriately escalated to the Management and Board on a continuous basis. This engagement occurs through various means including electronic mail, WhatsApp, and social media. In addition, shareholders are encouraged to communicate their opinions and recommendations whenever they see the need to do so, through the Group's Secretariat.

- **Access to Information and Resources**

Management ensures the free flow of complete, adequate, and timely information to the Director's to enable them to make informed decisions in the discharge of their responsibilities. Directors have unrestricted access to Management and company information in addition to the necessary resources to carry out their responsibilities.

m) WHISTLE BLOWING POLICY

The Company has a Whistle Blowing Policy in place. This was extensively reviewed by the Board and it covers among other things, the procedures for the receipt, retention and treatment of information received from whistle blowers and the custodian of the dedicated line. The Company's whistle blowing policy ensures that whistle blowing would assist in uncovering significant risks in line with best practices. Under the policy, a whistle blower who in good faith, reports suspected violations or attempted violation of the Policy or who reports a request or offer of a corrupt payment is protected.

ACQUISITION OF OWN SHARES

The Company did not purchase any of its own shares during the year.

BY ORDER OF THE BOARD



Oluwagbeminiyi Shoda
FRC/2015/PRO/NBA/002/00000011768
Group Company Secretary
8, MacGregor Road, Ikoyi
Lagos.

27 March 2026

DIRECTORS' REPORT

In accordance with Section 385 of the Companies and Allied Matters Act, 2020 ["CAMA"], the Board of Directors present their report on the affairs of the Company and its subsidiaries (together "the Group") together with the audited consolidated and separate financial statements and independent auditor's report for the year ended December 31, 2025.

LEGAL FORM AND PRINCIPAL ACTIVITIES

VFD Group Plc was originally incorporated as ViadazFD Limited in July 2009. The Company subsequently changed its name to VFD Group Limited in February 2016. VFD Group Limited was converted to a Public Company, and the name was changed to VFD Group Plc following a special resolution passed by the Members in General Meeting on January 28, 2019, to broaden its shareholder base and further enhancing its ability to raise required capital for growth and expansion.

VFD Group Plc carries on the business of a proprietary investment company either in its name or the name of any nominee in accordance with its Memorandum and Articles of Association.

VFD Group Plc following a special resolution of Members in the General Meeting on May 25, 2023, deregistered from National Association of Securities Dealers OTC(NASD) on September 28, 2023, and was listed by introduction on the main board of Nigerian Exchange Group Plc.

PRINCIPAL ACTIVITIES

VFD Group Plc is a proprietary investment and operates through its portfolio companies to provide alternative funding and investment channels that are accessible to individuals, small businesses and operators. Its investment portfolio cuts across different industries, particularly Financial services, Capital Market, Technology, Security Services, Banking, Remittance, Real Estate and Hospitality, Leasing, Media and Entertainment, Infrastructure and Energy.

RESULT FOR THE YEAR

The following is the summary of the performance of the Company during the year under review as compared with the previous year:

	Group		Company	
	2025	2024	2025	2024
	₦'000	₦'000	₦'000	₦'000
Profit before tax	14,175,614	10,016,458	4,046,152	2,574,549
Taxation	(4,459,667)	(2,556,767)	(799,957)	(391,043)
Profit for the year	9,715,947	7,459,691	3,246,195	2,183,506

BOARD CHANGES

1) Resignation

The following Directors resigned during the financial year:

- => Mr. John Okonkwo (effective May 31, 2025)
- => Mr. Chuks Ozigbo (effective May 8, 2025)

2) Board Appointments

The Nomination and Governance Committee of the Board is responsible for identifying and proposing suitable candidates to fill vacant Board positions in accordance with the Board's Appointment of Directors Policy. Mr. Folajimi Adeleye was appointed to the Board as an Executive Director on June 9, 2025. The Securities and Exchange Commission and the NGX Regulations Limited were duly notified of the appointment and same is subject to shareholders' approval at the Annual General Meeting.

DIRECTORS' REPORT (CONT'D)

3. Retirement and Re-Election of Directors

In accordance with the provision of Section 285[1] of the Companies and Allied Matters Act, one third of the directors of the Company shall retire from office. The directors to retire every year shall be those who have been longest in office since their last election. In accordance with this provision, Mr. Azubike Emodi, Mrs. Omolola Bolusire, Mr. Adegboyega Fatoki, and Mrs. Nneka Okekearu will retire by rotation.

4. Dividend

There was payment of final dividend of N2.50kobo during the year. The Directors proposed Final Dividend of 25kobo per ordinary share of 50kobo (FY2024:N2.50k) each.

5. Directors Interests in Contracts

None of the Directors has notified the Company for the purpose of Section 303 of the Companies and Allied Matters Act 2020, of any declarable interest in Contracts in which the Company is involved.

6. Directors' and their Interests in the Shares of the Company

Directors' interests in the issued share capital of the Company as recorded in the Register of Members and/or as notified by the Directors in compliance with Sections 301 and 302 of the Companies and Allied Matters Act, 2020 were as follows:

	2025		2024	
	<u>Direct</u>	<u>Indirect</u>	<u>Direct</u>	<u>Indirect</u>
Mr. Olatunde Busari	-	-	-	-
Mr. Nonso Okpala	767,880	1,466,443,140	-	242,207,190
Mr. Adeniyi Adenubi	-	176,165,799	89,070	38,117,608
Mr. Folajimi Adeleye	-	26,600,220	-	-
Mr. Adegboyega Fatoki	-	-	-	-
Mrs. Morenike Ominike	129,070	-	70,350	-
Mr. Mobolaji Adewumi	426,630,900	5	71,105,150	-
Dr. Nneka Okekearu	-	-	-	-
Ms. Omolola Bolusire	-	-	-	-
Mr. Azubike Emodi	46,582,200	3,526,785	9,036,010	3,526,785
Ms. Rashida Saleh	-	-	-	-
Mr. Kelvin Orogun	134,505,570	602,173,620	22,417,595	100,362,270
Mr. Hubert Asamoah	-	-	-	-
Mr. Abe Ibraheem	-	-	-	-

7. GENDER DIVERSITY AND PROPORTION OF FEMALE IN VFD GROUP PLC

VFD Group is dedicated to providing equal job opportunities for all employees regardless of their gender. The company has a good representation of women in middle and senior management positions. The Company is also fully committed in ensuring appointments of more female Directors on the Board.

8. SHAREHOLDING AND SUBSTANTIAL SHAREHOLDERS

The current Authorized capital of the Company is N3,800,547,300 [Three Billion, Eight Hundred Million, Five hundred and forty-seven Thousand, three Hundred Naira] divided into 7,601,094,600 [Seven Billion, Six Hundred and One Million, Ninety-Four Thousand, Six Hundred Naira] ordinary shares of N0.50K each.

In terms of significant shareholding (5% and above), the table below is instructive.

<u>Shareholder</u>	<u>Shares held as at 31 December 2025</u>	
	<u>Number</u>	<u>Percentage (%)</u>
Osnon Capital Limited	1,466,443,140	19.29
Jotani Investments Limited	602,173,620	7.92
Bilinear Limited	488,845,778	6.43
Adewumi Mobolaji	426,630,900	5.61

DIRECTORS' REPORT (CONT'D)

SHAREHOLDERS STRUCTURE AS AT DECEMBER 31, 2025

VFD GROUP PLC			
STRUCTURE AS AT DECEMBER 31, 2025			
S/N	HOLDER TYPE	HOLDER COUNT	HOLDINGS
1.	Corporate	226	5,538,571,566
2.	Foreign	27	12,661,429
3.	Government	3	15,152
4.	Individual	8,740	2,033,988,803
5.	Institution	23	2,691,934
6.	Joint	47	13,146,454
7.	Pension	1	19,262
	Total	9,107	7,601,094,600

ANALYSIS OF SHAREHOLDINGS

The details of shareholding of the Company as at December 31, 2025 is as stated below;

VFD GROUP PLC						
RANGE ANALYSIS AS OF DECEMBER 31, 2025						
HEADLINE	SHAREHOLDERS			HOLDINGS		
RANGE	NO. OF HOLDERS	HOLDERS %	CUMMULATIVE HOLDERS	UNITS	UNITS %	CUMMULATIVE UNITS
1-1,000	1,853	26.3%	1,853	700,292	0%	700,292
1,001-5,000	1,312	18.6%	3,165	3,581,487	0%	4,281,779
5,001-10,000	741	10.5%	3,906	5,742,916	0%	10,024,695
10,001-50,000	1,527	21.7%	5,433	37,829,720	0%	47,854,415
50,001-100,000	568	8.1%	6,001	42,533,561	1%	90,387,976
100,001-500,000	690	9.8%	6,691	151,044,137	2%	241,432,113
500,001-1,000,000	130	1.8%	6,821	96,582,552	1%	338,014,665
1,000,001-5,000,000	141	2.0%	6,962	316,806,366	4%	654,821,031
5,000,001-10,000,000	23	0.3%	6,985	178,582,907	2%	833,403,938
10,000,001-50,000,000	31	0.4%	7,016	684,745,675	9%	1,518,149,612
50,000,001-100,000,000	6	0.1%	7,022	388,842,069	5%	1,906,991,681
100,000,001-500,000,000	19	0.3%	7,041	3,625,486,159	48%	5,532,477,840
500,000,001 – 1,000,000,000	0	0.0%	7,041	600,173,620	8%	6,134,651,460
1,000,000,001 – Above	2	0.0%	7,043	1,466,443,140	19%	7,601,094,600

CLAW BACK PROVISIONS

In accordance with Section 16.9 of the Nigerian Code of Corporate Governance, the contracts of Executive Directors contain clawback provisions. This is also stated in the Remuneration Policy of the VFD Group.

DONATIONS

The value of donations made by the Company during the year amounted to N21m (2024: N10.7m)

PROPERTY, PLANT AND EQUIPMENT

Information relating to changes in property, plant and equipment is given in Note 19 of the Consolidated and Separate Financial Statements. In the opinion of the Directors, the market value of the Group's fixed assets is not less than shown in the Statement of Financial Position.

HUMAN RESOURCES

The Group makes it a paramount objective to hire individuals based on standards of merit and competence. Also, the Group upholds a sound culture of providing continued development and training for its Staff to address knowledge gaps and provide new skill sets along the Group's lines of responsibilities. Annually, trainings are identified for staff and followed through in accordance with an approved training plan meant to ensure that this objective is achieved. The Group encourages easy interaction between Management and other staff of the Group to foster an atmosphere of warmth at work and to kindle the necessary synergy required for the Group's success.

DIRECTORS' REPORT (CONT'D)

EMPLOYMENT OF DISABLED PERSONS

The Group operates a non-discriminatory policy on recruitment. Applications by disabled persons are always fully considered bearing in mind the respective aptitudes and abilities of the applicants concerned. During the year under review, there was no disabled person in the Company's employment.

HEALTH, SAFETY AND WELFARE OF EMPLOYEES

The Group approaches health, safety and welfare issues affecting staff with every sense of seriousness and therefore maintains an insurance health care scheme with Leadway Health, a Health Maintenance Organization [HMO], licensed by the National Health Insurance Scheme [NHIS] to provide health insurance to employees in the private sector. Through this arrangement, each employee, their respective spouses, and dependents below the age of eighteen [18] years are entitled to medical treatments in well-equipped, qualitative network of hospitals under the scheme.

Safety regulations are in place within the Company's premises and employees are regularly informed of the regulations.

EMPLOYEES' INVOLVEMENT AND TRAINING

The Group has an effective employer/employee communication system aimed at enhancing industrial harmony. Employees are kept fully informed as much as practicable of the Company's activities which particularly affect them as employees and are also encouraged to communicate any information useful to management through use of suggestion boxes and other channels. Regular training programmes are usually arranged for employees locally and where applicable, overseas for the improvement of skills and enhancement of career prospects.

POST BALANCE SHEET EVENTS

There were no post balance sheet events which could have a material effect on the financial position of the Company as at December 31, 2025 and results attributable to equity holders.

FIXED ASSETS

In the opinion of the Directors, the market value of the Company's fixed assets is not less than what was shown in the Balance Sheet.

AUDITORS

The Auditors, Messrs. PricewaterhouseCoopers have indicated their willingness to continue in the office as the Company's Auditors. The firm ensured that its responsibilities to the Company were carried out in an independent manner.

BY ORDER OF THE BOARD



Oluwagbeminiyi Shoda

Group Company Secretary

FRC/2015/PRO/NBA/002/00000011768

8, Macgregor Road, Ikoyi,

Lagos.

27 March 2026

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors of **VFD Group Plc** are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view of the financial position of the Group and Company as at 31 December 2025, and the results of its operations, cash flows and changes in equity for the year ended, in compliance with International Financial Reporting Standards ("IFRS") as issued by the Standard Board ("IFRS Accounting Standards") and in the manner required by the Companies and Allied Matters Act 2020, the Financial Reporting Council of Nigeria Act Amended Act, 2023 and the Investments and Securities Act 2025.

In preparing the consolidated and separate financial statements, the Directors are responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner that provides relevant,
- providing additional disclosures when compliance with the specific requirements in IFRS Accounting Standard are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group and Company's financial position and financial performance;

Going Concern:

The Directors have made an assessment of the Company's ability to continue as a going concern and have no reason to believe the Company will not remain a going concern in the year ahead.

Olatunde Busari (SAN)

Chairman

FRC/2019/PRO/NBA/004/00000019449

Nonso Okpala

Group Managing Director

FRC/2013/PRO/DIR/003/00000004697

CERTIFICATION OF FINANCIAL STATEMENTS

In accordance with Section 405 of the Companies and Allied Act 2020, the Chief Executive Officer and the Chief Financial Officer certify that the financial statements have been reviewed and based on our knowledge, the:

- (i) audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading, in the light of the circumstances under which such statement was made, and
- (ii) audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for, the periods covered by the audited financial statements;

We have disclosed:

- i. all significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and has identified for the Company's auditors any material weaknesses in internal controls, and
- ii. whether or not, there is any fraud that involves management or other employees who have a significant role in the Company's internal control; and
- iii. as indicated in the report, whether or not, there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of their evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

The consolidated and separate financial statements of the Group and Company for the year ended 31 December 2025 were approved and authorized for issue by Directors on 27 March 2025.

On behalf of the Directors of the Group:



Nonso Okpala
Group Managing Director
FRC/2013/PRO/DIR/003/00000004697



Raphael Olope
Chief Financial Officer
FRC/2013/PRO/ICAN/001/00000001354

REPORT OF THE AUDIT COMMITTEE

To the Members of VFD Group Plc

In accordance with the provision of Section 404(4) of the Companies and Allied Matters Act 2020, the members of the Audit Committee of VFD Group Plc hereby report on the financial statements for the year ended 31 December 2025 as follows:

We have exercised our statutory functions under Section 404(4) of the Companies and Allied Matters Act 2020 and acknowledge the co-operation of management staff in the conduct of these responsibilities.

We are of the opinion that the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices and that the scope and planning of both the external and internal audits for the year ended 31 December 2025 were satisfactory and reinforce the Company's internal control systems.

We have deliberated with the external auditors, who have confirmed that necessary co-operation was received from management in the course of the statutory audit and we are satisfied with management's responses thereon and with the effectiveness of the Company's system of accounting and internal controls.

Members of the Audit committee are:

- | | | |
|---|-----------------------|----------------------|
| 1 | Alhaji Kabiru Tambari | Chairman/Shareholder |
| 2 | Ms. Ifeoma Okonkwo | Shareholder |
| 3 | Mr. Chijioke Ugorji | Shareholder |
| 4 | Mr. Kelvin Orogun | Director |
| 5 | Mr. Adeniyi Adenubi | Director |

The Company Secretary serves as the Secretary to the Committee.

For: 

Alhaji Kabiru Tambari
FRC/2022/PRO/AUDITCOM/002/00000023780
Chairman, Audit Committee
27 March 2026

**MANAGEMENT'S ANNUAL ASSESSMENT OF, AND REPORT ON, VFD GROUP PLC'S
INTERNAL CONTROL OVER FINANCIAL REPORTING**

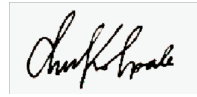
To comply with the provisions of Section 1.3 of SEC Guidance on Implementation of Sections 60-63 of Investments and Securities Act 2025, we hereby make the following statements regarding the Internal Controls of VFD Group Plc for the year ended 31 December 2025:

- i VFD Group Plc's management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards.
- ii VFD Group Plc's management used the Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control-Integrated Framework to conduct the required evaluation of the effectiveness of the entity's ICFR;
- iii VFD Group Plc's management has assessed that the entity's ICFR as of the end of 31 December 2025 is effective.
- iv VFD Group Plc's external auditor Messrs PricewaterhouseCoopers that audited the financial statements, included in the annual report, has issued an attestation report on management's assessment of the entity's internal control over financial reporting.

The attestation report of Messrs PricewaterhouseCoopers that audited its financial statements will be filed as part of VFD Group Plc's annual report.



Olatunde Busari (SAN)
FRC/2019/PRO/NBA/004/00000019449
Chairman
Date: 27 March 2026



Nonso Okpala
FRC/2013/PRO/DIR/003/00000004697
Managing Director/CEO
Date: 27 March 2026

Certification of management's assessment on internal control over financial reporting

To comply with the provisions of Section 1.1 of SEC Guidance on Implementation of Sections 60-63 of Investments and Securities Act 2025, I hereby make the following statements regarding the Internal Controls of VFD Group Plc for the year ended 31 December 2025.

I, Nonso Okpala, certify that:

a) I have reviewed this management assessment on internal control over financial reporting of VFD Group Plc;

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

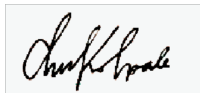
d) The entity's other certifying officer and I:

- 1) are responsible for establishing and maintaining internal controls;
- 2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
- 3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
- 4) have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

e) The entity's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the entity's auditors and the audit committee of the entity's board of directors (or persons performing the equivalent functions):

- 1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information; and
- 2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

f) The entity's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.



Nonso Okpala
FRC/2013/PRO/DIR/003/00000004697
Managing Director/CEO
'Date: 27 March 2026

Certification of management's assessment on internal control over financial reporting

To comply with the provisions of Section 1.1 of SEC Guidance on Implementation of Sections 60-63 of Investments and Securities Act 2025, I hereby make the following statements regarding the Internal Controls of VFD Group Plc for the year ended 31 December 2025.

I, Raphael Olope, certify that:

- a) I have reviewed this management assessment on internal control over financial reporting of VFD Group Plc;
- b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;
- d) The entity's other certifying officer and I:
 - 1) are responsible for establishing and maintaining internal controls;
 - 2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - 3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - 4) have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- e) The entity's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the entity's auditors and the audit committee of the entity's board of directors (or persons performing the equivalent functions):
 - 1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information; and
 - 2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.
- f) The entity's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses

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Raphael Olope
FRC/2013/PRO/ICAN/001/00000001354
Chief Financial Officer
Date: 27 March 2026



Independent practitioner's report

To the Members of VFD Group Plc

Report on an assurance engagement performed by an independent practitioner to report on management's assessment of controls over financial reporting

Our opinion

In our opinion, nothing has come to our attention that the internal control procedures over financial reporting put in place by management of VFD Group Plc ("the company") and its subsidiaries (together "the group") are not adequate as at 31 December 2025, based on the SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025 issued by The Securities and Exchange Commission.

What we have performed

We have performed an assurance engagement on VFD Group Plc's internal control over financial reporting as of December 31, 2025, based on FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting ("the Guidance") issued by the Financial Reporting Council of Nigeria. The group's management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Certification of management's assessment on internal control over financial reporting. Our responsibility is to express an opinion on the group's internal control over financial reporting based on our assurance engagement.

Basis for opinion

We conducted our assurance engagement in accordance with the Guidance, which requires that we plan and perform the assurance engagement and provide a limited assurance report on the group's internal control over financial reporting based on our assurance engagement. As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

Definition and Limitations of Internal Control over Financial Reporting

A group's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A group's internal control over financial reporting includes those policies and procedures that (i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the group; (ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the group are being made only in accordance with authorizations of management and directors of the group; and (iii) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the group's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.



Other matter

We also have audited, in accordance with the International Standards on Auditing, the consolidated and separate financial statements of VFD Group Plc and our report dated 01 April 2026 expressed an unqualified opinion.

Chidi Ojechi

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria
FRC/2023/COY/176894



01 April 2026

Engagement Partner: Chidi Ojechi
FRC/2017/PRO/ICAN/004/00000015955

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Independent auditor's report

To the Members of VFD Group Plc

Report on the audit of the consolidated and separate financial statements

Our opinion

In our opinion, the consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of VFD Group Plc ("the company") and its subsidiaries (together "the group") as at 31 December 2025, and of their consolidated and separate financial performance and their consolidated and separate cash flows for the year then ended in accordance with international financial reporting standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards") and the requirements of the Companies and Allied Matters Act and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

What we have audited

VFD Group Plc's consolidated and separate financial statements comprise:

- the consolidated and separate statements of profit or loss and other comprehensive income for the year ended 31 December 2025;
- the consolidated and separate statements of financial position as at 31 December 2025;
- the consolidated and separate statements of changes in equity for the year then ended;
- the consolidated and separate statements of cash flows for the year then ended;
- the notes to the consolidated and separate financial statements, which include a summary of material accounting policies; and

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), i.e. the IESBA Code issued by the International Ethics Standards Board for Accountants. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

PricewaterhouseCoopers
FF Millenium Towers, 13/14 Ligali Ayorinde Street, Victoria Island,
Lagos, Nigeria

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Expected credit losses on loans and advances to customers – 4.94 billion (refer to note 2.6, 2.25 and 17.1) The expected credit losses (ECL) on loans and advances to customers is a key audit matter in the consolidated financial statements because the measurement of impairment allowance is highly subjective and involves the exercise of significant judgements and the use of complex models and assumptions. The gross balance of loans and advances to customers as at 31 December 2025 was N31.19 billion and the associated impairment allowance was N4.94 billion. The key areas where significant judgement in the calculation of ECL include: - the definition of default as adopted by the group; - criteria used to assess Significant Increases in Credit Risk (SICR); - the methodologies employed by the group to model the Probability of Default (PD) used in the ECL model; - the estimation of Loss Given Default (LGD) and the assumptions used in its calculation; - the approach used to determine Exposure at Default (EAD); and - the incorporation of Forward-Looking Information (FLI) and the determination of multiple economic scenarios applied in the ECL model. This is considered a key audit matter in the consolidated financial statements.	We understood the process, evaluated and tested key controls around the determination of ECL. We performed the following procedures: - checked that the Group applied a default definition that is consistent with IFRS 9 default criteria. - applied a risk-based target testing approach for a detailed review of credit files on a sample basis to evaluate management's conclusion on SICR. - checked the reasonableness and accuracy of the PD methodology and computations by performing independent calculations of PD. - evaluated the reasonableness of the LGD against the methodology applied, including the appropriateness of the collateral values and assumptions applied in the ECL model, and the accuracy of the final LGD. - verified the accuracy of EAD computations by independently performing computations for all loans. - checked the reasonableness of the forward-looking information applied in the ECL model and considered the multiple economic scenarios. - validated the accuracy of the ECL computation by performing an independent computation for all loans. We evaluated the IFRS 9 disclosures for adequacy and appropriateness.



Impairment of goodwill – N1.38 billion (refer to notes 2.11, 20.1 and 20.2)

The consolidated financial statements as of 31 December 2025 report a goodwill carrying value of N1.40 billion. During the year, goodwill of approximately N4.15 billion relating to the subsidiary Atiat Limited was written off following its derecognition from the Group. The remaining goodwill balance relates to the Group's continuing acquisitions in Nigeria (N1.34 billion) and Ghana (N41.4 million).

The impairment assessment of goodwill is identified as a key audit matter due to the materiality of the amounts involved, the impact of the divestment from Atiat Limited, the significant judgement required, the valuation methodology, and the reliance on assumptions regarding the cash flow forecast used to evaluate the performance of the cash generating unit (CGU) to which the goodwill is allocated.

The directors have relied on several critical assumptions and assertions to evaluate the goodwill carrying value. These include growth rates and discount rates applied to projected performance, reflecting their perspective on future business prospects.

This is considered a key audit matter in the consolidated financial statements.

We performed the following procedures below regarding the goodwill impairment assessment:

- evaluated the appropriateness of the valuation methodology employed by the directors.
- examined and challenged key assumptions, such as growth and discount rates, leveraging our understanding of the business and industry context.
- validated input data within the cash flow forecasts against supporting documentation.
- conducted an independent calculation of the goodwill's recoverable amount and compared it to its carrying value in the consolidated financial statements.
- performed sensitivity analyses to assess the impact of reasonably possible adverse changes in key assumptions.

We checked the disclosures in the consolidated financial statements to the requirement of the accounting standards.

Other information

The directors are responsible for the other information. The other information comprises the Corporate Information, Corporate Governance Report, Directors' Report, Statement of Directors' Responsibilities, Certification of financial statements, Report of the Audit Committee, Management's Annual Assessment of, and report on, VFD Plc's Internal Control Over Financial Reporting, Certification of management's assessment on internal control over financial reporting, Statement of Value Added and Financial Summary, but does not include the consolidated and separate financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the other sections of the VFD Group Plc 2025 Annual Report, which are expected to be made available to us after that date.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



When we read the other sections of the VFD Group Plc 2025 Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors and those charged with governance for the consolidated and separate financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report.
- However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

The Companies and Allied Matters Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) the company has kept proper books of account, so far as appears from our examination of those books and returns adequate for our audit have been received from locations not visited by us;
- iii) the company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account and returns.

In accordance with the requirements of the Securities and Exchange Commission, we performed a limited assurance engagement and reported on management's assessment of VFD Group Plc's internal control over financial reporting as of 31 December 2025. The work performed was done in accordance with FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting issued by the Financial Reporting Council of Nigeria, and we have issued an unqualified opinion our report dated 01 April 2026.

Chidi Ojechi

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria

Engagement Partner: Chidi Ojechi
FRC/2017/PRO/ICAN/004/00000015955



01 April 2026

CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
for the year ended 31 December 2025

		Group		Company	
		Restated			
	Notes	31 December 2025	31 December 2024	31 December 2025	31 December 2024
		₦'000	₦'000	₦'000	₦'000
Gross earnings		88,356,116	78,037,455	34,351,919	28,476,868
Investment and similar income	4	68,367,537	65,301,932	24,269,935	24,080,015
Investment and similar expense	5.2	(10,403,774)	(12,669,380)	(2,928,785)	(1,022,315)
Net investment income		57,963,763	52,632,552	21,341,150	23,057,701
Other income	6	6,428,029	8,802,243	2,062,712	1,172,335
Gain on disposal of subsidiaries	42	2,735,874	-	2,869,727	-
(Impairment)/write-back of financial assets	9	(2,399,464)	(544,506)	(1,121,216)	780,852
Net gains on financial assets at fair valued through profit or loss	6.1b	10,692,526	3,898,893	5,103,333	3,181,292
Net revenue		75,420,728	64,789,182	30,255,705	28,192,180
Personnel expenses	7	(6,523,363)	(4,817,259)	(900,301)	(739,088)
Other operating expenses	8	(13,920,956)	(12,426,796)	(4,572,539)	(4,015,280)
Depreciation and amortisation	11	(2,729,123)	(2,149,717)	(328,237)	(231,917)
Total expenses		(23,173,442)	(19,393,772)	(5,801,077)	(4,986,285)
Operating profit before income tax		52,247,286	45,395,410	24,454,629	23,205,895
Finance Cost	5.1	(38,203,822)	(35,413,339)	(20,454,690)	(20,674,573)
Share of profit from associate	6.2	132,150	34,387	46,213	43,226
Profit before income tax		14,175,614	10,016,458	4,046,152	2,574,548
Taxation	10	(4,459,667)	(2,270,296)	(799,957)	(391,043)
Profit for the year from continuing operations		9,715,947	7,746,162	3,246,195	2,183,505
Discontinued operations	42	-	946,881	-	-
Profit for the year		9,715,947	8,693,043	3,246,195	2,183,505
Other comprehensive income, net of income tax					
Items that will not be reclassified subsequently to profit or loss					
Fair value movement on equity securities	34.1	8,571,589	858,476	9,056,066	967,637
Items that may be reclassified subsequently to profit or loss					
Unrealised foreign currency translation difference	35 & 36	420,200	3,856,694	-	-
Fair value movement on debt instruments	34.1	174,930	-	-	-
Other comprehensive income for the year, net of taxes		9,166,720	4,715,170	9,056,066	967,637
Total comprehensive income for the year		18,882,666	13,408,214	12,302,260	3,151,142
Profit/(loss) for the year attributable to:					
Equity holders of the Company		7,246,275	6,264,938	3,246,195	2,183,505
Non Controlling Interest		2,469,672	2,428,105	-	-
		9,715,947	8,693,043	3,246,195	2,183,505
Other comprehensive income attributable to:					
Equity holders of the Company		6,836,654	3,204,528	9,056,066	967,637
Non Controlling Interest		2,330,066	1,510,642	-	-
		9,166,720	4,715,170	9,056,066	967,637
Earning per share-basic (kobo)	13	95	82	43	29
Earning per share-diluted (kobo)	13	95	82	43	29

The accompanying notes form an integral part of these financial statements.

***See Note - For discontinued operation Information in relation to Atiat Limited

CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION
as at 31 December 2025

		Group		Company	
	Notes	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
ASSETS					
Cash and cash equivalents	14	79,474,436	13,345,755	52,769,977	1,224,998
Funds under management	15	77,352,590	49,381,873	-	-
Investment in financial assets	16	98,700,281	50,990,113	66,367,741	54,996,205
Loans and advances	17	26,254,558	62,300,053	-	-
Investment in subsidiaries	18	-	-	39,185,259	30,555,337
Investment in associates	12	7,705,062	6,735,675	6,646,704	5,856,295
Property, plant and equipment	19	11,483,522	12,649,468	977,562	574,183
Goodwill	20.1b	1,378,903	5,533,579	-	-
Intangible assets	20	193,629	341,853	20,630	21,476
Investment property	21	28,211,761	24,832,638	2,877,000	8,802,000
Inventory	21.1	16,480,255	11,811,786	-	-
Trade and Other receivables	22	97,882,841	55,657,599	55,301,518	25,222,298
Deferred tax assets	23	688,317	2,088,977	170,305	1,337,417
TOTAL ASSETS		445,806,155	295,669,368	224,316,696	128,590,210
LIABILITIES					
Funds under management	24	91,343,871	49,599,852	-	-
Borrowings	25	123,864,112	121,427,577	124,935,494	83,961,449
Other liabilities	26	88,875,886	25,207,790	57,521,179	10,896,491
Deposit liabilities	27	65,299,893	34,900,483	-	-
Current tax liabilities	28	3,304,443	3,092,376	775,933	725,811
Deferred tax liabilities	23.2	3,496,837	2,915,065	259,223	873,115
TOTAL LIABILITIES		376,185,043	237,143,143	183,491,828	96,456,865
SHAREHOLDERS' FUND					
Share capital	29	3,800,548	633,425	3,800,548	633,425
Share premium	30	15,606,206	19,216,943	15,606,206	19,216,943
Retained earnings	31	16,705,676	10,738,014	8,317,433	4,090,443
Regulatory risk reserve	32	185,424	185,424	-	-
Statutory reserve	33	260,330	392,698	-	-
Other reserves	34	13,627,630	10,938,893	13,100,682	8,192,534
Attributable to equity holders of the parent		50,185,812	42,105,396	40,824,868	32,133,345
Non-controlling interest	35	19,435,299	16,420,829	-	-
TOTAL SHAREHOLDERS' FUND		69,621,111	58,526,225	40,824,868	32,133,345
TOTAL LIABILITIES AND SHAREHOLDERS' FUND		445,806,155	295,669,368	224,316,696	128,590,210

The accompanying notes form an integral part of these financial statements.

The financial statements were approved by the Board of Directors on 27 March 2026 and signed on its behalf by:


Olatunde Busari (SAN)
(Chairman)
FRC/2019/PRO/NBA/004/00000019449


Nonso Okpala
(Group Managing Director)
FRC/2013/PRO/DIR/003/00000004697

Additionally certified by:

Raphael Olope
Chief Financial Officer
FRC/2013/PRO/ICAN/001/00000001354

CONSOLIDATED AND SEPARATE STATEMENTS OF CHANGES IN EQUITY
for the year ended 31 December 2025

(a)

Group	Share Capital N'000	Share Premium N'000	Retained Earnings N'000	Regulatory risk reserve N'000	Statutory reserve N'000	Other Reserves N'000	Non-controlling interest N'000	Total N'000
At 1 January 2025	633,425	19,216,943	10,738,014	185,424	392,698	10,938,893	16,420,829	58,526,224
Transfer from profit or loss account	-	-	7,246,275	-	-	-	2,469,672	9,715,947
Other comprehensive loss/(income)	-	-	-	-	-	6,392,798	2,178,791	8,571,589
Fair value movement on equity instruments	-	-	-	-	-	130,465	44,465	174,930
Fair value movement on debt securities	-	-	-	-	-	313,390	106,810	420,200
Unrealised foreign currency translation difference	-	-	-	-	-	-	-	-
Total comprehensive (loss)/income	-	-	7,246,275	-	-	6,836,654	4,799,738	18,882,666
Transactions with owners in their capacity as owners								
Disposal of Subsidiaries	-	-	(2,391,774)	-	-	-	(1,785,268)	(4,177,042)
Transfer between reserves	-	-	4,280,285	-	(132,368)	(4,147,917)	-	-
Bonus issue	3,167,123	(3,167,123)	-	-	-	-	-	-
Share issue expenses/Transaction Cost	-	(443,614)	-	-	-	-	-	(443,614)
Dividend paid	-	-	(3,167,123)	-	-	-	-	(3,167,123)
At 31 December 2025	3,800,548	15,606,206	16,705,677	185,424	260,330	13,627,630	19,435,299	69,621,111
Company								
At 1 January 2025	633,425	19,216,943	4,090,442	-	-	8,192,534	-	32,133,345
Transfer from profit or loss account	-	-	3,246,195	-	-	-	-	3,246,195
Other comprehensive income	-	-	-	-	-	(4,147,917)	-	-
Transfer between reserves	-	-	4,147,917	-	-	-	-	-
Fair value movement on equity instruments	-	-	-	-	-	9,056,066	-	9,056,066
Total comprehensive income for the year	-	-	4,147,917	-	-	4,908,149	-	9,056,066
Transactions with owners in their capacity as owners								
Right issue	-	-	-	-	-	-	-	-
Bonus issue	3,167,123	(3,167,123)	-	-	-	-	-	-
Dividend Paid	-	-	(3,167,123)	-	-	-	-	(3,167,123)
Share issue expenses/Transaction Cost	-	(443,614)	-	-	-	-	-	(443,614)
At 31 December 2025	3,800,548	15,606,206	8,317,431	-	-	13,100,683	-	40,824,868

b)

Group	Share Capital N'000	Share Premium N'000	Retained Earnings N'000	Regulatory risk reserve N'000	Statutory reserve N'000	Other Reserves N'000	Non-controlling interest N'000	Total N'000
At 1 January 2024	95,014	7,880,427	4,964,371	16,085	209,403	7,434,061	11,931,208	32,530,569
Impact of IAS 29 adoption	-	-	(138,660)	-	-	-	-	(138,660)
Restated total equity at 1 January 2024	95,014	7,880,427	4,825,711	16,085	209,403	7,434,061	11,931,208	32,391,909
Transfer from profit or loss account	-	-	6,264,938	-	-	-	2,428,105	8,693,043
Other comprehensive loss/(income)	-	-	-	-	-	1,075,112	634,539	1,709,651
Fair value movement on equity instruments	-	-	-	-	-	2,429,717	1,426,977	3,856,694
Unrealised foreign currency translation difference	-	-	-	-	-	-	-	-
Total comprehensive income	-	-	6,264,938	-	-	3,504,829	4,489,621	14,259,388
Transactions with owners in their capacity as owners								
Transfer between reserves	-	-	(352,635)	169,339	183,296	-	-	-
Rights Issue	31,671	11,843,256	-	-	-	-	-	11,874,927
Bonus Issue	506,740	(506,740)	-	-	-	-	-	-
At 31 December 2024	633,425	19,216,943	10,738,014	185,424	392,699	10,938,890	16,420,829	58,526,225
Company								
At 1 January 2024	95,014	7,880,427	936,116	-	-	7,754,480	-	16,666,037
Transfer from profit or loss account	-	-	2,183,505	-	-	-	-	2,183,505
Other comprehensive loss/(income)	-	-	970,821	-	-	(970,821)	-	-
Fair value movement on equity instruments	-	-	-	-	-	1,408,875	-	1,408,875
Total comprehensive income for the year	-	-	3,154,326	-	-	438,054	-	3,592,380
Transactions with owners in their capacity as owners								
Dividend paid	-	-	-	-	-	-	-	-
Rights Issue	31,671	11,843,256	-	-	-	-	-	11,874,927
Bonus Issue	506,740	(506,740)	-	-	-	-	-	-
At 31 December 2024	633,425	19,216,943	4,090,442	-	-	8,192,534	-	32,133,345

The accompanying notes form an integral part of these financial statements.

CONSOLIDATED AND SEPARATE STATEMENTS OF CASHFLOWS
for the year ended 31 December 2025

	Notes	Group		Company	
		31 December	31 December	31 December	31 December
		2025 N'000	2024 N'000	2025 N'000	2024 N'000
Profit before tax		14,175,614	10,016,458	4,046,152	2,574,548
Adjustments for:					
Interest from placements & investment income	4	(17,281,168)	(12,291,572)	(3,004,232)	(5,380,334)
Interest from debt instruments at EIR	4	(5,280,794)	(3,423,336)	(1,098,856)	(1,588,198)
Dividend income	4	(1,059,840)	(462,988)	(2,529,751)	(1,086,534)
Interest from loans & advances	4	(9,454,653)	(8,566,427)	(3,869,112)	20,674,573
Investment and similar expenses (less operating lease)	5	39,837,543	37,587,896	-	-
Exchange gain	6	2,900,626	1,937,353	525,889	234,557
Gain on disposal of investment property	6	-	(514,981)	-	(124,178)
Gain on disposal of property, plant and equipment	6	(5,152)	(53,786)	(1,415)	(124)
Fair value gain on investment property	6	(3,500,209)	(5,622,499)	(579,300)	(813,476)
Net gain from financial assets at FVTPL	6.1b	(10,692,526)	(3,898,893)	(5,103,333)	(3,181,292)
Impairment/(write-back) of financial assets	9	2,399,464	544,506	1,121,216	(780,852)
Depreciation and amortisation	11	2,729,123	2,149,717	328,237	231,917
Share of profit from associate	12	(132,150)	(34,387)	(46,213)	(43,226)
Goodwill write off		4,206,598	-	-	-
		18,842,476	17,367,062	(10,210,719)	10,717,381
Movement in working capital					
Other receivables		(42,834,965)	(35,473,872)	(16,317,689)	(18,764,797)
Funds under management		14,898,620	1,611,718	-	-
Loans and advances		32,180,225	(46,520,228)	-	-
Development properties		(4,656,519)	(240,820)	-	-
Deposit liabilities		31,415,204	8,916,615	-	-
Other liabilities		63,668,096	12,575,566	46,624,688	4,837,836
Cash generated from/(used in) operations		113,513,136	(41,763,959)	20,096,280	(3,209,574)
Interest received		34,159,796	33,464,094	6,871,150	9,736,595
Interest paid		(31,415,962)	(28,041,491)	(8,181,876)	(20,674,573)
Income taxes paid	28	(2,265,168)	(256,513)	(55,757)	(6,900)
Net cash generated/(used in) from operating activities		113,991,804	(36,597,869)	18,729,799	(14,154,452)
Cash flows from investing activities					
Purchase of investment property	21	(7,899,665)	(8,067,352)	(697,683)	(7,988,524)
Purchase of property, plant and equipment	19	(6,642,583)	(5,857,644)	(774,638)	(287,623)
Purchase of intangible assets	20	-	(81,196)	(13,000)	(10,988)
Purchase of financial assets		(41,310,583)	(34,661,183)	(9,506,406)	(9,506,406)
Additions to investment in subsidiary		-	-	(8,749,787)	(8,043,213)
Proceeds on disposal of investment property		8,020,750	10,385,579	-	724,178
Proceeds on disposal of property, plant and equipment		306,441	864,573	58,285	84,079
Proceeds on maturity/liquidation of financial assets		40,717,803	40,717,803	28,179,898	8,489,710
Proceed on partial disposal of investment in subsidiary		-	-	67,365	67,365
(Purchase)/proceed on partial disposal of investment in associate		(837,238)	4,242,816	-	4,221,981
Dividend received		-	-	1,307,463	1,086,534
Net cash (used in)/generated from investing activities		(7,645,074)	7,543,395	9,871,497	(11,162,907)
Cash flows from financing activities					
Dividend paid to owners of equity capital	31	-	-	(3,167,123)	-
Proceeds from share issue		538,411	11,874,927	-	11,874,927
Proceeds from borrowings		66,776,299	61,112,873	43,390,320	34,247,200
Repayment of borrowings		(107,728,170)	(40,232,652)	(17,341,612)	(20,739,948)
Net cash (used in)/generated by financing activities		(40,413,460)	32,755,148	22,881,585	25,382,179
Net increase in cash and cash equivalents		65,933,271	3,700,674	51,482,881	64,819
Effect of foreign exchange changes on cash		195,409	1,271,371	62,098	404,022
Cash and cash equivalents at beginning of year	14	13,345,755	8,373,710	1,224,998	756,157
Cash and cash equivalents at end of year	14	79,474,436	13,345,755	52,769,977	1,224,998

The accompanying notes form an integral part of these financial statements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS For the year ended 31 December 2025

1 Company information

The financial statements is the consolidated financial statements of VFD Group Plc, a company incorporated in Nigeria and its subsidiaries (hereafter referred to as 'the Group').

VFD Group Plc was incorporated on 7 July 2009 as a private limited liability company under the Companies and Allied Matters Act, CAP C20 LFN 2004. It commenced operations on 21 December 2010. Its name, formerly Viadaz FD Limited, was changed to VFD Group Limited by a special resolution of the Board on 1 February 2016. The change of name was registered at Corporate Affairs Commission on 14 March 2016.

The name of the Company was again changed to VFD Group Plc by a special resolution of the Board and with the authority of the Corporate Affairs Commission on 28 January 2019.

The principal activity of the Company is to carry on business as an investment company and for that purpose to acquire and hold either in its name or that of any nominee, shares, stocks, debentures and other securities issued by any company wherever incorporated. The principal activities of the subsidiaries cover real estate and hospitality, logistics and haulage, lending and technology services.

VFD Group Plc is domiciled in Nigeria and its registered address is at 8 Macgregor road, Ikoyi, Lagos.

The consolidated and separate financial statements for the year ended 31 December 2025 comprise the Company and its subsidiaries (together referred to as "the Group" and individually as "Group entities"). The separate financial statements is that of the Company. The consolidated and separate financial statements for the year ended 31 December 2025 were approved for issue by the Board of Directors on 27 March 2026.

2 Summary of material accounting policies

The principal accounting policies adopted by the Group in the preparation of these consolidated and separate financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a Going concern

These financial statements have been prepared on the going concern basis. The Group has no intention or need to reduce substantially its business operations. The Management believes that the going concern assumption is appropriate for the group due to sufficient capital adequacy ratio and projected liquidity, based on historical experience that short term obligations will be refinanced in the normal course of business. Liquidity ratio and continuous evaluation of current ratio of the Group is carried out by the group to ensure that there are no going concern threats to the operation of the Group.

b Basis of preparation and measurement

The consolidated and separate financial statements for the year ended 31 December 2025 have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the IASB. Additional information required by national regulations is included where appropriate.

The financial statements have been prepared under the historical cost convention with the exception of the following:

- Derivative financial instruments which are measured at fair value; and
- Non-derivative financial instruments, carried at fair value through profit or loss, or fair value through OCI are measured at fair value

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the Directors to exercise their judgement in the process of applying the Group's accounting policies. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. The Directors believe that the underlying assumptions are appropriate and that the Group's financial statements therefore present the financial position and results fairly. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in the Notes.

c Statement of compliance with International Financial Reporting Standards

The consolidated and separate financial statements comply with the requirement of the International Financial Reporting Standard, Companies and Allied Matters Act 2020, Investment and Securities Act Cap S127 LFN 2004, the Financial Reporting Council of Nigeria (Amendment) Act 2023 to the extent that they are not in conflict with the International Financial Reporting Standards (IFRS).

d Use of estimates and judgments

The preparation of the consolidated and separate financial statements in conformity with IFRSs requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised, if the revision affects only that year, or in the year of the revision and future years, if the revision affects both current and future years.

Information about significant areas of estimation uncertainties and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated and separate financial statements are described in the notes to the financial statements.

NOTES TO THE CONSOLIDATED & SEPARATE FINANCIAL STATEMENTS
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2.1 New Standards and Interpretations

In 2025, the International Accounting Standards Board (IASB) introduced several new standards and amendments to existing International Financial Reporting Standards (IFRS). While these pronouncements have effective dates in the future, it is essential to disclose them in the Group's 2025 consolidated and separated audited financial statements to inform stakeholders about upcoming changes. Below is a summary of these new standards and amendments:

2.1.1 Standards and interpretations effective and adopted in the current year

In 2025, the International Accounting Standards Board (IASB) introduced several amendments to existing International Financial Reporting Standards (IFRS) that became effective for annual reporting periods beginning on or after January 1, 2025. These amendments aim to enhance clarity and consistency in financial reporting. The key amendments effective in 2025 are:

Amendments to IAS 21 - Lack of exchangeability

For annual reporting periods beginning on or after 1 January 2025, Lack of Exchangeability-- Amendments to IAS 21. The Effects of Changes in Foreign Exchange Rates specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendment has been adopted in the preparation of the Group's financial statements. However, the amendment did not have significant impact on the Group's financial statements.

2.1.2 Standards and interpretations not yet effective

In 2025, the International Accounting Standards Board (IASB) issued several new standards and amendments to existing International Financial Reporting Standards (IFRS) that have effective dates in future reporting periods. These pronouncements are essential for entities to consider in their financial reporting to ensure compliance and transparency. Below is a summary of these new standards and amendments:

IFRS 18: Presentation and Disclosure in Financial Statements

Overview: Issued in 2024, IFRS 18 aims to enhance the transparency and comparability of financial statements by providing comprehensive guidelines on presentation and disclosure requirements. This standard replaces IAS 1 and introduces new requirements for the structure and content of financial statements.

Effective Date: Annual periods beginning on or after January 1, 2027. Early adoption is permitted.

Key Changes:

Introduction of a single statement of comprehensive income, combining profit or loss and other comprehensive income.
Enhanced disclosures about management judgments and estimates.
Requirements for presenting comparative information and reclassification adjustments.

That Group has not early adopted this standard for the current financial reporting period. The standard is not expected to have any significant impact on the Group's financial statements.

IFRS 19: Subsidiaries without Public Accountability: Disclosures

Overview: Issued in 2024, IFRS 19 provides disclosure requirements for subsidiaries that do not have public accountability but are included in the consolidated financial statements of a parent that applies IFRS. This standard aims to reduce the disclosure burden on such subsidiaries while maintaining the usefulness of financial information.

Effective Date: Annual periods beginning on or after January 1, 2027. Early adoption is permitted.

Key Provisions:

Simplified disclosure requirements for qualifying subsidiaries.
Alignment of disclosures with those of the parent entity to ensure consistency.
Flexibility for subsidiaries to tailor disclosures based on materiality and relevance.

NOTES TO THE CONSOLIDATED & SEPARATE FINANCIAL STATEMENTS

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That Group has not early adopted this standard for the current financial reporting period. The standard is not expected to have any significant impact on the Group's financial statements.

Amendments to IFRS 9 and IFRS 7: Classification and Measurement of Financial Instruments

Overview: These amendments, issued in 2024, clarify the classification and measurement of financial instruments, particularly concerning financial assets with environmental, social, and governance (ESG)-linked features and the settlement of financial liabilities by electronic payments.

Effective Date: Annual periods beginning on or after January 1, 2026. Early adoption is permitted.

Key Amendments:

Clarification on the classification of financial assets with ESG features under the amortized cost or fair value categories.
Guidance on accounting for electronic payment systems and their impact on the derecognition of financial liabilities.
Enhanced disclosures related to the nature and extent of risks arising from financial instruments with ESG features.

Tha Group has not early adopted this standard for the current financial reporting period. The amendment is not expected to have any significant impact on the Group's financial statements.

Annual Improvements to IFRS Standards – Volume 11

Overview: This set of annual improvements includes minor amendments to various standards, such as IFRS 1, IFRS 7, IFRS 9, IFRS 10, and IAS 7. These amendments aim to clarify guidance and correct unintended consequences to ensure consistent application of IFRS.

Effective Date: Annual periods beginning on or after January 1, 2026. Early adoption is permitted.

Key Improvements:

Clarifications on the application of first-time adoption provisions in IFRS 1.
Enhancements to disclosure requirements in IFRS 7 regarding credit risk management practices.
Corrections to examples in IFRS 9 illustrating the classification of financial liabilities.
Clarifications on the accounting for changes in ownership interests in a subsidiary under IFRS 10.
Guidance on the classification of liabilities arising from financing activities in IAS 7.

That Group has not early adopted this standard for the current financial reporting period.

Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

The amendments will take effect for annual reporting periods starting on or after 1 January 2026. Early adoption is allowed, but it must be disclosed. The amendments apply only to contracts that reference naturedependent electricity; the amendments:

- Clarify the application of the 'own-use' requirements for in-scope contracts
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.

The amendments concerning the own-use exception are to be applied retrospectively, while the hedge accounting amendments should be applied prospectively to new hedging relationships designated from the initial application date. Additionally, the IFRS 7 disclosure amendments must be implemented alongside the IFRS 9 amendments. If an entity does not restate comparative information, it cannot present comparative disclosures.

Tha Group has not early adopted this standard for the current financial reporting period. The amendment is not expected to have any significant impact on the Group's financial statements.

Amendments to IFRS 10 and IAS 28

he amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.

The amendments do not include transition requirements, other than that an entity is required to apply the amendment to IFRS 9:2.1(b)(ii) to lease liabilities that are extinguished on or after the beginning of the annual reporting period in which the entity first applies that amendment.

Tha Group has not early adopted this standard for the current financial reporting period. The amendment is not expected to have any significant impact on the Group's financial statements.

NOTES TO THE CONSOLIDATED & SEPARATE FINANCIAL STATEMENTS

For the year ended 31 December 2025

2.2 Consolidation

The financial statements of the subsidiaries used to prepare the consolidated financial statements were prepared as of the parent company's reporting date. The consolidation principles are unchanged as against the previous year.

Subsidiaries

The consolidated and separate financial statements incorporate the financial statements of the Company and all its subsidiaries where it is determined that there is a capacity to control. The Group controls an entity where the Group is exposed to or has right to variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Control is assessed on a continuous basis.

All the facts of a particular situation are considered when determining whether control exists. Control is usually present when an entity has:

- power over more than one-half of the voting rights of the other entity;
- power to govern the financial and operating policies of the other entity;
- power to appoint or remove the majority of the members of the board of directors or equivalent governing body; or
- power to cast the majority of votes at meetings of the board of directors or equivalent governing body of the entity.

a. Separate financial statements

Investments in subsidiaries are accounted for at cost less accumulated impairment losses (where applicable) in the separate financial statements. The carrying amounts of these investments are reviewed annually for impairment indicators and, where an indicator of impairment exists, are impaired to the higher of the investment's fair value less costs to sell and value in use.

b. Consolidated financial statements

Subsidiaries are consolidated from the date on which control is transferred to the Group and cease to be consolidated from the date that control ceases. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions (transactions with owners). Any difference between the amount by which the noncontrolling interest is adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the Group.

Inter-company transactions, balances and unrealised gains on transactions between companies within the Group are eliminated on consolidation. Unrealised losses are also eliminated in the same manner as unrealised gains, but only to the extent that there is no evidence of impairment. Consistent accounting policies are used throughout the Group for the purposes of consolidation.

i. Acquisition

The acquisition method of accounting is used to account for the acquisition of subsidiaries by the Group. The consideration transferred is measured as the sum of the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the acquisition date. The consideration includes any asset, liability or equity resulting from a contingent consideration arrangement. The obligation to pay contingent consideration is classified as either a liability or equity based on the terms of the arrangement. The right to a return of previously transferred consideration is classified as an asset. Transaction costs are recognised within profit or loss as and when they are incurred. Where the initial accounting is incomplete by the end of the reporting year in which the business combination occurs (but no later than 12 months since the acquisition date), the Group reports provisional amounts. Where applicable, the Group adjusts retrospectively the provisional amounts to reflect new information obtained about facts and circumstances that existed at the acquisition date and affected the measurement of the provisional amounts. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any NCI. The excess (shortage) of the sum of the consideration transferred (including contingent consideration), the value of NCI recognised and the acquisition date fair value of any previously held equity interest in the subsidiary over the fair value of identifiable net assets acquired is recorded as goodwill in the statement of financial position (gain on bargain purchase, which is recognised directly in profit or loss). When a business combination occurs in stages, the previously held equity interest is remeasured to fair value at the acquisition date and any resulting gain or loss is recognised in profit or loss. Increases in the Group's interest in a subsidiary, when the Group already has control, are accounted for as transactions with equity holders of the Group. The difference between the purchase consideration and the Group's proportionate share of the subsidiary's additional net asset value acquired is accounted for directly in equity.

ii. Loss of Control

The Group could lose control of a subsidiary through the disposal of the subsidiary. When the Group loses control of a subsidiary, the profit or loss on disposal is calculated as the difference between the fair value of the consideration received (including the fair value of any retained interest in the underlying investee) and the carrying amount of the assets and liabilities and any non-controlling interest. Any gains or losses in OCI that relate to the subsidiary are reclassified to profit or loss at the time of the disposal.

iii. Partial Disposal

Where the Group partially disposes a subsidiary which gives rise to a reduction in the Group's ownership interest in an investee that is not a disposal (i.e. a reduction in the group's interest in a subsidiary whilst retaining control). Decreases in the Group's interest in a subsidiary, where the Group retains control, are accounted for as transactions with equity holders of the Group. Gains or losses on the partial disposal of the Group's interest in a subsidiary are computed as the difference between the sales consideration and the Group's proportionate share of the investee's net asset value disposed of and are accounted for directly in equity.

iv Initial measurement of Non-Controlling Interest (NCI)

The Group elects on each acquisition to initially measure NCI on the acquisition date at either fair value or at the NCI's proportionate share of the investee's identifiable net assets.

NOTES TO THE CONSOLIDATED & SEPARATE FINANCIAL STATEMENTS

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2.3 Associates

An associate is an entity in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control over these policies. Significant influence is generally demonstrated by the Group holding in excess of 20%, but less than 50%, of the voting rights.

The Group's share of results of the associate entity is included in the consolidated income statement. Investments in associates are carried in the statement of financial position at cost plus the Group's share of post-acquisition changes in the net assets of the associate. Investments in associates are reviewed for any indication of impairment at least at each reporting date. The carrying amount of the investment is tested for impairment, where there is an indication that the investment may be impaired.

When the Group's share of losses or other reductions in equity in an associate equals or exceeds the recorded interest, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the entity. The Group's share of the results of associates is based on financial statements made up to a date not earlier than three months before the balance sheet date, adjusted to conform with the accounting policies of the Group. Unrealised gains and losses on transactions are eliminated to the extent of the Group's interest in the investee. Losses may provide evidence of impairment of the asset transferred in which case appropriate allowance is made for impairment.

In the separate financial statements of the Company, investments in associates are initially recognised at cost and subsequently adjusted for by the post-acquisition changes in the investor's share of net assets of the investees. The Group uses the equity method in accounting for investments in associates.

2.4 Foreign currency transactions and balances

Functional and presentation

(a)

currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (functional currency). The parent entity's functional currency (Nigerian Naira) is adopted as the presentation currency for the separate and consolidated financial statements. Except as otherwise indicated, financial information presented in Naira has been rounded to the nearest thousand.

(b)

Transactions and balances

Foreign currency transactions and balances are translated into the functional currency (Naira) using the exchange rates prevailing at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e. translation differences on items whose fair value gain or loss is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively).

(c) **Group companies**

Except for those subsidiaries operating in a hyper-inflationary economy (as shown in note 2.23), the results and financial position of all the Group entities that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

i) assets and liabilities for statement of financial position presented are translated at the closing rate at the reporting date;

ii) income and expenses for each statement of profit or loss and other comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and

iii) all resulting exchange differences are recognised in other comprehensive income and presented within equity as foreign currency translation reserves.

On the disposal of a foreign operation, the Group recognises in profit or loss the cumulative amount of exchange differences relating to that foreign operation. When a subsidiary that includes a foreign operation is partially disposed of or sold, the Group re-attributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non-controlling interests in that foreign operation. In the case of any other partial disposal of a foreign operation, the Group reclassifies to profit or loss only the proportionate share of the cumulative amount of exchange differences recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate at the reporting date.

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2.5 Current and deferred income tax

Income tax expense comprises current and deferred tax.

Income tax expense is recognized in profit or loss except to the extent that results of transactions relate to items recognized directly in equity, in which case it is recognized in equity.

Current income tax is calculated on the basis of estimated taxable income for the year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax recoverable or payable in respect of previous years.

Deferred income tax is recognized, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes based on tax rates and laws that have been enacted or substantively enacted at the reporting period date and are expected to apply when the related deferred income tax liability is settled.

Deferred tax assets and liabilities are recorded under non-current assets and liabilities.

2.6 Non-derivative Financial Instruments

Definition

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. A financial asset or liability is recognized when the Group becomes a party to the contractual provisions of the instrument.

Initial recognition and measurement

Financial instruments are recognised initially when the Company becomes a party to the contractual provisions of the instruments.

Financial instruments carried at amortised cost and fair value through other comprehensive income are initially measured at fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial instruments.

Financial instruments are recognised or de-recognised on the date the Company settles the purchase or sale of the instruments (settlement date accounting) in the following events viz:

- i) the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- ii) the contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI).
- iii) the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- iv) the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial liabilities

The Company classifies financial liabilities into two categories: financial liabilities measured at amortised cost and financial liabilities measured at fair value through profit or loss (FVTPL). By default, the Company measures its financial liabilities at amortised cost. However, there are exceptions to this approach. If a financial liability is held for trading purposes, it must be measured at FVTPL. Additionally, the Company may choose to designate a financial liability at FVTPL by applying the fair value option, as permitted under IFRS.

The Group's business models fall into three categories, which are indicative of the key strategies used to generate returns.

Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- (a) the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;

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- (b) how the performance of the portfolio is evaluated and reported to the Company's management;
 - (c) the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
 - (d) how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
 - (e) the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.
- Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest (SPPI)

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin. In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers

- (a) contingent events that would change the amount and timing of cash flows;
- (b) leverage features;
- (c) prepayment and extension terms;
- (d) terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse loans);
- (e) features that modify consideration of the time value of money (e.g. periodical reset of interest loans)

Non-recourse loans

Loans made by the Company that are secured by collateral of the borrower may limit the Company's claim to cash flows of the underlying collateral (non-recourse loans). The Company applies judgment in assessing whether the non-recourse loans meet the SPPI criterion. The Company typically considers the following information when making this judgement:

In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers

- (a) whether the contractual arrangement specifically defines the amounts and dates of the cash payments of the loan;
- (b) the fair value of the collateral relative to the amount of the secured financial asset;
- (c) the ability and willingness of the borrower to make contractual payments, notwithstanding a decline in the value of collateral;
- (d) the Company's risk of loss on the asset relative to a full-recourse loan;
- (e) the extent to which the collateral represents all or a substantial portion of the borrower's assets; and
- (f) whether the Company will benefit from any upside from the underlying assets.

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the company changes its business model for managing financial assets.

Subsequent measurement

Subsequent to initial recognition, financial instruments are measured at amortized cost, fair value through profit or loss (FVTPL), or fair value through other comprehensive income (FVOCI), depending on their classification:

(i) Financial assets at amortized cost

Financial assets at amortized cost are non-derivative financial assets with fixed or determinable payments. These include Cash and cash equivalents, Placements with bank, Mortgage Refinance loans, Staff loans, other receivables, treasury bills and a portfolio of investments in bonds.

The carrying amounts of these assets are measured at amortised cost using the effective interest method, less any impairment losses. Transaction costs that are integral to the effective rate are capitalised to the value of the loan and receivable and amortised through interest income as part of the effective interest rate.

(ii) Financial assets at fair value through other comprehensive income (FVOCI)

FVOCI financial assets are non-derivative financial assets. The Company's investments in a portfolio of bonds, treasury bills and equity instruments are classified as FVOCI financial assets.

Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses are recognised in other comprehensive income and presented within equity in the fair value reserve.

Expected credit loss (ECL) on FVOCI financial assets is not deducted from the asset itself but is instead recognized in profit or loss and other comprehensive income (OCI) as part of the fair value reserves.

When an investment is derecognised, the cumulative gain or loss in other comprehensive income is transferred to profit or loss except for those gains or losses on equity instruments.

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iii) Other financial liabilities

Other financial liabilities are measured at amortised cost subsequent to initial recognition. The Company's borrowings and debt securities and other liabilities are included in this category.

Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the company determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, then the company measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the company on the basis of the net exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for the particular risk exposure. Portfolio-level adjustments – e.g. bid-ask adjustment or credit risk adjustments that reflect the measurement on the basis of the net exposure – are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

Impairment of financial assets

The Group recognises loss allowances for expected credit losses (ECL) on financial assets that are debt instruments and that are not measured at fair value through profit or loss (FVTPL).

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition

The Group considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Group does not apply the low credit risk exemption to any other financial instruments.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognised are referred to as 'Stage 1 financial instruments'.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as 'Stage 2 financial instruments'.

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive); and
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;

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Measurement of ECL

The Group applies the Expected Credit Loss (ECL) model in accordance with IFRS 9 – Financial Instruments to measure impairment on financial assets. The ECL model is designed to provide a forward-looking assessment of credit losses, replacing the previous incurred loss model.

The ECL model is applied to the following financial assets:

Loans and advances to customers

Debt instruments at amortized cost and fair value through other comprehensive income (FVOCI)

Trade and other receivables

Financial guarantee contracts and loan commitments

Cash and cash equivalents (where applicable)

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition.
- This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a retail loan that is overdue for 90 days or more is considered credit-impaired even when the regulatory definition of default is different.

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Company considers the following factors.

- The market's assessment of creditworthiness as reflected in the bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

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Inputs into ECL measurement

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD.

The methodology of estimating PDs is discussed under the heading 'Generating the term structure of PD'.

Loss Given Default (LGD) is the measure of the proportion of the outstanding balance that the Company stands to lose in the event of a default. The LGD as a percentage of EAD is then a combination of the losses associated with the debt instrument. Multi-year LGD is a collection of LGD values referring to different time periods over the lifetime of a financial asset. The LGD model considers the collateral value and class, unsecured recovery rate, collateral hair cut, recovery costs and time to recovery of any collateral that is integral to the financial asset. For loans secured by real estate property, loan to value (LTV) ratios are a key parameter in determining LGD.

Exposure at Default (EAD) is the measure of the expected outstanding balance on a facility at a given time of default. Multi-year EAD is a collection of the monthly EAD values referring to different time periods over the lifetime of a financial asset. The outstanding balance on financial assets at every time period depends primarily on the nature of its cash flows. All financial assets in the scope of IFRS 9 can be classified into assets with deterministic cash flows and assets with stochastic cash flows. However, all assets with the Company possess deterministic cash flows, therefore they can be modelled based on their repayment types in the following categories:

- Bullet repayment
- Annuity repayment
- Linear repayment
- Unstructured repayment

However, the loans and advances of the Company are computed on an annuity repayment basis.

As described above, and subject to using a maximum of a 12-month PD for Stage 1 financial assets, the Company measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for credit risk management purposes, the Company considers a longer period. The maximum contractual period extends to the date at which the Company has the right to require repayment of an advance.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets; and
- debt instruments measured at FVOCI: no loss allowance is recognised in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognised in the fair value reserve.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI.

Offsetting financial instruments

Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRSs or for gains and losses arising from a group of similar transactions.

Derecognition

(i) Financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred, or in which the company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

Any interest in transferred financial assets that is created or retained by the Company is recognised as a separate asset or liability.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Any cumulative gain/loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities.

The Company derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

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Modification of financial assets and liabilities

(i) Financial assets

If the terms of a financial asset are modified, then the company evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and

- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the company plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the company first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and modification fees received adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method.

(ii) Financial liabilities

The Company derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and the consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

Mortgage refinance loans

The 'mortgage refinance loans' caption in the statement of financial position includes loans and advances measured at amortised cost; these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method.

Investment Securities

The 'investment securities' caption in the statement of financial position includes:

- debt investment securities measured at amortised cost; these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- debt securities measured at FVOCI; and
- equity investment securities designated as at FVOCI.
- For debt securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:
 - interest revenue using the effective interest method;
 - ECL and reversals; and
 - foreign exchange gains and losses.

When debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

The Company elects to present changes in the fair value of certain investments in equity instruments that are not held for trading in OCI. The election is made on an instrument-by-instrument basis on initial recognition and is irrevocable.

Fair value gains and losses on such equity instruments are never reclassified to profit or loss and no impairment is recognised in profit or loss. Dividends are recognised in profit or loss unless they clearly represent a recovery of part of the cost of the investment, in which case they are recognised in OCI. Cumulative gains and losses recognised in OCI are transferred to retained earnings on disposal of an investment.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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2.7 Revenue recognition

(a) Interest income and interest expense

Interest income and interest expense for all interest-bearing financial instruments are recognized within 'interest income' and 'interest expense' in profit or loss using the effective interest rate method.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortized cost before any impairment allowance) or to the amortized cost of a financial liability. The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, investment income is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

(b) Fees and commission income

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate. For other fees and commission income, it is the Group's policy to recognize revenue from a contract when it has been approved by both parties, rights have been clearly identified, payment terms have been defined, the contract has commercial substance, and collectability has been ascertained as probable. Revenue is recognized when control of goods or services have been transferred. Control of an asset refers to the ability to direct its use and obtain substantially all of the remaining benefits associated with the asset.

(c) Dividend income

Dividends are recognized when the Group's right to receive the payment is established, which is usually when shareholders approve the dividend.

2.8 Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets other than deferred tax assets are assessed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

The recoverable amount of an asset or, if the recoverable amount of single assets cannot be determined, for the smallest identifiable group of assets that generates independent cash flows from their continuous use, referred to as cash generating units, is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows expected to be derived from the use of the asset and, if significant and reasonably determinable, from its disposal at the end of its useful life, net of disposal costs are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

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Cash flows are determined on the basis of reasonable and documented assumptions that represent the best estimate of the future economic conditions during the remaining useful life of the asset, giving more importance to independent assumptions.

An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognized in profit or loss.

Impairment losses recognized in respect of cash-generating units are allocated first to reduce the carrying amount of any asset allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognized. Reversals of impairment losses are recognized in profit or loss.

2.9 Property, plant and equipment

The Group's property, plant and equipment comprise land, leasehold improvement, plant and machinery, office equipment, computer equipment, furniture and fittings and motor vehicle.

Recognition and measurement

All categories of property, plant and equipment are initially recognized at their purchase cost including any costs directly attributable to bringing the asset into operation when the following conditions are met:

- (a) their values can be reasonably determined,
- (b) the economic benefit will accrue to the Group.

Property, plant and equipment are subsequently stated at historical cost less accumulated depreciation and accumulated impairment losses, if any.

Subsequent costs

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of ordinary day-to-day servicing and maintenance of property, plant and equipment are recognized in profit or loss as incurred.

Depreciation

The depreciable amount of an asset is its cost less the estimated residual value at the end of its useful life, if this is significant and can be reasonably determined. Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is derecognized.

Depreciation is recognised in profit or loss on a straight line basis to write down the cost of each asset, to their residual values over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets under finance lease are depreciated over the shorter of the lease term and their useful lives. The following annual rates are applied.

Land	Not depreciated
Leasehold improvement	Over the lease period
Building	Over the unexpired lease period
Plant and machinery	33.33%
Computer equipment	33.33%
Office equipment	33.33%
Furniture and fittings	25.00%
Motor vehicle	25.00%

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The assets' residual values, useful lives and method of depreciation are reviewed, and adjusted prospectively if appropriate at the end of each reporting period.

De-recognition

An item of property, plant and equipment and any significant part initially recognized is derecognized on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss of the year the asset is derecognized.

2.10 Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Motor vehicles 3 to 5 years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment. Refer to the accounting policies in section (s) Impairment of non-financial assets.

ii) Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

The Group's lease liabilities are included in Interest-bearing loans and borrowings

iii) Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of machinery and equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Operating lease payments are recognized as an operating expense in the income statement on a straight-line basis over the lease term.

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

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2.11 Goodwill and Intangible assets

a Goodwill

Goodwill represents the excess of the cost of the acquisition over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the acquired subsidiaries at the date of acquisition. When the excess is negative, it is recognised immediately in profit or loss; Goodwill on acquisition of subsidiaries is included in intangible assets. Subsequent to initial recognition, goodwill is measured at cost less accumulated impairment losses.

Subsequent measurement

Goodwill is allocated to cash-generating units or groups of cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose. Goodwill is tested annually as well as whenever a trigger event has been observed for impairment by comparing the present value of the expected future cash flows from a cash generating unit with the carrying value of its net assets, including attributable goodwill and carried at cost less accumulated impairment losses. Impairment losses on goodwill are not reversed. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

b Software

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and bring to use the specific software when their values can be reasonably determined and economic benefits will accrue to the Group. Computer software is stated at cost less amortization and impairment losses.

Subsequent expenditure

- Subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. Costs associated with maintaining computer software programmes are recognized as expenses when incurred.

Amortisation

- Computer software are amortized over the useful economic life estimated as the period over which the assets will be used by the Group. The amortisation period and the amortisation method are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. Amortisation rate for intangible asset is as follows:

Computer software	33.33%
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Derecognition of intangible assets

An intangible asset is derecognized on disposal, or when no future economic benefits are expected from its use. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset are recognized in profit or loss.

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2.12 Employee benefits

Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognized for the amount expected to be paid under short-term cash, bonus or profit sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Post-employment benefits

Defined contribution plans

The Group operates a defined contribution plan in accordance with the provisions of the Pension Reform Act. The contribution of the employee and employer is 8% and 10% of the qualifying monthly emoluments (i.e. basic, housing and transport) of employees respectively. The Group's obligations for contributions to the plan are recognized as an expense in profit or loss when they are due.

2.13 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligation as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit or loss net of any reimbursement.

2.14 Cash and cash equivalents

For the purposes of the consolidated statement of cash flows, cash and cash equivalents include cash in hand, unrestricted demand, call deposits with banks, and short term highly liquid financial assets (including money market funds), with original maturities of three months or less from the acquisition date, which are subject to insignificant risk of changes in their value and used by the Group in the management of its short-term commitments.

2.15 Share capital and reserves

Share capital

The issued ordinary shares of the Company are classified as equity instruments. Incremental costs directly attributable to the issue of an equity instrument are shown in equity as a deduction, net of tax, from the proceeds.

Share premium

Premiums from the issue of shares are reported in share premium.

Statutory reserve

Nigerian banking regulations require Microfinance Banks to make an annual appropriation to a statutory reserve. Section 8.1.7(a) of the Central Bank of Nigeria Revised Regulatory and Supervisory Guidelines for Microfinance Banks (MFBs) stipulates that an appropriation of 50% of profit after tax is made if the statutory reserve is less than 50% of the paid-up share capital, an appropriation of 25% of profit after tax is made if the statutory reserve is 50% or more but less than 100% of the paid up share capital and 12.5% of profit after tax if the statutory reserve is equal to 100% or more of the paid-up share capital.

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Regulatory risk reserve

The Nigerian banking regulator requires Microfinance Banks to create a reserve for the difference between impairment charge determined in line with the principles of IFRS and impairment charge determined in line with the prudential guidelines issued by the Central Bank of Nigeria (CBN). This reserve is not available for distribution to shareholders.

Other reserves

Comprises fair value movements on equity instruments at FVOCI.

Retained earnings

Retained earnings are the carried forward recognised income net of expenses plus current year profit attributable to shareholders.

Foreign currency translation reserve

This balance appears only in the Group accounts and represents the foreign currency exchange difference arising from translating the results and financial position of all the group entities that have a functional currency different from the presentation currency.

Dividends

Dividends on ordinary shares are recognized in equity in the period in which they are approved by the Company's shareholders. Dividends for the period that are declared after the reporting date are disclosed in the financial statements as a non-adjusting event

2.16 Earnings per share

The Group presents earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the reporting period. Where there are shares that could potentially affect the number of shares issued, those shares are considered in calculating the diluted earnings per share. There are currently no share that could potentially dilute the total issued shares.

2.17 Fair value measurement

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability (i.e. the 'exit price') in an orderly transaction that is not a forced sale, liquidation sale or a distressed sale between market participants at the measurement date. Fair value is determined based on market conditions at the measurement date and the assumptions that market participants would use (i.e. it is a market-based measurement). Fair value measurement assumes the transaction to sell the asset or transfer the liability occurs in a principal market or, in the absence of a principal market, in the most advantageous market to which the entity has access. It does not consider an entity's intent to sell the asset or transfer the liability. Fair value measurements of non-financial assets take into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The highest and best use is determined from the perspective of market participants, even if the entity intends a different use.

An entity's current use of a non-financial asset is presumed to be its highest and best use unless market or other factors suggest that a different use by market participants would maximize the value of the asset. In the absence of quoted market prices, the fair value of a financial or non-financial liability or an entity's own equity instruments is taken as the fair value of the corresponding asset held by another market participant at the measurement date. Counterparty credit risk and own credit risk are taken into account in determining the fair value of a liability. In the absence of quoted market prices, an entity uses valuation techniques appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

For the year ended 31 December 2025

2.18 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

2.19 Expense recognition

Operating expenses

Expenses are decreases in economic benefits during the accounting period in the form of outflows, depletion of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distributions to equity participants.

Expenses are recognized on an accrual bases regardless of the time of spending cash. Expenses are recognized in the income statement when a decrease in future economic benefit related to a decrease in an assets or an increase of a liability has arisen that can be measured reliably. Expenses are measured at historical cost.

Only the portion of cost of a previous period that is related to the income earned during the reporting period is recognized as an expense. Expenses that are not related to the income earned during the reporting period, but expected to generate future economic benefits, are recorded in the financial statements as assets. The portion of assets which is intended for earning income in the future periods shall be recognized as an expense when the associated income is earned.

Expenses are recognized in the same reporting period when they are incurred in cases when it is not probable to directly relate them to particular income earned during the current reporting period and when they are not expected to generate any income during the coming years.

2.20 Investment properties

Investment properties are properties held to earn rentals and/or capital appreciation (including property under construction for such purposes). Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured at fair value. All of the Group's property interests held under operating leases to earn rentals or for capital appreciation purposes are accounted for as investment properties and are measured using the fair value model. Gains and losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

2.21 Related party transactions

Transactions with related parties are conducted and recorded at arms' length and disclosed in accordance with IAS 24 "Related party disclosures".

2.22 Inventory

Properties acquired or being constructed for sale in the ordinary course of business, rather than to be held for rental and capital appreciation, is held as inventory and is measured at the lower of cost and net realisable value (NRV). Cost includes:

- a. Freehold and leasehold rights to land.
- b. Amounts paid to contractors for construction.
- c. Borrowing costs, planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

NRV is the estimated selling price in the ordinary course of business, based on market prices at the reporting date and discounted for the time value of money if material, less estimated costs of completion and the estimated costs necessary to make the sale.

The cost of inventory recognised in the profit or loss on disposal is determined with reference to the specific costs incurred on the properties sold and an allocation of any non-specific costs based on the relative size of the property sold.

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2.23 Hyperinflationary accounting

Hyperinflationary accounting is applied to those subsidiary operations in countries where the three-year cumulative inflation rate is approaching or exceeding 100%. In 2024, this affected the Group's operations in Ghana. The Group applies IAS 29 Financial Reporting in Hyperinflationary Economies to the underlying financial information of relevant subsidiaries to restate their local currency results and financial position so as to be stated in terms of the measuring unit current at the end of the reporting period. Those restated results are translated into the Group's presentation currency (the Nigerian Naira) for consolidation at the closing rate at the balance sheet date. Group comparatives are not restated for the effect of hyperinflation and consequential adjustments to the opening balance sheet in relation to the hyperinflationary subsidiaries are presented in Other comprehensive income and reported in retained earnings. The hyperinflationary gain or loss in respect of the net monetary position of the relevant subsidiary is included in profit or loss and separately disclosed within other operating income.

When applying hyperinflationary accounting for the first time, the underlying information is restated in terms of the measuring unit current at the end of the reporting period as if the relevant economy had always been hyperinflationary. Group comparatives are not restated for such historical adjustments.

The restatement procedures applied for transactions and balances for the Ghana subsidiary are as follows:

- Corresponding figures as of, and for, the prior year ended for the subsidiary only, were restated by applying the change in the index from the end of the prior year to the end of the current year.
- Monetary assets and liabilities for the current year, were not restated as they already stated in terms of the measuring unit current at statement of financial position date;
- Non-monetary assets and liabilities, and components of shareholders equity/funds, were restated by applying the change in index from date/month of transaction
- Property, plant and equipment and intangible assets were restated by applying the change in the index from the date of transaction, to the statement of financial position date. Depreciation and amortisation amounts are based on the restated amounts;
- Profit or loss statement items/transactions, were restated by applying the change in index during the period to statement of financial position date.

2.24 Judgements

Information about Judgements made in applying accounting policies that have the most significant effects on the amounts recognized in the consolidated and separate financial statements included in the note below;

2.25 Assumptions and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 December 2025 is included in the following notes.

- i) Impairment of financial Instruments: assessment of whether credit risk on the financial asset has increased significantly since initial recognition and incorporation of forward-looking information in the measurement of ECL.
- ii) Determination of the fair value of financial instruments with significant unobservable inputs.
- iii) The Group applies accrual accounting for recognition of its income and expenses.
- iv) The consolidated and separate financial statements have been prepared on the basis that the group and company will continue to operate as a going concern.
- v) Recognition of deferred tax assets:- availability of future taxable profit against which carry-forward tax losses can be used as well as the likelihood and uncertainties of the extension of the

2.26 Changes in accounting policies

Except as described, the group has consistently applied the accounting policies to all periods presented in these annual consolidated and separate financial statements.

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3 Financial risk management

Nigeria's economy faced significant challenges in 2025. Throughout the year, each key macroeconomic indicator presented distinct macroeconomic risks, contributing to a period of economic strain.

Nigeria's Economic Landscape in 2025:

The 2025 financial year represented a pivotal era for the Nigerian economy, transitioning from the extreme volatility of 2023–2025 toward a documented, albeit fragile, stabilization. This shift was underpinned by a concerted effort between monetary and fiscal authorities to restore market confidence through transparency and structural reform.

For the Group, the operating environment required a disciplined approach to capital preservation and a proactive response to a rapidly evolving regulatory framework.

Q1: The Policy Hold and Inflationary Re-basing

The year commenced under a regime of high-interest rates, with the Monetary Policy Rate (MPR) maintained at a hawkish 27.50%. Despite a technical "drop" in headline inflation to 23.18% following the NBS rebasing exercise, liquidity remained tight. The Group focused on optimizing working capital and reducing high-interest short-term exposures to mitigate the impact of elevated borrowing costs on the bottom line.

Q2: The Legislative Pivot (Tax Reform Acts 2025)

The second quarter was defined by the signing of the 2025 Tax Reform Acts. These landmark bills introduced a 15% Minimum Effective Tax Rate and a consolidated 4% Development Levy. Our finance team initiated a comprehensive re-measurement of our deferred tax positions to ensure compliance and accurately reflect these changes in our interim reporting.

Q3: Monetary Easing and FX Market Unification

By the third quarter, the successful deployment of the Electronic Foreign Exchange Matching System (EFEMS) brought much-needed transparency to the FX market. The Naira showed resilience, trading within a stable range of ₦1,450 – ₦1,500/\$1. This convergence allowed the Group to better manage its foreign-denominated obligations and reduced the magnitude of unrealized FX losses compared to the prior year.

Q4: Resilience and Stabilization

The year concluded with a modest 50 bps cut in the MPR to 27.00%, signaling the start of a gradual easing cycle as year-end inflation trended toward 15%. This stabilization in the macro-indices provided a more predictable environment for the Group's year-end valuations and impairment testing, particularly across our residential and commercial asset portfolios.

Trade and Liquidity Flows

Global commodity prices remained high in 2025 as shocks and geopolitical tensions persisted. While the depreciation of the Naira supported exports of goods and services, the cost of imports played a major role in the high cost of production and elevated prices.

Liquidity inflows have doubled over the four quarters; however, liquidity challenges may recur as inflows remain driven by foreign portfolio investments (FPIs). Growth in foreign direct investment (FDI) flows in 2025 has marginally moved above the \$94.34mn average of 2023; however, the constrained macroeconomic environment, energy crisis, infrastructural deficit and insecurity have not provided an attractive enough environment for FDI inflows.

Nigerian Households in 2025

Policy enactments aimed at restoring/rekindling hope amongst Nigerian households fell deeper and deeper into a cost-of-living difficulty. Inflation remained largely upward trending while the real value of household purchasing power gradually diminished, eroding over 60% despite an increase in the minimum salary to N70,000 from N30,000.

Malnutritional concerns grew stronger over the past four quarters as the affordability of basic meals became more challenging for households owing to growing food inflation and low food productivity.

Persistent Macroeconomic Challenges and Evolving Risk Landscape

Nigeria's risk management landscape continues to be shaped by persistent macroeconomic headwinds. These challenges create a complex and dynamic environment, demanding a sophisticated approach from risk professionals. Similar to a seasoned soldier navigating a minefield, risk managers must carefully assess and mitigate known and unforeseen risks.

Constant Evolution in Risk Management Practices

It is crucial to acknowledge that risk management is an ever-evolving field. Regulatory frameworks are subject to change, technological advancements disrupt traditional practices, and innovative financial instruments are continuously introduced in the Nigerian market.

- (a) **Evolving Regulatory and Financial Landscape:** Regulatory and financial reforms will significantly impact operational processes. These reforms are expected to play a key role in fostering transparency and strengthening risk management practices in the future.
- (b) **Technological Disruption:** The rapid advancement of technology will continue to reshape the financial landscape. Businesses will leverage these advancements to execute a greater volume of transactions efficiently, even during periods of market volatility.
- (c) **Product Innovation:** We can expect businesses to develop and introduce increasingly sophisticated financial instruments, particularly in the areas of FX derivatives and oil hedging products.

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For the year ended 31 December 2025

- (d) Diversifying Client Base: The Nigerian financial market will continue to attract new and diverse client segments. This trend necessitates the development of new operational procedures and tailored product offerings to cater to their specific needs.

The confluence of these and other emerging trends will undoubtedly reshape the Nigerian financial industry. While some risks may be mitigated, new challenges will inevitably arise. In this dynamic environment, a thorough understanding of the operational cycle and best practices for risk management is imperative. Only through continuous adaptation and a commitment to sound risk management practices can financial institutions navigate the evolving landscape and ensure long-term success.

The past year presented a unique opportunity to refine our risk management and governance frameworks. By optimizing these processes, we positioned the Group to capitalize on emerging market and regulatory trends. In essence, 2025 was a year of significant engagement in risk management. The successful implementation of various risk management initiatives broadened our toolkit, ultimately enhancing our risk mitigation capabilities throughout the year.

Bespoke Enterprise Risk Management

Enabling Stakeholder Success Through Bespoke Risk Management:

Our core processes prioritize the achievement of stakeholder ambitions. We leverage a bespoke risk management framework to identify, assess, monitor, control, and report both inherent and residual risks associated with pursuing these goals. This comprehensive approach ensures that ambitions are achieved in a responsible and sustainable manner.

Expanding our market footprint necessitates a robust and proactive Enterprise Risk Management (ERM) framework.

The Group acknowledges that risk is inherent to any business operation. We maintain a disciplined and proactive approach to risk management, ensuring our risk functions are adaptable and responsive to stakeholder needs. By actively analyzing the interrelationships between various risk types, we gain a comprehensive understanding of our overall risk profile. Furthermore, we conduct periodic reviews of risk exposure limits and risk controls to ensure we are adequately positioned to mitigate potential adverse scenarios.

Aligning Risk Management with Best Practices:

The Group's risk management architecture effectively balances corporate oversight with clearly defined risk management functions within three core areas: lines of business, governance and control, and internal audit. This comprehensive framework ensures comprehensive risk management across all relevant domains. The Board of Directors and management remain committed to continuously improving our risk management practices, benchmarking them against leading international standards. We firmly believe that long-term organizational sustainability hinges on robust governance and effective risk management. Consequently, risk management occupies a position of critical importance within the Group.

Enterprise Risk Management Framework: Balancing Risk and Reward

The Group's Board of Directors establishes risk tolerance levels and sets overarching risk management strategies and policies. These policies are documented within the Enterprise Risk Management (ERM) Framework. This comprehensive framework outlines acceptable risk levels for daily operations, considering risk-reward trade-offs. The ERM Framework employs a structured approach to identify business opportunities, assess inherent risks, and implement cost-effective risk mitigation strategies. Additionally, the Group maintains specific policies tailored to manage core risk areas like credit, market, and operational risks. Furthermore, policies address other key risks such as liquidity, strategic considerations, and reputational concerns.

Risk as a Catalyst for Growth:

While some institutions view risk solely as a threat, we recognize its potential as a catalyst for growth and development. Our risk management philosophy, guided by a clearly articulated risk appetite established by the Board, allows us to identify opportunities that lie within the boundaries of acceptable risk tolerance. This approach enables us to pursue strategic objectives while maintaining a robust and responsible risk posture.

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Risk management framework

All activities and processes of the Group involve the identification, measurement, evaluation, acceptance and management of risk or combinations of risks. The Board, advised by the various Board and Management Risk Committees, requires and encourages a strong risk governance culture which shapes the Group's attitude to risk. We believe that risk management encompasses the insights delivered by information which facilitate appropriate actions. VFD Group benefits from having enhanced its risk management framework, which gives full coverage of a variety of risks.

We have a holistic view of all major risks facing the Group. We remain vigilant with regard to both known and emerging risks and ensure that we are strong enough to withstand any exogenous shocks. Our Board-level risk committees play a critical role in providing oversight of risk management and ensuring that our risk appetite and risk profile are consistent with and support our strategy to deliver long-term, sustainable success in achieving our strategic vision.

Risk, by definition, is dynamic in nature. The management of risk, consequently, must be evolving, necessitating regular review of the effectiveness of each enterprise risk management component.

We believe that understanding and managing our risks and continuously improving our controls are central to the delivery of our strategic objectives. The Board's risk committees play an active role in ensuring that we undertake well-measured, profitable risk-taking activities that support long-term sustainable growth.

Risk management philosophy, appetite and objectives

VFD Group's Risk management philosophy and culture remain fundamental to the delivery of our strategic objectives. Risk management is at the core of the operating structure of the Group. We seek to limit adverse variations in earnings and capital by managing risk exposures within our moderate risk appetite. Our risk management approach includes minimizing undue concentrations of exposure, limiting potential losses from stress events and the prudent management of liquidity.

Risk management is fundamental to the Group's decision-making and management process.

It is embedded in the role of all employees via the organizational culture, thus enhancing the quality of strategic, capital allocation and day-to-day business decisions.

The Group believes that enterprise risk management provides the superior capabilities to identify and assess the full spectrum of risks and to enable staff at all levels to better understand and manage risks. This will ensure that:

- Risk acceptance is done in a responsible manner;
- The executive and the Board of the Group have adequate risk management support;
- Uncertain outcomes are better anticipated;
- Accountability is strengthened; and
- Stewardship is enhanced.

Risk appetite

Risk appetite is an articulation and allocation of the risk capacity or quantum of risk VFD Group is willing to accept in pursuit of its strategy, duly set and approved by the executive committee and the Board, and integrated into our strategy, business, risk and capital plans.

The risk appetite metrics were tracked against approved triggers and exceptions were reported to management for prompt corrective actions. Key issues were also escalated to the Board Risk Management Committee.

Risk management objectives

The broad risk management objectives of the Group are:

- To identify and manage existing and new risks in a planned and coordinated manner with minimum disruption and cost;
- To protect against unforeseen losses and ensure stability of earnings;
- To maximize earnings potential and opportunities;
- To maximize share price and stakeholder protection;
- To develop a risk culture that encourages all staff to identify risks and associated opportunities and to respond to them with cost effective actions.

Scope of risks

The scope of risks that are directly managed by the Group is as follows:

- Credit risk
- Operational risk
- Market and liquidity risk
- Legal and compliance risk
- Strategic risk
- Reputational risk
- Capital risk

The Group's principal financial liabilities comprise borrowings and other liabilities. The main purpose of these financial liabilities is to finance the Group's operations. The Group's principal financial assets include loans and receivables, other assets (excluding prepayments) and cash and short-term deposits that derive directly from its operations. The Group also holds FVOCI investment securities.

The Board of Directors reviews and agrees policies for managing each of the financial risks, which are summarised below.

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3.1 Credit risk Management

Credit risk arises from the failure of an obligor of the Group to repay principal or interest at the stipulated time or failure otherwise to perform as agreed. This risk is compounded if the assigned collateral only partly covers the claims made to the borrower, or if its valuation is exposed to frequent changes due to changing market conditions (i.e. market risk).

The Group's risk management philosophy is that moderate and guarded risk attitude will ensure sustainable growth in shareholder value and reputation. Extension of credit in the Group is guided by its Credit Policy Guide, which sets out specific rules for risk origination and management of the loan portfolio. The Policy also sets out the roles and responsibilities of different individuals and committees involved in the credit process.

The goal of the Group is to apply sophisticated but realistic credit models and systems to monitor and manage credit risk. Ultimately these credit models and systems are the foundation for the application of internal rating-based approach.

The pricing of each credit granted reflects the level of risks inherent in the credit. Subject to competitive forces, the Group implements a consistent pricing model for loans to its different target markets. The client's interest is guarded at all times, and collateral quality is never the sole reason for a positive credit decision.

The Group's credit process requires rigorous proactive and periodic review of the quality of the loan portfolio. This helps us to identify and remediate credit issues proactively.

The Board Risk and Compliance Committee at the Company level and the Board Credit Committee at the level of subsidiary lending companies are responsible for oversight of the Group's credit risk, including:

- > Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with the Group credit policies
- > Reviewing and assessing credit risk. Assessing all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- > Developing and maintaining the Group's risk grading in order to categorise exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks.
- > Providing advice, guidance and specialist skills to business units to promote best practice throughout the Group in the management of credit risk.

An internal credit rating scale is in place to measure the counterparty risk. All customers that are granted credit are evaluated using the Group's risk rating model. The risk rating scale ranges from AAA to CCC, where CCC represents very high risk and AAAA represents low risk. The rating grid is shown below:

External Rating Equivalent	Grade	Risk Rating
AAA	Investment	AAA
AA	Investment	AA
A	Investment	A
BBB	Investment	BBB
BB+	Standard	BB+
BB	Standard	BB
BB-	Standard	BB-
B	Non-Investment	B
B-	Non-Investment	B-
CCC	Default	CCC

The Group establishes an allowance for impairment that represents its best estimate of incurred loss in respect of loans and receivables.

IFRS 9 outlines two approaches for assessing impairment on financial assets:

i) General Approach - This approach determines ECL based on two categories:

- 12-month ECL - This applies to assets that have not experienced a Significant Increase in Credit Risk (SICR) since their initial recognition. It involves estimating the ECL for a financial instrument over the 12-month period following the reporting date. This method is primarily used for Stage 1 assets under IFRS 9, where credit risk remains low, and only a portion of the lifetime ECL is recognized.
- Lifetime ECL - For assets that have experienced a SICR since their initial recognition, this involves estimating the ECL over the entire expected life of the financial instrument. This approach applies to Stage 2 & 3 assets under IFRS 9, reflecting a higher credit risk.

ii) Simplified Approach - IFRS 9 allows a simplified approach for trade receivables, lease receivables, and contract assets, where the ECL is calculated on a lifetime basis without requiring a staging assessment.

In estimating expected credit losses, entities must consider the following factors:

- Probability Weighted Outcome - Estimating the likelihood of various default scenarios and their financial impact.
- Time Value of Money - Discounting the ECLs to their present value as of the reporting date.
- Forward-Looking Information (FLI) - Include adjustments for potential changes in macroeconomic conditions that may influence the financial instruments over their lifetime.
- Reasonable and supportable Information that is available without undue cost or effort.

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Default Definition

In accordance with the IFRS 9, VFD considers default for the purpose of stage classification in its impairment assessment. Facilities that are more than 90 days past due are classified as being in default, aligning with regulatory guidelines and industry best practices.

Model Development Approach

In developing the ECL model, the following steps were adopted:

Data Preparation

The first step involved preparing the required data in accordance with IFRS 9 requirements, and this was carried out by VFD.

Portfolio Segmentation

In measuring impairment under the IFRS 9 Standard, facilities with shared credit characteristics may be grouped and assessed in distinct portfolios. To achieve this, all the VFD's financial assets under the listed portfolio has been assessed.

i) Receivables: This segment of the portfolio contains Receivable term.

ii) Debt securities: This segment of the portfolio contains FGN bonds, FGN Treasury Bills, FGN Eurobonds, state government bonds, corporate bonds, Eurobonds and Ghana Eurobonds.

Stage Classification

The Significant Increase in Credit Risk (SICR) is assessed to determine the final stage classification for VFD's customers. This evaluation requires the entity to assess the change in the risk of default over the life of a financial asset. In applying the IFRS 9 standard, it is critical to ascertain whether the credit risk of a financial asset has increased significantly relative to the credit risk at the date of initial recognition. This is the basis with which an account is classified as either Stage 1, 2 or 3 and impairment is computed from 12-month ECL to Lifetime ECL.

i) Stage 1: At initial recognition, all financial assets are allocated to Stage 1. In this stage, the Expected Credit Loss (ECL) is measured over a 12-month period.

ii) Stage 2: Financial assets that have experienced a significant increase in credit risk (SICR) since initial recognition are classified under Stage 2. In this stage, the ECL is measured on a lifetime basis.

iii) Stage 3: Financial assets are classified into Stage 3 when they exhibit objective evidence of default. The ECL for Stage 3 assets is also measured over the lifetime of the asset.

In line with available data, 3 quantitative criteria have been adopted for the staging analysis within the model. These criteria are as follows:

•Days Past Due (DPD)

This classification is based on the number of days from the contractual repayment date in which the obligor has not fulfilled the contractual repayment obligation.

Table 1: Staging by past due

Stage Classification Days Past Due

Stage 1 Less than 30 days

Stage 2 Between 30 – 90 days

Stage 3 Above 90 days

Performance Classification

This criterion involves analyzing the staging based on CBN prudential classification.

Table 2: Staging by Performance Classification

Stage Classification Days Past Due

Stage 1 Performing

Stage 2 Watchlist

Stage 3 Substandard, Doubtful, Lost

Credit Rating Migration

This classification reflects the change to the obligor's credit rating. It incorporates an assessment of the obligor's initial credit rating in comparison to their credit rating as of the reporting date. This evaluation captures any shifts in the obligor's creditworthiness over the given period, tracking any deterioration that might necessitate a downgrade.

Table 3: Staging by Credit Rating Downgrade

Stage Classification Days Past Due

Stage 1 Rating downgrade less than 2 notches since initial recognition

Stage 2 Rating downgrade of more than 2 notches since initial recognition

Stage 3 Default

Model Classification/stage

The model classification/stage is the resultant stage classification based on the three criteria outlined above (a, b and c). The maximum stage classification value is determined to be the model classification of each obligor.

Classification override

It is recognized that there may be situations where expert judgment or alternative information justifies a deviation from the model-determined stage classification of an exposure. To address this, the model allows for a manual override, allowing stage classification to be adjusted based on expert assessment, regardless of the model's predefined criteria.

Estimation of Probability of Default (PD)

The estimation of Lifetime PDs was developed by adopting the external mapping approach as a result of insufficient default historical data to carry out adequate default migration analysis of the portfolio. Annual PD term structure from the Standard & Poor Global Default Rate Study was adopted for this purpose and the following was carried out:

- Obtain the S&P term structure for Global Corporate Average Cumulative Default Rating and the S&P Global Sovereign Average Cumulative Default Rating (both FCY and LCY). The S&P Global Corporate Average Cumulative Default Rating was used for receivables, while the S&P Global Sovereign Average Cumulative Default Rating (FCY & LCY) was applied to debt securities.

- VFD Group's internal rating was mapped to the S&P rating, taking into account Nigeria's credit rating (B-), which was used as a floor for the mapping process.

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Table 4: Internal Rating
Number Risk Rating Mapping to S&P

1	AAA B-
2	AA B-
3	A B-
4	BBB B-
5	BB+ B-
6	BB B-
7	BB- B-
8	B B-
9	B- B-
10	CCCCC/C

- The mapped cumulative default rates were then converted into annual marginal conditional PDs.
- These annual marginal conditional PDs were subsequently converted into monthly FLI-adjusted PDs in line with IFRS 9, generating FLI-adjusted PDs for three scenarios: base, upturn, and downturn.
- Finally, these PDs were further converted into Monthly Cumulative PDs, and then into Monthly Marginal PDs, which are utilized in the ECL calculation.

Forward Looking Information (FLI)

IFRS 9 specifies that the incorporation of forward-looking element that introduces an allowance for changes in macro-economic conditions and forecasts. FLI was incorporated into the ECL model through the PD computation to cater for volatility in macroeconomic conditions.

Linear regression analysis was adopted for the FLI computation. The end product was a set of scalars obtained for each of the three macroeconomic scenarios (base, upturn and downturn) which are utilized in the PD estimation process to reflect changes in the macroeconomic environment.

i)Selecting Macroeconomic Variables: The initial step involved identifying several Macroeconomic Variables (MEVs) to serve as independent variables, which are believed to affect the VFD's Nonperforming Loan (NPL) rate, the dependent variable in this FLI analysis. Due to the lack of historical NPL data, CBN industry default rate (dependent variable) was utilized, along with selected independent variables sourced from reliable financial market resources, namely the Central Bank of Nigeria (CBN) data archive and the National Bureau of Statistics.

To ensure robustness in the analysis, the historical data for these variables should be over the same time period of a period exceeding five years and with the same frequency span. Furthermore, it is expected to regularly update the historical data of all macroeconomic factors considered to reflect the most recent data. The use of quarterly historical data was also adopted to enhance the predictive accuracy of the model.

Following the selection of dependent and independent variables, a correlation analysis was conducted to examine the relationship between the dependent variable and each independent variable, incorporating time lags. In this context, time lagging involves using historical values of the independent variables to predict current or future values of the dependent variable. This approach helps identify the time periods that most significantly influence the dependent variable.

For our analysis, a lag period of six quarters was chosen. This required the generation of lagged datasets for each independent variable, adjusted according to the predetermined lag period. After adjusting the data, the correlation between the dependent variable and each lagged independent variable was calculated for the various time periods. The lagged data with the highest correlation was then used to conduct a multicollinearity check against the independent variables. This step led to the selection of the final independent variables to be used in the regression analysis,

i)Modelling the regression Line: The selected independent and dependent variables were used to carry out the regression analysis to assess both the statistical significance and the relationship between the macroeconomic variables and the default rate. The coefficients of the macro-economic variables were then applied to the historical independent variables to derive the PD fit using the intercept-slope function.

$$Y = (\quad 1 + \quad 2 + \quad) +$$

$$Y = m_1 x_1 + m_2 x_2 + \dots + m_n x_n + C$$

Where m = coefficient of macroeconomic variable

x = macroeconomic variable

C = intercept

Forecasts of Macroeconomic Variables: Forecasted macroeconomic variables for the different scenarios were derived either by using an excel based forecast function or sourced from reliable financial market resources. The base forecasts assume similar trends as those observed in the historical period. In deriving both the upturn and downturn scenarios, the trends and behaviours of the selected macroeconomic variables are taken into account.

The macroeconomic forecast methodology shall continue to be revised based on available information obtained at no undue cost or effort.

The coefficients of the regression result of the historical data were applied on the forecasted data to derive the forecasted PD fit for the different scenarios. Scalars are produced by comparing the forecasted PDs to the average of the PDs observed in the historical period. This is expressed below.

$$=$$

Multiplier = Forecasted PD / Historical Period

The scalars were incorporated into the PD estimation to obtain FLI-adjusted PD, which was utilized for the ECL computation.

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Estimation of Loss Given Default (LGD)

LGD is the measure of the proportion of the total exposure that the VFD stands to lose in the event of a default. Due to the lack of historical data, reliable external data in this case, Moody's Average debt ultimate recovery rate was leveraged in the LGD estimation in which the methodology below was used:

- LGD for base and upturn scenario: $(1 - \text{Recovery Rate})$
- LGD for downturn scenario: the Federal Reserve formula as proposed by the Board of Governors of the Federal Reserve System as seen below.

$$= (0.92 \times (1 - \text{UR})) + 0.08$$

Downturn LGD *UR*

Where:

UR = Unsecured recovery

Note: The recovery rate obtained from Moody's would be reviewed and updated as needed.

Estimation of Exposure at Default (EAD)

The Exposure at Default (EAD) is a measure of the expected outstanding balance on a loan or receivable at a given time of default. It is a function of the PIT outstanding balance, the contractual repayment and moratorium period.

Lifetime EAD is calculated using the formula below:

$$= \text{PIT} - \text{Contractual Payment} + \text{Lifetime Collateral}$$

EADt *EADt* *Contractual Payment* *Lifetime Collateral*

Key Consideration in the EAD estimation

Term in Force and Contractual Term - The term in force and contractual term are two major components that aids in the determination of the Time to Maturity. The term in force which estimates the remaining life of a facility at a given point in time is obtained by subtracting the reporting date from the start date, the contractual term represents the period from the start of the contract to its maturity date.

Time to Maturity - This is a specific term that refers to the remaining time until the facilities reach its maturity date or the time remaining until the borrower is expected to repay the outstanding balance of a facility. This is also the difference between the term in force and the contractual term. The Time to Maturity has been adjusted to cater for expired facilities in which a behavioural term of 12 months will be applied on these facilities. The behavioural term represents the extra time post expiry a facility remains on the books.

Contractual payments and the number of payments - The contractual payment is determined using the Microsoft excel PMT function which calculates the payment for a facility based on constant repayment and Effective Interest Rate (EIR). The number of payments will be based on the repayment patterns as stated below:

Table 5: Repayment Pattern

Repayment Pattern Interval between months

Monthly 1

Quarterly 3

Termly 4

Semi-annually 6

Annually 12

Bullet 0

Moratorium - This represents the period over which payment of the contractual repayment is suspended for a facility.

Lifetime Collateral - This is estimated based on assumptions such as haircut, cost of recovery, time to recovery, and collateral growth rate, which are obtained based on expert judgment. However, over time, historical data will be accumulated and used to refine these assumptions, allowing for better alignment with the business and improving the accuracy of the estimates.

Estimation of Scenario Weights

According to the IFRS 9 standard, the ECL amount should be determined by evaluating a range of possible scenarios using reasonable and supportable information that is available at the reporting date, about future macroeconomic conditions. In this model, three macroeconomic scenarios have been adopted namely, the Base scenario, the Upturn scenario, and the Downturn scenario.

The likelihood of each scenario is estimated by analyzing the movements of historical macroeconomic variables used in the FLI analysis. The procedure for this analysis includes the following steps:

- Determine the mean and standard error for each macroeconomic variable involved in the analysis.
- Establish the upper and lower limits for each macroeconomic variable based on Z-Score Margin of Error & mean. These limits serve as thresholds to classify historical data into the appropriate scenario categories.
- Considering the historical behaviour of each macroeconomic variable, classify each period of the historical data within the base, upturn, and downturn scenarios by comparing the historical data against the derived upper and lower limits.
- For each macroeconomic variable, count the number of periods classified under each scenario
- Compute the average proportion of each scenario across all macroeconomic variables to get an overall scenario distribution.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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Final ECL Computation

•The resultant ECL is a product of the EAD, LGD and PD calculated based on the probability weights of each macroeconomic scenario. To account for the time value of money, the ECL was also discounted to present value using the EIR of each exposure. It can be expressed by the following expression.

$$\text{Stage 1 - 12-month ECL} = \sum_s \sum_t \left(\frac{EAD_t}{(1 + r)^m} \right) \cdot \min(12; t) = 1$$

$$ECL = \sum_s P_s \cdot \sum_t MPD_s t \cdot LGD_s t \cdot EAD_t \cdot \delta t \quad \text{Tenor } t$$

$$\text{Stage 2- Lifetime ECL} = \sum_s \sum_t \left(\frac{EAD_t}{(1 + r)^m} \right) = 1$$

$$\text{Lifetime ECL} = \sum_s P_s \cdot \sum_t MPD_s t \cdot LGD_s t \cdot EAD_t \cdot \delta t \cdot \text{Tenor } t$$

$$\text{Stage 3- Lifetime ECL} = \sum_s \left(\frac{EAD_t}{(1 + r)^m} \right)$$

$$\text{Lifetime ECL} = \sum_s P_s \cdot \sum_t LGD_s t \cdot EAD_t$$

Where:

$$= 1(1 + r)^m$$

$$\delta t = \frac{r}{m}$$

$$= \text{EIR} \quad m =$$

$$r = \text{of return of the facility} \quad \text{Number of periods}$$

s = an iterator through all scenarios
Ps = probability of scenarios

t = iterator through the time to maturity capped at 12 months

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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The maximum exposure to credit risk (without taking into account any collateral held or other credit support) at the reporting date is as follows:

Group	Cash and cash equivalents	Funds under management	Investment in financial assets	Loans and advances	Trade and Other receivables	Total
At 31 December 2025	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Neither past due nor impaired	78,776,490	78,799,319	62,444,106	31,192,315	84,349,153	335,561,383
Gross amount	78,776,490	78,799,319	62,444,106	31,192,315	84,349,153	335,561,383
Impairment allowance	-	(1,446,729)	(650,511)	(4,937,757)	(1,274,713)	(8,309,710)
Carrying amount	78,776,490	77,352,590	61,793,595	26,254,558	83,074,440	327,251,673
At 31 December 2024	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Neither past due nor impaired	13,289,137	50,607,141	32,184,882	64,959,422	45,639,759	206,680,341
Gross amount	13,289,137	50,607,141	32,184,882	64,959,422	45,639,759	206,680,341
Impairment allowance	-	(1,225,268)	(1,056,570)	(2,659,369)	(664,990)	(5,606,197)
Carrying amount	13,289,137	49,381,873	31,128,312	62,300,053	44,974,769	201,074,144

Company	Cash and cash equivalents	Funds under management	Investment in financial assets	Loans and advances	Trade and Other receivables	Total
At 31 December 2025	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Neither past due nor impaired	52,686,712	-	32,438,093	-	53,708,521	138,833,325
Gross amount	52,686,712	-	32,438,093	-	53,708,521	138,833,325
Impairment allowance	-	-	(273,329)	-	(1,756,392)	(273,329)
Carrying amount	52,686,712	-	32,164,764	-	51,952,129	138,559,996
At 31 December 2024	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Neither past due nor impaired	1,170,740	-	34,050,628	-	21,266,667	56,488,035
Gross amount	1,170,740	-	34,050,628	-	21,266,667	56,488,035
Impairment allowance	-	-	(443,086)	-	(465,419)	(908,505)
Carrying amount	1,170,740	-	33,607,542	-	20,801,248	55,579,530

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Credit Risk and Quality Disclosure

The credit quality disclosure in the Risk Management section provides information about the Group's exposure to credit risk, the quality of financial assets, and mitigation strategies.

This disclosure is guided by:

- ☒ IFRS 7 – Financial Instruments: Disclosures
- ☒ IFRS 9 – Financial Instruments (Impairment & Credit Risk Requirements)

1. Credit Risk Overview

The Group is exposed to credit risk, which is the risk that a counterparty may fail to meet its contractual obligations, leading to a financial loss. The primary sources of credit risk include loans and advances, trade receivables and other receivables, debt securities, and cash deposits with banks.

2. Credit Risk Management Policies

The Group manages credit risk through a combination of:

- Counterparty credit assessments.
- Credit limits and monitoring.
- Use of collateral and guarantees.
- Expected Credit Loss (ECL) provisioning in line with IFRS 9.

3. Credit Risk Exposure by Asset Class

Below is the Group's exposure to credit risk categorized by financial asset type:

Financial Asset	Investment Grade	Non-Investment Grade	Default	Total Exposure
Loans & Advances	27,137,314	4,055,001	-	31,192,315
Trade Receivables	84,349,153	8,726,135	-	93,075,287
Investment in Financial Assets	80,331,674	18,368,607	-	98,700,281
Total	191,818,141	31,149,743	-	222,967,884

4. Credit Quality and Internal Rating System

The Group assigns credit ratings based on a combination of external and internal assessments:

Investment Grade (AAA-BBB-): Low credit risk, minimal expected losses.

Sub-Investment Grade (BB+ and below): Moderate to high credit risk.

Default: Counterparty has failed to meet contractual obligations.

5. Collateral and Credit Enhancements

The Group mitigates credit risk through collateral and credit enhancements:

- Mortgages on properties.
- Bank guarantees and cash deposits.
- Credit insurance for specific receivables.

6. Credit Risk Mitigation Strategies

The Group employs the following credit risk mitigation strategies:

- Regular counterparty credit reviews.
- Industry diversification to minimize sectoral concentration risk.
- Use of derivatives such as credit default swaps (CDS) to hedge against default risk.
- There was no change in the credit risk policies in the year.

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3.2 Liquidity risk management:

Liquidity risk arises when the Group is unable to meet expected or unexpected current or future cash flows and collateral needs without affecting its daily operations or its financial condition. The Group is managed to preserve a high degree of liquidity so that it can meet the requirements of its customers at all times including periods of financial stress.

We analyze and monitor our liquidity risk, maintain excess liquidity and access diverse funding sources.

Quantifications

VFD Group has adopted both qualitative and quantitative approaches to measuring liquidity risk. Specifically, the Group adopted the following approaches;

- Funding and liquidity plan;
- Gap analysis; and
- Ratio analysis.

The Funding and Liquidity Plan defines the Group's sources and channels of utilization of funds. The funding liquidity risk limit is quantified by calculating liquidity ratios and measuring/monitoring the cumulative gap between our assets and liabilities. The Liquidity Gap Analysis quantifies the daily and cumulative gap in a business-as-usual environment. The gap for any given tenor bucket represents the borrowings from, or placements to, the market required to replace maturing liabilities or assets. The Group monitors the cumulative gap as a + or – 20% of the total risk assets and the gap as a + or – 20% of total deposit liabilities.

Limit management and monitoring

Active management of liquidity through the framework of limits and control presented above is possible only with proper monitoring capabilities. The monitoring process focuses on funding portfolios, the forward balance sheet and general indicators; where relevant information and data are compared against limits that have been established. The Group's Treasury is responsible for maintaining sufficient liquidity by maintaining sufficient high ratio of liquid assets and available funding for near-term liabilities. The secured liquidity measure is calculated and monitored by risk management. Liquidity risk is reported to the Board of Directors on a quarterly basis.

Liquidity risk is strongly related to other financial risks such as credit risk and market risks, such as interest rate risk, security price risk, etc.

Contingency funding plan

The Group has a contingency funding plan which incorporates early warning indicators to monitor market conditions. The Group monitors its liquidity position and funding strategies on an ongoing basis, but recognizes that unexpected events, economic or market conditions, earnings problems or situations beyond its control could cause either a short or long-term liquidity crisis. It reviews its contingency funding plan in the light of evolving market conditions and stress test results.

To monitor liquidity and funding, the Group Treasury prepares a liquidity worksheet that project sources and uses of funds. The worksheet incorporates the impact of moderate risk and crisis situations. The worksheet is an integral component of the contingency funding plan. Although it is unlikely that a funding crisis of any significant degree could materialize, we consider it important to evaluate this risk and formulate contingency plans should one occur.

The contingency funding plan covers: the available sources of contingent funding to supplement cash flow shortages; the lead times to obtain such funding; the roles and responsibilities of those involved in the contingency plans; and the communication and escalation requirements when early warning indicators signal deteriorating market conditions. Both short term and long-term funding crises are addressed in the contingency funding plan.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
For the year ended 31 December 2025

The tables below represent the maturity profile of the carrying amounts of the non-derivative financial assets and financial liabilities within the Group.

Group

At 31 December 2025	Carrying amount N'000	Contractual cash flows N'000	0-90 days N'000	91-180 days N'000	181-365 days N'000	Above 365 days N'000
Financial liabilities						
Borrowings	123,864,112	123,864,112	6,064,308	413,606	78,560,526	38,825,673
Funds under management	91,343,871	91,343,871	-	18,058,739	42,137,059	31,148,075
Deposit and other liabilities	154,175,779	154,175,779	41,954,683	22,789,596	39,010,601	50,420,899
	369,383,762	369,383,762	48,018,990	41,261,941	159,708,185	120,394,647
Financial assets						
Cash and cash equivalents	79,474,436	79,474,436	79,474,436	-	-	-
Funds under management	77,352,590	78,799,319	-	23,205,777	54,146,813	-
Financial assets measured at amortised cost	61,793,596	62,444,106	31,222,053	24,977,643	6,244,411	-
Fair value through other comprehensive income	18,714,017	18,714,017	18,714,017	-	-	-
Fair value through profit or loss	18,192,669	18,192,669	10,139,652	6,869,388	1,183,629	-
Loans and advances	26,254,558	31,192,315	15,596,158	12,476,926	3,119,232	-
Other receivables	83,074,440	84,349,153	37,383,498	-	45,690,942	-
	364,856,306	373,166,015	192,529,813	67,529,734	110,385,027	-
Net cumulative liquidity deficit/(surplus)	4,527,456	(3,782,253)	(144,510,823)	(170,778,615)	(121,455,457)	(1,060,810)

Group

At 31 December 2024	Carrying amount N'000	Contractual cash flows N'000	0-90 days N'000	91-180 days N'000	181-365 days N'000	Above 365 days N'000
Financial liabilities						
Borrowings	121,427,577	155,427,298	7,609,621	519,001	98,579,403	48,719,273
Funds under management	49,599,852	57,039,829	-	11,276,809	26,312,555	19,450,466
Deposit and other liabilities	54,609,595	54,609,595	14,860,494	8,072,154	13,817,690	17,859,257
	225,637,024	267,076,722	22,470,115	19,867,964	138,709,648	86,028,996
Financial assets						
Cash and cash equivalents	13,345,755	13,345,755	13,345,755	-	-	-
Funds under management	49,381,873	56,789,154	5,185,097	17,036,746	34,562,311	-
Financial assets measured at amortised cost	31,128,312	40,466,806	40,466,806	-	-	-
Fair value through other comprehensive income	8,650,560	11,245,728	11,245,728	-	-	-
Fair value through profit or loss	11,211,241	14,574,613	3,125,634	11,448,979	-	-
Loans and advances	62,300,053	80,990,069	24,297,021	32,396,028	24,297,021	-
Other receivables	39,589,129	39,589,129	39,589,129	-	-	-
	215,606,923	257,001,254	137,255,169	60,881,753	58,859,332	-
Net cumulative liquidity deficit/(surplus)	10,030,101	10,075,468	(114,785,054)	(155,798,843)	(75,948,527)	10,080,469

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For the year ended 31 December 2025

Company

At 31 December 2025	Carrying amount N'000	Contractual cash flows N'000	0-90 days N'000	91-180 days N'000	181-365 days N'000	Above 365 days N'000
Financial liabilities						
Borrowings	124,935,494	124,935,494	5,951,307	6,563,159	58,468,041	53,952,986
Other liabilities	57,521,179	57,521,179	39,673,033	1,856,326	6,807,762	9,184,057
	<u>182,456,672</u>	<u>182,456,672</u>	<u>45,624,341</u>	<u>8,419,486</u>	<u>65,275,803</u>	<u>63,137,043</u>
Financial assets						
Cash and cash equivalents	52,769,977	52,769,977	52,769,977	-	-	-
Financial assets measured at amortised cost	32,164,764	32,438,093	24,952,379	7,212,385	0	0
Fair value through other comprehensive income	16,406,260	16,406,260	16,406,260	-	-	-
Fair value through profit or loss	17,796,717	17,796,717	13,689,782	4,106,935	-	-
Other receivables	51,952,129	51,952,129	25,794,190	20,886,544	5,271,397	-
	<u>171,089,846</u>	<u>171,363,175</u>	<u>133,612,588</u>	<u>32,205,864</u>	<u>5,271,397</u>	<u>0</u>
Net cumulative liquidity deficit/ (surplus)	<u>11,366,826</u>	<u>11,093,498</u>	<u>(87,988,247)</u>	<u>(111,774,625)</u>	<u>(51,770,219)</u>	<u>11,366,824</u>

Company

At 31 December 2024	Carrying amount N'000	Contractual cash flows N'000	0-90 days N'000	91-180 days N'000	181-365 days N'000	Above 365 days N'000
Financial liabilities						
Borrowings	83,961,449	107,470,655	5,119,369	5,645,690	50,294,744	46,410,852
Other liabilities	10,896,491	12,966,824	8,943,371	418,466	1,534,653	2,070,334
	<u>94,857,940</u>	<u>120,437,479</u>	<u>14,062,740</u>	<u>6,064,156</u>	<u>51,829,397</u>	<u>48,481,186</u>
Financial assets						
Cash and cash equivalents	1,224,998	1,224,998	1,224,998	-	-	-
Financial assets measured at amortised cost	33,607,542	43,689,805	33,607,542	-	-	-
Fair value through other comprehensive income	12,231,462	15,900,901	12,231,462	-	-	-
Fair value through profit or loss	9,157,201	11,904,361	9,157,201	-	-	-
Other receivables	24,514,652	24,514,652	12,171,505	9,855,734	2,487,414	0
	<u>80,735,855</u>	<u>97,234,717</u>	<u>68,392,708</u>	<u>9,855,734</u>	<u>2,487,414</u>	<u>0</u>
Net cumulative liquidity deficit/(surplus)	<u>14,122,085</u>	<u>23,202,762</u>	<u>(54,329,968)</u>	<u>(58,121,546)</u>	<u>(8,779,563)</u>	<u>39,701,623</u>

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3.3 Market risk management

VFD Group Plc is faced with the risk of decline in its earnings and capital arising from adverse changes in market variables, such as interest rate and foreign exchange rate. Market risk is the risk that the value positions will be adversely affected by movements in equity prices, interest rates, currency exchange rates and commodity prices.

Market Risk Management: Policy and control

Over the years, the Nigerian financial market has witnessed a dramatic expansion in the array of financial services and products. This tremendous growth in scale and scope has also generated new risks with global consequences, especially market risk, necessitating an assessment of exposures to the volatility of the underlying risk drivers.

These developments have prompted a comprehensive and dynamic Market Risk Policy, to ensure that risks faced across business activities and on an aggregate basis are within the stipulated risk appetite of the Group. These policies have been benchmarked with industry and international best practices.

The Board approves the risk appetite and risk limits are set within the context of the approved market risk appetite. Limits are set based on the approved risk appetite, underlying liquidity as well as legal limitations on individual positions imposed by the regulatory authorities in Nigeria.

Depending on the market conditions and risk outlook, recommendations are made to the risk management committees in respect of the market risk profile, risk appetite appraisal, as well as review of limits against actual position.

The Group regularly conducts stress testing to monitor its vulnerability to unfavorable shocks. It monitors and controls its risk, using various internal and regulatory risk limits.

Interest rate risk

Interest rate risk is the exposure of the Group's financial condition to adverse movements in interest rates, yield curves and credit spreads.

The Group's exposure to interest rate risk is minimal as it does not invest in floating rate securities and its fixed rate placements are with banks and other financial institutions.

Re-pricing and Liquidity Gap Analysis

The Group's objective for management of interest rate risk is to ensure a higher degree of interest rate mismatch margin stability and lower interest rate risk over an interest rate cycle.

The Group's operations are subject to the risk of interest rate fluctuations to the extent that interest-earning assets and interest-bearing liabilities mature or re-price at different times or in differing amounts. In the case of floating rated assets and liabilities.

Sensitivity analysis

Interest-rate risk is monitored with a Gap report. A limits framework is in place to ensure that retained risk remains within approved appetite.

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Sensitivity analysis and stress testing

Sensitivity analysis and stress testing are risk measurement techniques that help us ensure that the risks the Group takes remain within our risk appetite and that our level of capital remains adequate. Sensitivity analysis involves varying a single factor (e.g. a model input or specific assumption) to assess the impact on various risk measures.

Stress testing generally involves consideration of the simultaneous movements in a number of risk factors. It is used to measure the level of potential unexpected losses for Credit, Market, Operational and Liquidity Risks

Limits

Specific limits and triggers (regulatory and in-house) have been set across the various market risk areas to prevent undue exposure.

Stop Loss Limit: This limit sets a maximum tolerable unrealized profit/loss to date which will trigger the closing of a position in order to avoid any further loss based on existing exposures. Positions are liquidated uniformly when stop loss limits are breached.

Dealer Limits: This limit sets a maximum tolerable position exposure for a specific dealer.

Mark-to-Market (MTM)

The marking-to-market technique establishes historical profit/loss by revaluing money market exposures to prevailing market prices.

Stress testing

The stress testing methodology assumes that scope for management action would be limited during a stress event, reflecting the decrease in market liquidity that often occurs.

Stress testing is an integral part of the market risk management framework and considers both historical market events and forward-looking scenarios. Stress testing provides an indication of the potential size of losses that could arise in extreme conditions. It helps to identify risk concentrations across business lines and assist senior management in capital planning decisions.

Stress scenarios are regularly updated to reflect changes in risk profile and economic events. Regular stress test scenarios are applied to interest rates, credit spreads and exchange rates. Financial instruments affected by market risk include borrowings, deposits and FVOCI investments.

Foreign exchange risk

The Group's transactions are denominated in Naira but it maintains domiciliary accounts in foreign currencies, United States Dollar and Pound Sterling.

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Group	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
AS AT 31 DECEMBER 2025						
Financial assets:						
Cash and cash equivalents	78,227,493	1,236,911	48	9,950	35	79,474,436
Funds under management	59,543,947	17,701,445	90,931	-	16,267	77,352,590
Investment in financial assets	90,358,827	8,294,919	-	46,535	-	98,700,281
Loans and advances	26,254,558	-	-	-	-	26,254,558
Other receivables	76,925,871	3,044,721	-	3,081,236	22,611	83,074,439
	<u>331,310,696</u>	<u>30,277,996</u>	<u>90,979</u>	<u>3,137,722</u>	<u>38,912,27</u>	<u>364,856,305</u>
Financial liabilities:						
Funds under management	72,992,982	18,294,383	35,236	-	21,269	91,343,871
Borrowings	101,392,654	21,889,559	128,227	440,513	13,160	123,864,112
Other liabilities	86,073,713	528,613	-	1,870,280	403,279	88,875,886
Deposit liabilities	65,299,893	-	-	-	-	65,299,893
	<u>325,759,243</u>	<u>40,712,556</u>	<u>163,463</u>	<u>2,310,792</u>	<u>437,709</u>	<u>369,383,762</u>
Net open currency position	5,551,454	(10,434,559)	(72,484)	826,929	(398,796)	(4,527,457)

	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
AS AT 31 DECEMBER 2024						
Financial assets:						
Cash and cash equivalents	9,786,375	3,536,242	6,766	16,315	57	13,345,755
Funds under management	38,012,840	11,300,598	58,050	-	10,385	49,381,873
Investment in financial assets	45,980,832	4,981,335	-	27,946	-	50,990,113
Loans and advances	62,300,053	-	-	-	-	62,300,053
Other receivables	39,517,023	2,702,632	-	2,735,044	20,070	44,974,769
	<u>195,597,123</u>	<u>22,520,807</u>	<u>64,816</u>	<u>2,779,306</u>	<u>30,512</u>	<u>220,992,563</u>
Financial liabilities:						
Funds under management	39,635,293	9,933,876	19,133	-	11,549	49,599,852
Borrowings	89,675,703	30,929,658	181,182	622,438	18,595	121,427,577
Other liabilities	22,832,454	448,093	-	1,585,392	341,851	25,207,790
Deposit liabilities	34,900,483	-	-	-	-	34,900,483
	<u>187,043,934</u>	<u>41,311,627</u>	<u>200,316</u>	<u>2,207,831</u>	<u>371,994</u>	<u>231,135,701</u>
Net open currency position	8,553,189	(18,790,820)	(135,500)	571,475	(341,483)	(10,143,138)

Movement in exchange rate between the foreign currencies affects reported earnings through revaluation gain or loss and the statement of financial position size through increase or decrease in the revalued amounts of assets and liabilities denominated in foreign currency.

Company	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
AS AT 31 DECEMBER 2025						
Financial assets:						
Cash and cash equivalents	52,769,408	565	4	-	-	52,769,977
Investment in financial assets	59,528,338	6,839,403	-	-	-	66,367,741
Other receivables	51,952,129	-	-	-	-	51,952,129
	<u>164,249,875</u>	<u>6,839,967</u>	<u>4</u>	<u>-</u>	<u>-</u>	<u>171,089,846</u>
Financial liabilities:						
Borrowings	101,134,778	23,647,972	138,527	-	14,217	124,935,494
Other liabilities	57,521,179	-	-	-	-	57,521,179
	<u>158,655,957</u>	<u>23,647,972</u>	<u>138,527</u>	<u>-</u>	<u>14,217</u>	<u>182,456,672</u>
Net open currency position	5,593,918	(16,808,004)	(138,523)	-	(14,217)	(11,366,826)

	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
AS AT 31 DECEMBER 2024						
Financial assets:						
Cash and cash equivalents	139,664	13	0	-	-	139,677
Investment in financial assets	40,085,545	5,667,531	-	-	-	45,753,076
Other receivables	6,640,022	-	-	-	-	6,640,022
	<u>46,865,231</u>	<u>5,667,544</u>	<u>0</u>	<u>-</u>	<u>-</u>	<u>52,532,775</u>
Financial liabilities:						
Borrowings	67,966,454	15,892,345	93,096	-	9,554	83,961,449
Other liabilities	10,896,491	-	-	-	-	10,896,491
	<u>78,862,945</u>	<u>15,892,345</u>	<u>93,096</u>	<u>-</u>	<u>9,554</u>	<u>94,857,940</u>
Net open currency position	(31,997,714)	(10,224,801)	(93,095)	-	(9,554)	(42,325,165)

Movement in exchange rate between the foreign currencies affects reported earnings through revaluation gain or loss and the statement of financial position size through increase or decrease in the revalued amounts of assets and liabilities denominated in foreign currency.

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Foreign exchange sensitivity analysis (Group)

The Foreign exchange sensitivity analysis of the group is presented below.

For each foreign currency net exposure, it is reasonable to assume a 5% appreciation/depreciation against the functional currency. If all other variables are held constant, the tables below present the impacts on profit or loss before tax if these currency movements had occurred.

	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
As at 31 December 2025						
Net foreign currency exposures	5,551,454	(10,434,559)	(72,484)	826,929	(398,796)	(4,527,457)
As at 31 December 2024						
Net foreign currency exposures	8,553,189	(18,790,820)	(135,500)	571,475	(341,483)	(10,143,138)

The group is exposed to the US Dollar, British Pounds, Ghana Cedis and Euro currencies.

The following table details the sensitivity to a 5% increase and decrease in Naira against the foreign currencies. Management believe that a 5% movement in either direction is reasonably possible at the reporting date. The sensitivity analyses below include outstanding foreign currency denominated assets and liabilities. A positive number indicates an increase in profit where Naira strengthens by 5% against the foreign currency. For a 5% weakening of Naira against the foreign currency, there would be an equal and opposite impact on profit, and the balance below would be negative.

Foreign exchange sensitivity analysis (31 December 2025)

	N'000
Naira strengthens by 5% against the US Dollar	
Profit/ (loss)	(521,728)
Naira weakens by 5% against the US Dollar	
Profit/(loss)	521,728
Naira strengthens by 5% against the Pound	
Profit/ (loss)	(3,624)
Naira weakens by 5% against the Pound	
Profit/(loss)	3,624
Naira strengthens by 5% against the Cedi	
Profit/ (loss)	41,346
Naira weakens by 5% against the Cedi	
Profit/(loss)	(41,346)
Naira strengthens by 5% against the Euro	
Profit/(loss)	(19,940)
Naira weakens by 5% against the Euro	
Profit/(loss)	19,940

Foreign exchange sensitivity analysis (31 December 2024)

	N'000
Naira strengthens by 5% against the US Dollar	
Profit/ (loss)	(939,541)
Naira weakens by 5% against the US Dollar	
Profit/(loss)	939,541
Naira strengthens by 5% against the Pound	
Profit/ (loss)	(6,775)
Naira weakens by 5% against the Pound	
Profit/(loss)	6,775
Naira strengthens by 5% against the Cedi	
Profit/(loss)	28,574
Naira weakens by 5% against the Cedi	
Profit/(loss)	(28,574)
Naira strengthens by 5% against the Euro	
Profit/(loss)	(17,074)
Naira weakens by 5% against the Euro	
Profit/(loss)	17,074

Foreign exchange sensitivity analysis (Company)

The Foreign exchange sensitivity analysis of the company is presented below.

For each foreign currency net exposure, it is reasonable to assume a 5% appreciation/depreciation against the functional currency. If all other variables are held constant, the tables below present the impacts on profit or loss before tax if these currency movements had occurred.

	NAIRA N'000	US DOLLAR N'000	POUNDS N'000	CEDIS N'000	EURO N'000	TOTAL N'000
As at 31 December 2025						
Net foreign currency exposures	5,593,918	(16,808,004)	(138,523)	-	(14,217)	(11,366,826)
As at 31 December 2024						
Net foreign currency exposures	(31,997,714)	(10,224,801)	(93,095)	-	(9,554)	(42,325,165)

The Company is exposed to the US Dollar, British Pounds, Ghana Cedis and Euro currencies.

The following table details the sensitivity to a 5% increase and decrease in Naira against the foreign currencies. Management believe that a 5% movement in either direction is reasonably possible at the reporting date. The sensitivity analyses below include outstanding foreign currency denominated assets and liabilities. A positive number indicates an increase in profit where Naira strengthens by 5% against the foreign currency. For a 5% weakening of Naira against the foreign currency, there would be an equal and opposite impact on profit, and the balance below would be negative.

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Foreign exchange sensitivity analysis (31 December 2025)

	₦'000
Naira strengthens by 5% against the US Dollar	
Profit/ (loss)	(840,400)
Naira weakens by 5% against the US Dollar	
Profit/(loss)	840,400
Naira strengthens by 5% against the Pound	
Profit/ (loss)	(6,926)
Naira weakens by 5% against the Pound	
Profit/(loss)	6,926
Naira strengthens by 5% against the Cedi	
Profit/ (loss)	-
Naira weakens by 5% against the Cedi	
Profit/(loss)	-
Naira strengthens by 5% against the Euro	
Profit/(loss)	(711)
Naira weakens by 5% against the Euro	
Profit/(loss)	711

Foreign exchange sensitivity analysis (31 December 2024)

Naira strengthens by 5% against the US Dollar	
Profit/ (loss)	320,695
Naira weakens by 5% against the US Dollar	
Profit/(loss)	(320,695)
Naira strengthens by 5% against the Pound	
Profit/ (loss)	40
Naira weakens by 5% against the Pound	
Profit/(loss)	(40)
Naira strengthens by 5% against the Cedi	
Profit/ (loss)	-
Naira weakens by 5% against the Cedi	
Profit/(loss)	-
Naira strengthens by 5% against the Euro	
Profit/(loss)	274
Naira weakens by 5% against the Euro	
Profit/(loss)	(274)

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Group manages this risk by ensuring significant portion of its loans are contracted on fixed interest rate.

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3 Capital management

VFD Group Plc is in the business of investing in securities either in its name or the name of any nominee. The Group has subsidiaries that provide finance to customers.

The Group's objectives in managing capital are:

> to ensure that the Group continues as a going concern so that it can continue to provide returns for its shareholders and benefits for other stakeholders, and

> to provide adequate returns to shareholders by pricing products and services commensurately with the level of risk.

The Group's sources of capital comprise equity and borrowings (short term fixed debt takings from customers). The Board of Directors has overall responsibility for managing the Group's capital. The Group sets the amount of capital in proportion to risk. In order to manage or maintain the capital structure, the Group may issue new shares, accept more takings from customers or adjust the amount of dividends paid to shareholders.

The Group's gearing ratio as at the end of the reporting period was as follows:

	Group		Company	
	2025	2024	2025	2024
	₦'000	₦'000	₦'000	₦'000
Borrowings	123,864,112	121,427,577	124,935,494	83,961,449
Equity	69,621,111	58,526,225	40,824,868	32,133,345
Gearing ratio	178%	207%	306%	261%

4 Operational risk management

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, or systems, or from external events. Our definition of operational risk excludes regulatory risks, strategic risks and potential losses related solely to judgments with regard to taking credit, market, interest rate, liquidity or insurance risks.

It also includes the reputation and franchise risk associated with business practices or market conduct in which the Group is involved. Operational risk is inherent in the Group's business activities and, as with other risk types, is managed through an overall framework designed to balance strong corporate oversight with well-defined independent risk management.

This framework includes:

- recognized ownership of the risk by the businesses.
- oversight by independent risk management; and
- independent review by Audit.

We seek to minimise exposure to operational risk, subject to cost trade-offs. Operational risk exposures are managed through a consistent set of management processes that drive risk identification, assessment, control and monitoring.

The goal is to keep operational risk at appropriate levels relative to the characteristics of our businesses and the markets in which we operate, our capital and liquidity, and the competitive, economic and regulatory environment.

Our operational risk strategy seeks to minimise the impact that operational risk can have on shareholders' value.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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In order to create and promote a culture that emphasizes effective operational management and adherence to operating controls, there are three distinct levels of operational risk governance structure in VFD Group:

Level 1 refers to the oversight function carried out by the Board of Directors, Board Risk and Compliance Committee and the executive management. Responsibilities at this level include ensuring effective management of operational risk and adherence to the approved operational risk policies.

Level 2 refers to the management function carried out by operational risk management. It has direct responsibility for formulating and implementing the Group's operational risk management framework including methodologies, policies and procedures approved by the Board.

Level 3 refers to the operational function carried out by all business units and support functions in the Group. These units/functions are fully responsible and accountable for the management of operational risk in their units. They work in liaison with operational risk management to define and review controls to mitigate identified risks. Internal audit provides independent assessment and evaluation of the Group's operational risk management framework. This periodic confirmation of the existence and utilization of controls in compliance with approved policies and procedures, provide assurance as to the effectiveness of the Group's operational risk management framework.

While all operational risks cannot be eliminated, they can be managed by instituting strong control framework and by monitoring and responding timely to potential risks. Such controls include documentation of processes, controls and procedures, segregation of duties, reconciliation and other management review procedures.

Information Security and Continuity of Business

Information security and the protection of confidential and sensitive customer data are a priority of VFD Group. The Group has developed and implemented an Information Security Risk Management framework that is in line with best practice. The framework is reviewed and enhanced regularly to address emerging threats to customers' information.

The Group mitigates business continuity risks by reviewing and testing recovery procedures.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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3.6 Classification category of financial assets and financial liabilities

The classification category of financial assets and liabilities, together with the carrying amounts shown in the statement of financial position, are as stated below:

Group

At 31 December 2025	Note	Amortised cost	Fair value through P or L	Fair value through OCI	Total carrying amount
		₦'000	₦'000	₦'000	₦'000
Assets					
Cash and cash equivalents	14	79,474,436	-	-	79,474,436
Funds under management	15	74,285,238	3,067,352	-	77,352,590
Investment securities	16.1 & 16.2	32,433,389	-	18,714,017	51,147,405
Fixed debt placements	16.1	29,360,207	-	-	29,360,207
Unquoted equities & mutual funds	16.3	-	18,192,669	-	18,192,669
Loans and advances	17	26,254,558	-	-	26,254,558
Other receivables	22	83,074,439	-	-	83,074,439
		324,882,267	21,260,021	18,714,017	364,856,305
Liabilities					
Funds under management	24	91,343,871	-	-	91,343,871
Borrowings	25	123,864,112	-	-	123,864,112
Other liabilities	26	88,875,886	-	-	88,875,886
Deposit liabilities	27	65,299,893	-	-	65,299,893
		369,383,762	-	-	369,383,762
At 31 December 2024					
Assets		₦'000	₦'000	₦'000	₦'000
Cash and cash equivalents	14	13,345,755	-	-	13,345,755
Funds under management	15	46,583,127	2,798,746	-	49,381,873
Investment securities	16.1 & 16.2	16,078,969	-	12,063,923	28,142,892
Fixed debt placements	16.1	15,049,343	-	-	15,049,343
Unquoted equities & mutual funds	16.3	-	11,211,241	-	11,211,241
Loans and advances	17	62,300,053	-	-	62,300,053
Other receivables	22	44,974,769	-	-	44,974,769
		198,332,016	14,009,987	12,063,923	224,405,927
Liabilities					
Funds under management	24	49,599,852	-	-	49,599,852
Borrowings	25	121,427,577	-	-	121,427,577
Deposit liabilities	27	34,900,483	-	-	34,900,483
Other liabilities	26	25,207,790	-	-	25,207,790
		231,135,701	-	-	231,135,701

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Company

At 31 December 2024	Note	Amortised cost	Fair value through P or L	Fair value through OCI	Total carrying amount
		₦'000	₦'000	₦'000	₦'000
Assets					
Cash and cash equivalents	0	-	-	-	-
Investment securities	16.1 & 16.2	5,063,601	-	16,406,260	21,469,861
Fixed debt placements	16.1	27,101,163	-	-	27,101,163
Unquoted equities & mutual funds	16.3	-	17,796,717	-	17,796,717
Other receivables	22	51,952,129	-	-	51,952,129
		84,116,893	17,796,717	16,406,260	118,319,870
Liabilities					
Borrowings	25	124,935,494	-	-	124,935,494
Other liabilities	26	57,521,179	-	-	57,521,179
		182,456,672	-	-	182,456,672
At 31 December 2024		₦'000	₦'000	₦'000	₦'000
Assets					
Cash and cash equivalents	0	-	-	-	-
Investment securities	16.1 & 16.2	21,356,681	-	12,231,462	33,588,143
Fixed debt placements	16.1	9,519,739	-	-	9,519,739
Unquoted equities & mutual funds	16.3	-	9,157,201	-	9,157,201
Other receivables	22	20,801,248	-	-	20,801,248
		51,677,668	9,157,201	12,231,462	73,066,331
Liabilities					
Borrowings	25	83,961,449	-	-	83,961,449
Other liabilities	26	10,896,491	-	-	10,896,491
		94,857,940	-	-	94,857,940

4 Strategic Risk Management

We define Strategic Risk as the process for identifying, assessing and managing risks and uncertainties, affected by internal and external events or scenarios that could inhibit the Group's ability to achieve its strategy and strategic objectives with the ultimate goal of creating and protecting shareholder and stakeholder value. It is a primary component and necessary foundation of our Enterprise Risk Management.

Strategic risk management, therefore, is defined as current or prospective risk to earnings and capital arising from adverse business decisions, improper implementation of decisions or lack of responsiveness to changes in the business environment. It can also be defined as the risk associated with future business plans and strategies, including plans for entering new business lines, expanding existing services through mergers and acquisitions, and enhancing infrastructure.

Strategic risk management involves various organizational functions within the Group. The following principles govern the Group's strategic risk management:

The Board and executive management are responsible for strategic risk management and oversees the effective functioning of the strategic risk management framework;

The functional units (i.e. the units which carry out business or operational functions) assist the Board and executive management in formulating and implementing strategies, and in providing input to the strategic planning and management processes and as well as implementing the strategic risk management framework.

The strategic risk management functions support the Board and senior management in managing strategic risk and other related processes in the Group.

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Strategic plans are approved and monitored by the board. Regular environmental scan, business strategy sessions and workshops are set up to discuss business decisions, close monitoring to ensure that strategic plans are properly aligned with the business model, regular performance review by Executive Management, business plans are approved by the board.

4 Reputational risk management

Reputational risk arises when the Group's reputation is damaged by one or more reputational events from negative publicity about the organization's business practices, conduct or financial condition. The Group's Strategic and Reputational Risk Management is mandated to protect the Group from potential threats to its reputation.

VFD Group takes the management of reputational risks seriously because of their far-reaching implications. The effects of the occurrence of a reputational risk event include but are not limited to the following:

- Loss of current or future customers;
- Loss of public confidence;
- Loss of employees leading to an increase in hiring costs, or staff downtime;
- Reduction in current or future business partners;
- Regulatory sanctions;
- Increased costs due to government regulations, fines, or other penalties; and

The desired risk appetite for reputation is low risk. The Group will ensure that highest ethical standards are followed at all times and the code of conduct policy will be strictly implemented.

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3.9 Fair value of financial assets and liabilities

(a) Financial instruments measured at fair value

IFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the market assumptions. These two types of inputs have created the following fair value hierarchy

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

Group	Level 1 N'000	Level 2 N'000	Level 3 N'000	Total N'000
As at 31 December 2025				
Assets measured at fair value				
Unquoted equity instrument and mutual funds - at FVTPL	-	18,192,669	-	18,192,669
Financial investments - at FVOCI	18,714,017	-	-	18,714,017
Funds under management - quoted equity	3,067,352	-	-	3,067,352
Assets for which fair value is disclosed				
Financial Investments - at amortised cost	-	61,793,596	-	61,793,596
Funds under management - at amortised cost	-	75,731,967	-	75,731,967
Loans and advances - at amortised cost	-	26,254,558	-	26,254,558
	21,781,369	181,972,791	-	203,754,159
Liabilities for which fair value is disclosed				
Funds under management	-	91,343,871	-	91,343,871
Borrowings	-	123,864,112	-	123,864,112
Deposit liabilities	-	65,299,893	-	65,299,893
	-	280,507,876	-	280,507,876
As at 31 December 2024				
Assets measured at fair value				
Unquoted equity instrument and mutual funds - at FVTPL	-	11,211,241	-	11,211,241
Financial investments - at FVOCI	8 650 560	-	-	8 650 560
Funds under management - quoted equity	2,798,746	-	-	2,798,746
Assets for which fair value is disclosed				
Financial Investments - at amortised cost	-	31,128,312	-	31,128,312
Funds under management - at amortised cost	-	46,583,127	-	46,583,127
Loans and advances - at amortised cost	-	62,300,053	-	62,300,053
	11,449,306	151,222,733	-	162,672,039
Liabilities for which fair value is disclosed				
Funds under management	-	49,599,852	-	49,599,852
Borrowings	-	121,427,577	-	121,427,577
Deposit liabilities	-	34,900,483	-	34,900,483
	-	205,927,912	-	205,927,912

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Company	Level 1 N'000	Level 2 N'000	Level 3 N'000	Total N'000
As at 31 December 2024				
Assets measured at fair value				
Financial investments - at FVTPL	-	17,796,717	-	17,796,717
Financial investments - at FVOCI	16,406,260	-	-	16,406,260
Assets for which fair value is disclosed				
Financial Investments - at amortised cost	-	32,164,764	-	32,164,764
	16,406,260	49,961,480	-	66,367,741
Liabilities for which fair value is disclosed				
Borrowings	-	124,935,494	-	124,935,494
	-	124,935,494	-	124,935,494
As at 31 December 2023				
Assets measured at fair value				
Financial investments - at FVTPL	-	9,157,201	-	9,157,201
Financial investments - at FVOCI	12,231,462	-	-	12,231,462
Assets for which fair value is disclosed				
Financial Investments - at amortised cost	-	33,607,542	-	33,607,542
	12,231,462	42,764,743	-	54,996,205
Liabilities for which fair value is disclosed				
Borrowings	-	83,961,449	-	83,961,449
	-	83,961,449	-	83,961,449

Quoted equity instrument

Level 1 equity securities relates to securities quoted on the Nigerian Exchange Group and NASD.

Level 3 equity instruments were measured using the market approach.

There have been no transfer between the levels.

- (b) Set out below is a comparison by class of the carrying amounts and fair values of the Group's financial instruments that are carried in the financial statements.

Group	Carrying value		Fair value	
	2025 N'000	2024 N'000	2025 N'000	2024 N'000
Financial investments - at FVTPL	18,192,669	11,211,241	18,192,669	11,211,241
Financial investments - at FVOCI	18,714,017	8,650,560	18,714,017	8,650,560
Funds under management - quoted equity	3,067,352	2,798,746	3,067,352	2,798,746
Financial Investments - at amortised cost	61,793,596	31,128,312	61,793,596	31,128,312
Funds under management - at amortised cost	75,731,967	46,583,127	75,731,967	46,583,127
Loans and advances - at amortised cost	26,254,558	62,300,053	26,254,558	62,300,053
	203,754,159	162,672,039	203,754,159	162,672,039
Funds under management	91,343,871	49,599,852	91,343,871	49,599,852
Borrowings	123,864,112	121,427,577	123,864,112	121,427,577
Deposit liabilities	65,299,893	34,900,483	65,299,893	34,900,483
	280,507,876	205,927,912	280,507,876	205,927,912

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- (c) Set out below is a comparison by class of the carrying amounts and fair values of the Company's financial instruments that are carried in the financial statements.

Company

	Carrying value		Fair value	
	2024	2023	2024	2023
	₦'000	₦'000	₦'000	₦'000
Financial investments - at FVTPL	17,796,717	9,157,201	17,796,717	9,157,201
Financial investments - at FVOCI	16,406,260	12,231,462	16,406,260	12,231,462
Financial Investments - at amortised cost	32,164,764	33,607,542	35,381,240	36,968,296
	66,367,741	54,996,205	69,584,217	58,356,959
Borrowings	124,935,494	83,961,449	124,935,494	83,961,449
	124,935,494	83,961,449	124,935,494	83,961,449

(d) Fair valuation methods and assumptions

(i) Cash and cash equivalents

Cash and cash equivalents represents cash on hand, short term placements and balances held with banks. The fair value of these balances is their carrying amounts.

(ii) Loans and advances

Loans and advances are carried at amortized cost net of provision for impairment. The estimated fair value of loans and advances represents the discounted amount of amortised cost balance net of provision for impairment. The balance is discounted at current market rates to determine the fair value.

(iii) Other financial assets and liabilities

Other financial assets/financial liabilities represent monetary assets, which usually have a short recycle period and as such, whose fair values approximate their carrying amount

(iv) Deposit liabilities

The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is the amount repayable on demand. The estimated fair value of fixed interest-bearing deposits not quoted in an active market is based on discounted cash flows using interest rates for new debts with similar remaining maturity.

(v) Borrowings

The estimated fair value of fixed interest-bearing borrowings not quoted in an active market is based on the market rates for similar instruments for these debts over their remaining maturity.

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	Group		Company	
	31 December	Restated 31 December	31 December	31 December
	2025 N'000	2024 N'000	2025 N'000	2024 N'000
4 Investment and similar income				
Interest from placements	17,281,168	12,291,572	3,004,232	5,380,334
Interest from debt instruments	5,280,794	3,423,336	1,098,856	1,588,198
Dividend income	1,059,840	462,988	2,529,751	1,086,534
Fees and commission income	2,127,169	4,139,344	3,359	2,473,905
Business support fees	510,984	586,895	-	-
Interest from treasury bills and commercial papers	1,924,651	629,087	288,876	346,330
Investment income***	16,435,997	13,546,077	13,469,087	13,184,057
Interest from loans & advances	9,454,653	8,566,427	3,869,112	-
Operating lease income	7,308	27,144	-	-
Hospitality, freight and warehouse income	916,850	854,785	-	-
Rental Income	326,827	936,521	6,661	20,657
Income on disposal of shares	138,380	-	-	-
Income from investment in real estate	4,225,324	9,256,404	-	-
Income from investment in logistics and haulage business	8,677,593	10,581,352	-	-
	68,367,537	65,301,932	24,269,935	24,080,015
4.1 Apart from dividend income which is a point in time revenue, all other investment and similar income disclosed above are overtime revenue.				
Investment income from items measured at amortised cost	28,660,472	21,487,086	7,162,220	5,726,664
Investment income from items measured at FVPL	5,280,794	3,423,336	1,098,856	1,588,198
Investment income from items measured at FVOCI	34,426,271	40,391,510	16,008,858	16,765,153
	68,367,537	65,301,932	24,269,935	24,080,015
5.1 Finance cost				
Interest expense on borrowings*	38,203,822	35,413,339	20,454,690	20,674,573
*Included in Interest expense on borrowings are bank loans & overdraft, commercial papers and private placements.				
5.2 Investment and similar expense				
Truck subcontracting cost for haulage and logistics	3,557,314	4,181,829	-	-
Property development cost	2,970,475	6,865,171	-	-
Hospitality cost	303,501	375,227	-	-
Cost of App development	259,597	168,714	-	-
Fees and commission expense	1,633,721	732,816	1,249,620	676,692
Other Investment expense	1,679,165	345,623	1,679,165	345,623
	10,403,774	12,669,380	2,928,785	1,022,315
6 Other income (Note 6.1a)				
Exchange gain	1,611,141	1,653,561	525,889	234,557
Gain on disposal of investment property	-	514,981	-	124,178
Gain on disposal of PPE	5,152	53,786	1,415	124
Fair value gain on investment property	3,500,209	5,622,499	579,300	813,476
Others	1,311,527	957,416	956,108	-
	6,428,029	8,802,243	2,062,712	1,172,335
*** Included in Others item is Write-back of N812m relating to payables no longer required				
6.1a All the other income items disclosed above are point in time revenue.				
6.1b Net gain from financial assets at FVTPL	Group		Company	
	31 December	31 December	31 December	31 December
	2025 N'000	2024 N'000	2025 N'000	2024 N'000
*Net gain from financial assets at FVTPL	10,692,526	3,898,893	5,103,333	3,181,292
	10,692,526	3,898,893	5,103,333	3,181,292
This represents the net gain on equity instruments measured at fair value through profit or loss.				
6.2 Share of profit from associate	132,150	34,387	46,213	43,226
7 Personnel expenses				
Salaries and wages	4,827,859	3,253,152	672,642	564,542
Contributions to defined contribution scheme	212,653	153,003	70,737	56,784
Other staff costs	1,482,852	1,411,104	156,922	117,762
	6,523,363	4,817,259	900,301	739,088

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7.1 The average number of persons other than directors, in employment at the Group level during the year comprise:

	Group		Company	
	31 December	31 December	31 December	31 December
Management	147	125	14	12
Others	267	227	34	29
	414	352	48	41

7.2 Employees, other than directors, earning more than N10,000,000 per annum, received remuneration (excluding pension contributions and certain benefits)

	Group		Company	
	31 December	31 December	31 December	31 December
Below N10,000,000	181	173	21	20
N10,000,001 - N20,000,000	60	51	7	6
N20,000,001 - N 30,000,000	112	43	13	5
N30,000,001 - N 40,000,000	9	17	1	2
N40,000,001 - N50,000,000	17	43	2	5
Above N50,000,000	35	29	4	3

	Group		Company	
	31 December	31 December	31 December	31 December
	2025	2024	2025	2024
	N'000	N'000	N'000	N'000
8 Other operating expenses				
Repairs and maintenance	627,349	1,011,707	121,822	46,912
Auditors remuneration	206,984	171,916	64,500	45,150
Professional fees	1,628,445	964,444	852,977	494,894
Travel and accommodation	991,358	1,083,019	339,522	520,295
Insurance	433,474	340,270	88,362	65,944
Advertisement, branding & business promo	1,594,867	1,296,167	212,741	182,172
Corporate gift	602,040	282,221	519,661	255,693
Donations	28,073	81,370	21,000	10,700
AGM/Dividend processing expenses	83,338	16,535	83,338	16,535
Rent and rates	566,029	823,450	396,794	444,984
Directors fees and other allowances	803,269	486,831	151,239	74,000
Subscription	284,389	101,242	97,961	24,859
Training	167,446	134,517	53,338	57,962
IT license and maintenance fee	1,439,824	1,528,636	-	34,542
Bank charges	368,633	221,889	67,962	39,123
Security expenses	381,355	196,279	357,422	179,565
Net monetary loss arising from hyperinflationary economy	-	13,751	-	-
***Office expenses	3,714,083	3,672,552	1,143,901	1,521,950
	13,920,956	12,426,796	4,572,539	4,015,280

** Net monetary loss arising from hyperinflationary economy in 2024 is with respect to the remeasurement of monetary items in VFD Ghana Limited following the designation of Ghana as a hyperinflationary economy.

During the year ended 31 December 2025, the designation of Ghana as a hyperinflationary economy as subsequently ceased.

***Office expenses include cost of staff lunch, media monitoring, end of year and special staff events and other office running expenses.

9 Impairment/(writeback) on financial assets				
Trade and Other receivables (Note 22.1b)	609,723	1,121,987	1,290,973	309,492
Loans and advances (Note 17.1)	1,974,339	870,346	-	-
Funds under management (Note 15)	221,461	183,159	-	-
Financial assets (Note 16.1)	(406,060)	(1,630,986)	(169,757)	(1,090,344)
	2,399,464	544,506	1,121,216	(780,852)

10 Income tax expense Recognised in the profit or loss

Income tax	3,854,503	1,282,793	159,320	164,508
Education tax	7,644	47,921	87,734	48,862
Information technology tax	1,783	15,591	40,875	-
Police trust fund	9	9,940	204	129
Prior year over provision	-	-	(41,398)	-
	3,863,938	1,356,245	246,735	213,499
Deferred tax charge/(credit)	595,729	914,051	553,222	177,544
	4,459,667	2,270,296	799,957	391,043

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	Group		Company	
	Restated			
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
11 Depreciation and amortisation				
Depreciation - Note 19	2,632,821	2,026,502	314,391	220,024
Amortisation (Note 20)	96,302	123,215	13,846	11,894
	2,729,123	2,149,717	328,237	231,917
12 Investment in associates				
At 1 January	6,735,675	5,080,036	5,856,295	4,447,982
Reclassification during the year (Note 12.1)		5,864,068		5,587,068
Additions	837,238		744,196	
Disposals		(4,242,816)		(4,221,981)
Share of profit from associate	132,150	34,387	46,213	43,226
At 31 December	7,705,062	6,735,675	6,646,704	5,856,295

The relates to reclassification of investment in Splittar from ordinary investment to an associate after the company acquired the associate threshold in the year.

12.1 The disposal relates to divestment from Abbey Mortgage Bank in the year 2024 which made the investment to fall within the threshold of ordinary investment.

12.2 Investment in associates

Name of the entity	% of Ownership into Net Asset	
1 HSE Gourmet Limited	37%	122,852
O'Spaces Nigeria Limited	30%	417,549
E'Bar Metro	20%	164,340
Rockshield Asset Protection Limited	29.57%	212,190
Movis Nigeria Limited	20%	30,710
Product Studio Limited	40%	156,284
Splittar Limited	34%	4,703,377

Set out below are the summarised financial information for associates which are accounted for using the equity method.

	HSE Gourmet Limited		O'Spaces Nigeria Limited		E'Bar Metro	
	December 2025 N'000	December 2024 N'000	December 2025 N'000	December 2024 N'000	December 2025 N'000	December 2024 N'000
Assets						
Bank balance	30,551	58,301	60,293	51,097	3,155	14,366
Financial Investments- securities at amortised cost		1,198	731	70,138	96,000	89,573
Investment in subsidiaries	30,000	30,000	-	-	-	-
Other assets	55,042	57,023	882,505	251,002	115,807	60,432
Deferred tax Asset	61,086					
Property and equipment	33,901	73,586	369,458	418,881	86,480	63,428
Intangible assets	-	-	11,210	8,493	-	-
Total Assets	210,580	220,108	1,324,197	799,612	301,443	227,800
Liabilities						
Deposits from customers	-	-	583,082	391,217	-	-
Other liabilities	72,487	39,037	71,039	118,783	137,103	68,490
Borrowings		1,482	71,618	115,039	-	-
Deferred tax liabilities	15,241	18,661	180,909	23,063	-	-
Total Liabilities	87,728	59,181	906,648	648,102	137,103	68,490
Net Assets	122,852	160,927	417,549	151,510	164,340	159,309

Reconciliation to carrying amounts:

Opening net assets (1 January 2025)
Profit/(loss) for the year
Closing net assets (31 December 2025)

HSE Gourmet Limited N'000	O'Spaces Nigeria Limited N'000	E'Bar Metro N'000
169,812	156,724	155,305
(46,959)	260,825	9,034
122,852	417,549	164,340

Summary statement of comprehensive income

Revenue
Operating expenses
Tax credit/(expense)
Profit/(loss) for the year

HSE Gourmet Limited December 2025 N'000	O'Spaces Nigeria Limited December 2025 N'000	E'Bar Plaza December 2025 N'000
403,517	2,353,045	611,116
(450,477)	(1,963,754)	(602,081)
	(128,466)	-
(46,959)	260,825	9,034

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	Rockshield Asset Protection Limited		Movis Nigeria Limited		Product Studio Limited	
	December 2025	December 2024	December 2025	December 2024	December 2025	December 2024
	N'000	N'000	N'000	N'000	N'000	N'000
Assets						
Bank balance	90,592	40,736	7,187	4,529	62,299	67,438
Cash balances with central bank	-	-	-	-	-	-
Due from other banks	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Financial investments - securities at FVTPL	-	-	-	-	-	-
Financial Investments- securities at amortised cost	91,370	86,613	166	68,297	-	66,051
Investment in subsidiaries	-	-	-	-	-	-
Other assets	94,624	-	204,631	1,000	172,664	9,239
Property and equipment	56,663	72,962	3,978	25,292	20,084	11,903
Intangible assets	-	-	100	-	-	-
Non-current assets held for sale	-	-	-	-	-	-
Total Assets	333,249	200,311	216,062	99,118	255,047	154,630
Liabilities						
Due to other Banks	-	-	-	-	-	-
Deposits from customers	-	-	-	-	-	-
Current income tax payable	29,262	11,422	-	-	-	-
Other liabilities	91,797	4,720	185,351	61,476	97,336	6,045
Borrowings	-	-	-	-	-	-
Deposit for Shares	-	-	-	-	-	-
Due to National Housing Fund	-	-	-	-	-	-
Deferred tax liabilities	-	-	-	-	1,427	-
Total Liabilities	121,059	16,142	185,351	61,476	98,763	6,045
Net Assets	212,190	184,169	30,710	37,642	156,284	148,586

Reconciliation to carrying amounts:

Opening net assets (1 January 2025)
Profit for the year
Closing net assets (31 December 2025)

	Rockshield Asset Protection Limited	Movis Logistics Nigeria Limited	Product Studio Limited
	N'000	N'000	N'000
	137,568	21,973	112,662
	74,622	8,737	43,622
	212,190	30,710	156,284

Summary statement of comprehensive income

Revenue
Operating expenses
Tax credit/(expense)
Profit for the year
Profit for the year

	Rockshield Asset Protection Limited	Movis Logistics Nigeria Limited	Product Studio Limited
	December 2025	December 2025	December 2025
	N'000	N'000	N'000
	404,175	153,529	384,079
	(293,456)	(141,049)	(318,149)
	(36,097)	(3,743)	(22,308)
	74,622	8,737	43,622
	-	8,737	43,622

HSE Gourmet Limited

The principal activity of HSE Gourmet Limited is offering comfort-food style restaurant services.

The Group holds an equity interest of 370,000 ordinary shares in HSE Cafe Ltd as at 31 December 2025, representing 37% equity participation in the company. No dividend income was received from HSE Cafe Ltd during the year. As at 31 December 2025, the value of the investment was N122.8m (N160.9m at 31 December 2024).

O'Spaces Nigeria Limited

O'Spaces Nigeria Limited is a building construction company that has since inception in 1991 delivered numerous public, industrial, commercial, and residential projects, meeting the needs of clients. The company handles all phases of building construction from renovations to new construction, and are committed to excellent quality construction and timely delivery of projects within budget.

The Group holds an equity interest of 310,000,000 ordinary shares in O'Spaces Nigeria Ltd as at 31 December 2025, representing 30% equity participation in the company. No dividend income was received from O'Spaces Nigeria Ltd during the year. As at 31 December 2025, the value of the investment was N417.5m (N151.5m at 31 December 2024).

E'Bar Metro

The principal activities of the EBAR Metro is serving as a bar for relaxation and leisure, offering homestyle cookings.

The Group holds an equity interest of 49,166,667 ordinary shares of N1 each in E'Bar Metro as at 31 December 2025, representing 20% equity participation in the company. No dividend income was received from E'Bar during the year. As at 31 December 2025, the value of the investment was N164.3m (N159m at 31 December 2024).

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Rockshied Assets Protection Limited

Rockshied Asset Protection Limited was incorporated as a private company limited by shares on 6 April 2016. It commenced operations in September 2021. The Company is in the business of Outsourced Concierge, Protocol, Asset Protection, Corporate Security Guards, Intelligence and related services.

The Group holds an equity interest of 2,957,000 ordinary shares in Rockshied Assets Protection Limited as at 31 December 2025, representing 29.57% equity participation in the company. The company received N4,579,315.30 during the year as dividend. As at 31 December 2025, the value of the investment was N212.1m (N184.1m at 31 December 2024).

Movis Logistics Nigeria Limited

Movis Logistics Nigeria Limited, established on June 27, 2023, with registration number RC-7031209, is a dynamic and customer-focused logistics service provider based in Lagos, Nigeria. The company offers a comprehensive range of services tailored to meet the evolving needs of modern businesses, including express courier solutions, air and sea freight, transport and haulage services, warehousing, customs clearance, travel management, and outsourcing solutions.

The Group holds an equity interest of 6,000,000 ordinary shares of N1 each in Movis Logistics Nigeria Limited as at 31 December 2025, representing 20% equity participation in the company. No dividend income was received from the company during the year. As at 31 December 2025, the value of the investment was N30.7m (N37m at 31 December 2024).

Product Studio Limited

Product Studio Limited is a private limited company incorporated in Nigeria. The company is a dynamic and innovative product development company dedicated to turning ideas into successful digital products and solutions. The company is headquartered in Lagos, Nigeria.

The Group holds an equity interest of 400,000 ordinary shares of N1 each in the company as at 31 December 2025, representing 40% equity participation in the company. The company received N4,579,315.30 during the year as dividend. As at 31 December 2025, the fair value of the investment was N156m.

Splitar Limited

Splitar Limited is a financial technology company pioneering inclusive capital markets infrastructure in Africa. With a core mission to democratize access to alternative assets and improve liquidity for alternative assets and Intellectual Property assets, Splitar bridges the gap between innovation and investment across underserved sectors.

The Group holds an equity interest of 2,652,567 ordinary shares of N1 each in the company as at 31 December 2025, representing 34% equity participation in the company. No dividend income was received from the company during the year.

	Group		Company	
	31 December 2025	31 December 2024	31 December 2025	31 December 2024
13 Earnings/(loss) per share				
<i>Basic/diluted earnings/(loss) per share</i>				
Basic earnings attributable to shareholders (N'000)	7,246,275	6,264,938	3,246,195	2,183,505
Weighted Average Number of Shares	7,601,100	7,601,100	7,601,100	7,601,100
*Basic earnings per share basic (kobo)	95	82	43	29
Basic earnings per share diluted (kobo)	95	82	43	29
Note that the EPS has been restated for the previous share for Bonus issue in line with the requirement of IAS 33				

14 Cash and cash equivalents

Cash in hand	697,946	56,618	83,265	54,258
Balance with banks and other financial institutions	76,309,328	11,182,629	51,605,153	1,170,740
Short term placements	2,467,163	2,106,509	1,081,559	-
	79,474,436	13,345,755	52,769,977	1,224,998

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisitions, including cash in hand, deposits held at call with other banks and other short-term highly liquid investments with original maturities less than three months.

All bank balances and money market placements are assessed to have low credit risk at each reporting date as they are held with reputable financial institutions. Also, expected credit loss on cash and cash equivalents are immaterial.

	Group		Company	
	31 December 2025	31 December 2024	31 December 2025	31 December 2024
Classified as:	N'000	N'000	N'000	N'000
Current	79,474,436	13,345,755	52,769,977	1,224,998
Non-current	-	-	-	-
	79,474,436	13,345,755	52,769,977	1,224,998

15 Funds under management - Asset

Placements	48,577,284	40,759,568	-	-
Quoted equity instruments	3,067,352	2,798,746	-	-
Bonds and Treasury bills	27,154,683	7,048,827	-	-
	78,799,319	50,607,141	-	-

Less allowances for impairment on placements	(1,049,384)	(1,142,161)	-	-
Less allowances for impairment on investment securities	(397,345)	(83,107)	-	-
	77,352,590	49,381,873	-	-

15.1 Movement in loss allowance

At 1 January	1,225,268	1,042,109	-	-
Charge during the year:				
Increase in loss allowance (Note 9)	221,461	183,159	-	-
At 31 December	1,446,729	1,225,268	-	-

Classified as:

Current	50,595,253	56,353,600	-	-
Non-current	26,757,337	5,665,013	-	-
	77,352,590	49,381,873	-	-

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	Group		Company	
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
16 Investment in financial assets				
Financial assets measured at amortised cost - (Note 16.1)	61,793,596	31,128,312	32,164,764	33,607,542
Financial assets measured at FVOCI - (Note 16.2)	18,714,017	8,650,560	16,406,260	12,231,462
Financial assets measured at FVTPL - (Note 16.3)	18,192,669	11,211,241	17,796,717	9,157,201
	98,700,281	50,990,113	66,367,741	54,996,205
Classified as:				
Current	61,793,596	31,128,312	32,164,764	33,607,542
Non current	36,906,686	19,861,801	34,202,977	21,388,663
	98,700,281	50,990,113	66,367,741	54,996,205
16.1 Financial assets measured at amortized cost				
Investment in debt securities	26,145,462	14,404,417	5,176,605	21,799,767
Fixed debt placements	29,360,207	15,049,343	27,101,163	9,519,739
Treasury bills	6,938,437	2,731,122	160,324	2,731,122
	62,444,106	32,184,882	32,438,093	34,050,628
Loss allowance on financial assets at amortized costs	(650,511)	(1,056,570)	(273,329)	(443,086)
	61,793,596	31,128,312	32,164,764	33,607,542
Movement in loss allowance				
At 1 January	1,056,570	1,606,205	443,086	1,533,430
Movement during the year:				
(Decrease) in loss allowance (Note 9)	(406,059)	(549,635)	(169,757)	(1,090,344)
At 31 December	650,511	1,056,570	273,329	443,086
16.2 Fair value through other comprehensive income (FVTOCI)				
Quoted equity securities	8,212,371	6,895,434	4,973,531	9,751,464
Fair value adjustments (16.2a)	10,501,645	1,755,126	11,432,729	2,479,998
	18,714,017	8,650,560	16,406,260	12,231,462
16.2a Changes in fair value reserve				
At 1 January	1,755,126	896,650	2,479,998	1,512,361
Gain/(loss) on instruments at FVOCI	8,746,520	858,476	8,952,731	967,637
Other At 31 December	10,501,645	1,755,126	11,432,729	2,479,998
16.3 Fair value through profit or loss (FVTPL)				
Unquoted equity securities	9,075,465	10,550,058	8,679,512	8,502,178
Funds investments	8,792,919	-	8,792,919	-
Quoted equity security	324,286	661,183	324,286	655,023
	18,192,669	11,211,241	17,796,717	9,157,201
17 Loans and advances				
Loans and advances at amortised cost	31,192,315	64,959,422	-	-
Less loss allowance (17.1)	(4,937,757)	(2,659,369)	-	-
	26,254,558	62,300,053	-	-
Current	11,941,388	11,941,388	-	-
Non current	14,313,170	50,358,665	-	-
	26,254,558	62,300,053	-	-

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17.1 Loss allowance on loans and advances

At 1 January	2,659,369	1,789,023	-	-
Charge during the year:				
Disposal of Subsidiary	(304,049)			
Loan allowance on loan to customers	1,974,339	870,345	-	-
	4,937,757	2,659,369	-	-

Financial assets measured at amortized cost are assessed to have low credit risk at each reporting date based on their respective external credit ratings. As such, the Group assumes that the credit risk on these financial instruments have not increased significantly since initial recognition as permitted by IFRS 9 and recognises 12 month ECL for these assets.

18 Investment in subsidiaries

	Holding	2025 Value ₦'000	Company		Country
			Holding	2024 Value ₦'000	
VFD Microfinance Bank Limited	95%	6,502,222	85%	901,500	Nigeria
Anchoria Asset Management Limited	54%	500,135	52%	350,135	Nigeria
Anchoria Advsiory Services Limited (formerly Kairos Capital Limited)	55%	146,850	55%	146,850	Nigeria
Anchoria Securities Limited (formerly Anchoria Investment and Securit	60%	329,924	60%	329,924	Nigeria
Herel Limited	85%	28,142,335	82%	21,440,336	Nigeria
Atiat Limited	0%	-	57%	4,344,753	Nigeria
VFD Tech Limited	95%	1,250,000	95%	1,250,000	Nigeria
Template Limited	90%	200,000	90%	200,000	Nigeria
VFD Ghana Limited	63%	2,113,792	63%	1,591,838	Ghana
		39,185,259		30,555,337	

Based on the contractual arrangements between the company and the shareholders in each of the entities, the company has the power to appoint and remove the majority of the Board of Directors of each entity. The relevant activities of each of the listed subsidiaries are determined by the Board of Directors of each entity based on simple majority shares. Therefore, the Directors of the company concluded that the Group has control over each of the above listed entities and were consolidated in the Group's financial statements.

All investment in subsidiaries have been classified as non current with a closing balance of ₦39.1bn (2024: ₦30.55bn)

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18.1 Significant restrictions

The Group does not have significant restrictions on its ability to access or use the assets and settle the liabilities of any member of the Group other than those resulting from the subsidiaries' supervisory frameworks. Disclosures on liquidity, capital adequacy and credit risk were made in the enterprise risk management section (Note 3) of the financial statements.

18.2 Condensed results of consolidated entities

The condensed financial data of the consolidated entities as at December 2025 are as follows:

Condensed statement of profit or loss	Anchoria Asset Management Limited N'000	VFD Microfinance Bank N'000	Anchoria Advisory Services Limited N'000	Anchoria Securities Limited N'000	VFD Ghana N'000	Herel Limited N'000	Template Limited N'000	VFD Tech Limited N'000	Movis Logistics Limited N'000	Cedi Capital Microfinance Bank Limited N'000
Operating income	5,212,774	13,491,832	1,286,366	1,677,007	332,029	11,971,893	1,500,908	2,793,597	9,110,805	808,297
Operating expenses (including finance cost)	(2,581,205)	(12,337,331)	(1,108,060)	(1,236,643)	(409,598)	(6,160,359)	(1,419,999)	(1,494,470)	(8,819,740)	(1,062,746)
Profit before tax	2,631,569	1,154,501	178,306	440,364	(77,569)	5,811,534	80,909	1,299,127	291,065	(254,449)
Income tax (expense)/credit	(928,557)	(378,554)	(128,657)	(93,159)	(155)	(1,955,583)	(29,963)	(13,911)	(273,630)	46,565
Profit for the period	1,703,012	775,947	49,649	347,205	(77,724)	3,855,951	50,946	1,285,216	17,435	(207,884)

The condensed statement of financial position of the consolidated entities as at December 2025 are as follows:

Condensed statement of financial position	Anchoria Asset Management N'000	VFD Microfinance Bank N'000	Anchoria Advisory Services Limited N'000	Anchoria Securities Limited N'000	VFD Ghana N'000	Herel Limited N'000	Template Limited N'000	VFD Tech Limited N'000	Movis Logistics Limited N'000	Cedi Capital Microfinance Bank Limited N'000
Assets										
Cash and cash equivalents	2,607,147	21,641,794	19,258	591,523	15,156	28,262	28,096	452,247	311,533	904,871
Funds under management Asset	141,200,294	-	-	18,518	-	-	-	-	-	-
Investment in financial assets	3,095,746	27,428,296	256,196	3,940,474	-	(24,864)	4,181,818	78,696	-	-
Loans and advances	-	21,898,773	-	-	-	-	-	-	-	276,572
Investment in subsidiaries	-	-	-	-	2,428,904	-	-	-	-	-
Investment in associates	-	-	-	-	-	841,114	-	-	-	-
Property, plant and equipment	285,656	1,057,113	443,848	238,322	30,175	972,904	32,067	20,113	7,310,594	115,169
Goodwill	-	-	-	-	-	1,337,503	-	-	-	-
Intangible assets	41,871	100,956	-	34,874	-	19,674	-	218,282	11,618	65,483
Investment property and inventory properties	625,000	-	-	-	-	41,258,239	-	-	(33,553)	-
Operating lease	-	-	-	-	-	-	-	-	-	-
Statutory deposit	-	-	-	-	-	-	-	-	-	-
Other receivables	3,740,086	1,695,929	486,133	768,904	919,589	25,277,154	4,096,771	1,944,970	10,974,091	34,166
Deferred tax assets	-	206,407	-	5,588	(47)	15,745	-	403,863	-	55,300
	151,595,800	74,029,268	1,205,435	5,598,203	3,393,777	69,725,731	8,338,752	3,118,171	18,574,283	1,451,561
Financed by:										
Funds under management Liability	144,003,200	-	-	307,432	-	-	-	-	-	-
Borrowings	(572,253)	583,959	-	3,177,808	-	7,762,101	7,346,908	460,917	2,077,809	-
Other liabilities	2,430,730	473,731	694,072	1,163,286	159,288	17,999,570	668,762	1,248,733	6,510,912	15,911
Deposit liabilities	-	65,282,920	-	-	-	379,664	-	-	-	191,322
Current tax liabilities	-	403,517	40,983	129,137	56,287	179,641	66,235	13,911	1,246,535	188,370
Deferred tax liabilities	77,551	-	-	44,888	-	2,489,760	-	-	250,742	-
Equity	5,656,572	7,285,140	470,380	775,652	3,178,202	40,914,995	256,847	1,394,610	8,488,285	1,055,958
	151,595,800	74,029,268	1,205,435	5,598,203	3,393,777	69,725,731	8,338,752	3,118,171	18,574,283	1,451,561

18.2(i) During the year, Atiat Limited ceased to be a subsidiary following its disposal.

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18.2 Condensed results of consolidated entities

The condensed financial data of the consolidated entities as at December 2024 are as follows:

Condensed statement of profit or loss	Anchoria Asset Management Limited N'000	VFD Microfinance Bank N'000	Anchoria Advisory Services Limited N'000	Anchoria Securities Limited N'000	Atiat Limited N'000	Atiat Insurance Brokers N'000	VFD Ghana N'000	Herel Limited N'000	Template Limited N'000	VFD Tech Limited N'000	Movis Logistics Limited N'000	Cedi Capital Microfinance Bank Limited N'000
Operating income	2,601,780	4,508,977	743,983	916,459	9,726,071	140,603	532,062	17,374,911	487,559	818,844	11,924,671	1,111,504
Operating expenses (including finance cost)	(1,504,713)	(3,981,417)	(538,744)	(613,478)	(8,412,521)	(125,871)	(720,503)	(14,331,064)	(483,920)	(812,859)	(9,538,988)	(616,126)
Income tax (expense)/credit	(353,997)	(160,968)	(74,773)	(87,316)	(398,635)	(5,002)	(584)	(690,947)	1,476	(3,440)	(364,574)	(13,878)
Profit for the period	743,071	366,591	130,465	215,665	914,915	9,730	(189,025)	2,352,900	5,115	2,545	2,021,109	481,500

The condensed statement of financial position of the consolidated entities as at December 2024 are as follows:

Condensed statement of financial position	Anchoria Asset Management N'000	VFD Microfinance Bank N'000	Anchoria Advisory Services Limited N'000	Anchoria Securities Limited N'000	Atiat Limited N'000	Atiat Insurance Brokers N'000	VFD Ghana N'000	Herel Limited N'000	Template Limited N'000	VFD Tech Limited N'000	Movis Logistics Limited N'000	Cedi Capital Microfinance Bank Limited N'000
Assets												
Cash and cash equivalents	863,068	7,835,493	102,033	881,119	1,848,828	71,884	97,629	93,485	11,297	9,678	558,310	69,328
Funds under management Asset	73,281,350	-	-	201,325	-	-	-	-	-	-	-	-
Investment in financial assets	1,882,482	11,208,292	341,598	2,397,815	30,528,958	-	-	2,512,925	4,636,863	498,156	68,332	15,153
Loans and advances	-	15,146,126	-	-	-	-	-	-	497,186	-	-	1,285,234
Investment in subsidiaries	-	-	-	-	74,615	-	2,987,960	-	-	-	-	-
Investment in associates	-	-	-	-	-	-	-	602,229	-	16,576	-	-
Property, plant and equipment	457,667	182,496	93,121	18,301	1,047,852	7,318	39,672	2,677,159	764	21,110	5,411,655	83,760
Goodwill	-	-	-	-	-	-	41,450	1,337,503	-	-	-	-
Intangible assets	2,134	16,548	-	1,807	4,154,627	6,717	-	3,806	-	112,432	12,053	32,911
Investment property and inventory properties	-	-	-	-	-	-	-	27,842,423	-	-	-	-
Operating lease	-	-	-	-	2,034,409	-	-	-	-	-	-	-
Statutory deposit	-	-	-	-	-	-	-	-	-	-	-	-
Other receivables	2,013,810	1,503,700	286,376	52,017	1,478,389	2,007	849,031	8,716,345	166,776	408,529	13,255,420	298,695
Deferred tax assets	-	249,241	-	3,206	-	-	-	15,745	5,852	403,863	-	4,418
	78,500,511	36,141,896	823,129	3,555,590	41,167,677	87,926	4,015,742	43,801,618	5,318,738	1,470,345	19,305,770	1,789,499
Financed by:												
Funds under management Liability	73,251,836	-	-	201,325	-	-	-	-	-	-	-	-
Borrowings	659,651	1,230,422	-	1,216,675	31,979,109	-	-	7,992,448	4,915,967	1,121,103	2,251,200	-
Other liabilities	1,261,641	235,287	188,611	1,232,751	608,249	16,856	48,002	3,189,677	173,280	238,332	8,744,328	162,922
Deposit liabilities	-	32,903,740	-	-	-	-	-	-	-	-	-	495,903
Current tax liabilities	221,340	438,434	65,915	136,701	386,949	21,070	60,334	419,700	4,377	1,515	1,038,706	-
Deferred tax liabilities	77,550	-	9,148	-	403,807	-	-	1,164,975	-	-	326,384	-
Equity	3,028,494	1,334,013	559,456	768,137	7,789,563	50,000	3,907,406	31,034,819	225,115	109,395	6,945,152	1,130,674
	78,500,511	36,141,896	823,129	3,555,590	41,167,677	87,926	4,015,742	43,801,618	5,318,738	1,470,345	19,305,770	1,789,499

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## (i)	Property, plant and equipment Group	Furniture & Fittings N'000	Motor vehicles N'000	Plant & Machinery N'000	Leasehold improvement N'000	Office Equipment N'000	Computer Equipment N'000	Land and Building N'000	Right of Use Asset N'000	Work in-progress N'000	Total N'000
	Cost										
	At 1 January 2025	441,584	7,128,801	200,659	3,265,675	840,820	157,820	830,483	4,036,525	563,959	17,466,327
	Additions	448,347	1,906,088	45,278	966,980	583,645	200,289	(0)	-	2,491,957	6,642,583
	Disposals	(449)	(217,290)	(7,546)	(94,743)	(158,691)	(44,537)	-	-	-	(523,257)
	Disposal of Subsidiaries	-	(400,325)	-	(1,865,734)	-	-	(830,483)	(3,839,737)	-	(6,936,279)
	At 31 December 2025	889,482	8,417,273	238,391	2,272,178	1,265,774	313,572	-	196,788	3,055,916	16,649,373
	Accumulated Depreciation										
	At 1 January 2025	186,596	2,011,614	7,430	70,147	478,386	115,702	-	1,946,982	-	4,816,858
	Charge in the year	288,177	711,932	3,300	1,237,723	292,508	44,046	-	55,135	-	2,632,821
	Disposal of Subsidiaries	-	(594,328)	-	(404,270)	-	-	-	(1,063,263)	-	(2,061,861)
	Disposals	(449)	(87,689)	(5,608)	(45,679)	(42,547)	(39,995)	-	-	-	(221,967)
	At 31 December 2025	474,324	2,957,424	5,123	857,921	728,347	119,754	-	22,959	-	5,165,851
	Carrying amounts										
	At 31 December 2025	415,158	5,459,849	233,268	1,414,257	537,427	193,818	-	173,829	3,055,916	11,483,522
	Classified as:										
	Current	-	-	-	-	-	-	-	-	-	-
	Non-current	415,158	5,459,849	233,268	1,414,257	537,427	193,818	-	173,829	3,055,916	11,483,522
		415,158	5,459,849	233,268	1,414,257	537,427	193,818	-	173,829	3,055,916	11,483,522

(ii) Company	Furniture & Fittings N'000	Motor vehicles N'000	Plant & Machinery N'000	Leasehold improvement N'000	Office Equipment N'000	Computer Equipment N'000	Land N'000	Right of Use asset N'000	Work in-progress N'000	Total N'000
Cost										
At 1 January 2025	248,851	364,197	-	178,228	77,953	69,280	-	-	760	939,269
Additions	68,935	454,905	-	4,162	4,520	49,526	-	-	192,591	774,638
Disposals/write offs	(449)	(148,645)	-	-	-	(17,721)	-	-	(760)	(167,576)
At 31 December 2025	317,337	670,457	-	182,389	82,473	101,084	-	-	192,591	1,546,332
Accumulated Depreciation										
At 1 January 2025	74,513	176,023	-	44,790	32,456	37,304	-	-	-	365,086
Charge in the year	68,517	151,402	-	45,250	26,668	22,552	-	-	-	314,389
Disposals/write offs	(449)	(93,623)	-	-	-	(16,633)	-	-	-	(110,705)
At 31 December 2025	142,581	233,802	-	90,040	59,124	43,223	-	-	-	568,770
Carrying amounts										
At 31 December 2025	174,756	436,655	-	92,349	23,349	57,861	-	-	192,591	977,562
Classified as:										
Current	-	-	-	-	-	-	-	-	-	-
Non-current	174,756	436,655	-	92,349	23,349	57,861	-	-	192,591	977,562
	174,756	436,655	-	92,349	23,349	57,861	-	-	192,591	977,562

- a) Estimates of useful life and residual value, and the method of depreciation, are reviewed at a minimum at each reporting period. Any changes are accounted for prospectively as a change in estimate.
- b) There were no impairment losses on any class of property, plant and equipment during the year (31 December 2024: Nil).
- c) There were no capitalised borrowing costs related to the acquisition of property, plant and equipment during the year (31 December 2024: Nil).
- d) Disposal of Subsidiaries relates to elimination of Atiat Limited Assets upon disposal

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19t (i)	Property, plant and equipment Group	Furniture & Fittings	Motor vehicles	Plant & Machinery	Leasehold Improvement	Office Equipment	Computer Equipment	Land	Operating Lease asset	Work in-progress	Total
	Cost	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
	At 1 January 2024	739,450	4,019,542	209,864	6,665,231	725,973	191,444	1,232,208	4,036,525	71,282	17,891,518
	Additions	25,889	3,467,439	66,689	1,328,528	205,015,341	45,306	226,101	-	492,677	5,857,644
	Disposals	(323,755)	(358,181)	(75,893)	(312,349)	(90,168)	(78,929)	(627,825)	-	-	(1,867,100)
	Reclassification from investment property**	-	-	-	(4,415,735)	-	-	-	-	-	(4,415,735)
	At 31 December 2024	441,584	7,128,801	200,659	3,265,675	840,820	157,820	830,483	4,036,525	563,959	17,466,327
	Accumulated Depreciation										
	At 1 January 2024	278,940	938,333	7,269	183,300	268,806	139,814	-	1,383,970	-	3,200,432
	Charge in the year	159,519	1,389,494	26,892	154,968	339,389	39,466	-	563,012	-	2,672,739
	Disposals	(251,862)	(316,213)	(26,731)	(268,120)	(129,809)	(63,578)	-	-	-	(1,056,312)
	At 31 December 2024	186,596	2,011,614	7,430	70,147	478,386	115,702	-	1,946,982	-	4,816,857
	Carrying amounts										
	At 31 December 2024	254,988	5,117,186	193,229	3,195,528	362,434	42,118	830,483	2,089,543	563,959	12,649,468
	Classified as:										
	Current	-	-	-	-	-	-	-	-	-	-
	Non current	254,988	5,117,186	193,229	3,195,528	362,434	42,118	830,483	2,089,543	563,959	12,649,468
		254,988	5,117,186	193,229	3,195,528	362,434	42,118	830,483	2,089,543	563,959	12,649,468
(ii)	Company										
	Cost										
	At 1 January 2024	248,553	565,378	-	118,632	103,669	120,730	-	-	-	1,156,962
	Additions	24,053	157,000	-	77,079	1,252	27,479	-	-	760	287,623
	Disposals	(23,755)	(358,181)	-	(17,483)	(26,968)	(78,929)	-	-	-	(505,316)
	Reclassifications	-	-	-	-	-	-	-	-	-	-
	At 31 December 2024	248,851	364,197	-	178,228	77,953	69,280	-	-	760	939,269
	Accumulated Depreciation										
	At 1 January 2024	38,268	373,707	-	23,734	33,647	97,067	-	-	-	566,423
	Charge in the year	60,000	77,865	-	38,539	25,777	17,843	-	-	-	220,024
	Disposals	(23,755)	(275,549)	-	(17,483)	(26,968)	(77,606)	-	-	-	(421,361)
	Reclassifications	-	-	-	-	-	-	-	-	-	-
	At 31 December 2024	74,513	176,023	-	44,790	32,456	37,304	-	-	-	365,086
	Carrying amounts										
	At 31 December 2024	174,338	188,174	-	133,438	45,497	31,976	-	-	-	574,183
	Classified as:										
	Current	-	-	-	-	-	-	-	-	-	-
	Non current	174,338	188,174	-	133,438	45,497	31,976	-	-	-	574,183
		174,338	188,174	-	133,438	45,497	31,976	-	-	-	574,183

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20	Intangible assets	Group	Company
	Purchased software	₦'000	₦'000
	Cost		
	At 1 January 2025	688,780	34,290
	Addition	-	13,000
	Write off (Note 20.1a)	(148,731)	-
	At 31 December 2025	<u>540,048</u>	<u>47,290</u>
	Accumulated amortization		
	At 1 January 2025	346,927	12,814
	Charge in the year	96,302	13,845
	Write off (Note 20.1a)	(96,810)	-
	At 31 December 2025	<u>346,419</u>	<u>26,660</u>
	Carrying amounts		
	At 31 December 2025	<u>193,629</u>	<u>20,630</u>
	Current	-	-
	Non-current	<u>193,629</u>	<u>20,630</u>
	Intangible assets	Group	Company
	Purchased software	₦'000	₦'000
	Cost		
	At 1 January 2024	672,695	88,415
	Addition	81,196	10,988
	Write off	(65,113)	(65,113)
	At 31 December 2024	<u>688,780</u>	<u>34,290</u>
	Accumulated amortization		
	At 1 January 2024	293,183	66,033
	Charge in the year	124,015	11,894
	Adjustment	(65,113)	(65,113)
	At 31 December 2024	<u>346,927</u>	<u>12,814</u>
	Carrying amounts		
	At 31 December 2024	<u>341,853</u>	<u>21,476</u>
	Current	-	-
	Non-current	<u>341,853</u>	<u>21,476</u>
20.1a	The write off relates to app that was developed for the Company but no longer useful.		
20.1b	Goodwill		
	At 1 January 2025	5,533,579	-
	Arising on consolidation	-	-
	Write off on disposal of subsidiary(Note 20.1c)**	(4,154,676)	-
	At 31 December 2025	<u>1,378,903</u>	<u>-</u>
	Goodwill from Acquisition		
	At 1 January 2024	5,533,579	-
	Arising on consolidation	-	-
	Write off	-	-
	At 31 December 2024	<u>5,533,579</u>	<u>-</u>
	Current	-	-
	Non-current	<u>1,378,903</u>	<u>-</u>
		<u>1,378,903</u>	<u>-</u>

Goodwill is reviewed annually or more frequently for impairment when there are objective indicators that impairment may have occurred by comparing the carrying value to its recoverable amount.

20.1c ***The adjustment relates to the decognition of ATIAT balances following full divestment from the subsidiary in the period.

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20.2 Goodwill is attributable to the acquisition of the following subsidiaries:

	2025
	Group N'000
	Company N'000
Dynasty Real Estate (see note (a) below)	1,337,503
Cedi Capital Microfinance Bank Ltd	41,400
	1,378,903

(a) Dynasty Real Estate:

The recoverable amount of Goodwill as at 31 December 2025 is greater than its carrying amount and is thus not impaired. The recoverable amount was determined using a value-in-use computation as N156.6bn with the CGU being N69.9bn.

Goodwill is reviewed annually for impairment, or more frequently when there are indications that impairment may have occurred. Impairment assessment has been performed for the year and no losses on goodwill were recognized as at 31 December 2025 (31 December 2024: Nil)

Goodwill is monitored by the Group on cash generating units (CGU) basis. For the purpose of impairment testing, the goodwill has been allocated to the following assets of the business - property, plant and equipment, investment property, development property, intangible assets and other assets

Goodwill impairment test was done by comparing the value-in-use for the CGU to the carrying amount of the goodwill based on cash flow projections. The approach is based on estimating the free cash flow to equity to determine the value in use. Cash flows were projected for the first 5 years based on operating results, expected future financial performance and past experience. Beyond 5 years, cash flows were assumed to grow at terminal growth rate of 3.06%. A post tax discount rate of 12.27% was applied based on estimate of cost of capital. This was estimated using the Capital Asset Pricing Model. There were no write-downs of goodwill due to impairment during the period. All assumptions are subject to market and economic conditions. However, we do not see possible changes in these assumptions adversely causing the recoverable amounts of the CGU's declining below their carrying amounts.

The key assumption used in computing the value-in-use for goodwill in during the year are as follows:

Terminal growth rate (i)	3.32%
Discount rate (ii)	5.11%

- (i) Weighted average growth rate used to extrapolate cash flows beyond the budget period.
(ii) Post tax discount rate applied to the cash flow projections.

Cash Flow Forecast

Cash flows were projected based on past experience and actual operating results. These cashflows are based on the expected revenue growth for the entity over this 5-year period.

Discount Rate

Post-tax discount rate of 5.11% was applied in determining the recoverable amounts. This was determined by reference to the company's weighted average cost of capital.

Terminal growth rate

The terminal growth rate applied was based on the long term growth rate in GDP of Nigeria.

The key assumptions described above may change as economic and market conditions change. The Group estimates that reasonably possible changes in these assumptions are not expected to cause the recoverable amount of the entity (from which the goodwill arose) to decline below their carrying amount.

Sensitivity analysis of key assumptions used

	10% increase	10% decrease
Impact of change in discount rate on value-in-use computation (increase/(decrease)	(N'34.246bn)	N'61.558bn
Impact of change in growth rate on value-in-use computation (increase/(decrease)	N'35.053bn	(N'24.095bn)

There were no write-downs of goodwill due to impairment during the year

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21 Investment property	Group N'000	Company N'000
a)		
At 1 January 2025	24,832,638	8,802,000
Addition	7,899,665	697,683
Fair value gain	3,500,209	579,300
Disposal	(8,020,750)	(7,201,983)
At 31 December 2025	28,211,761	2,877,000
Carrying amounts		
At 31 December 2025	28,211,761	2,877,000
At 31 December 2024	24,832,638	8,802,000
Current	-	-
Non-current	28,211,761	2,877,000
	28,211,761	2,877,000
b)		
At 1 January 2024	17,182,776	600,000
Addition	8,067,352	7,988,524
Fair value gain	3,190,117	813,476
Borrowing cost	4,360,601	-
Reclassified to property, plant and equipment (See note 19)	(585,127)	-
Reclassified to inventory (See note 21.1)	(7,383,081)	-
Disposal	-	(600,000)
At 31 December 2024	24,832,638	8,802,000
Carrying amounts		
At 31 December 2024	24,832,638	8,802,000
Current	-	-
Non current	24,832,638	8,802,000
	24,832,638	8,802,000
c) The analysis of investment properties is as follows:		
	Group	Company
	31 December 2025	31 December 2025
	N'000	N'000
Living Gold, Hampton Property	-	-
Alexander Road, Ikoyi Property	5,462,000	5,462,000
Okpanam Avenue Opposite Assembly, Asaba Property	857,000	857,000
DDPA Bungalow Area, Asaba Property	185,000	185,000
Off Okpanam Rd, GRA Asaba Property	559,000	559,000
Paradise Estate, Chevron Lekki Property	476,000	476,000
4238 sqm Ikorodu Road, Maryland Property	1,835,132	1,740,000
Ruxton Road Property	6,116,435	-
Bank Road Property	4,051,126	800,000
Bourdillon Road Property	-	-
Hampton Harbour, Freedom Way Property	9,489,018	-
Keffi Street, Off Awolowo Road, Ikoyi, Lagos	625,000	-
Broad Street Property	1,887,573	-
Prince Samuel Adedoyin Street, Ikate Property	2,130,477	-
	28,211,761	2,877,000
	24,832,638	8,802,000

d) Details of the valuer

Investment properties are stated at fair value as at 31 December 2025. The fair value was supplied by market evidence and represents the price that would be received to sell properties in an orderly transaction between willing market participants at the measurement date and determined by the Financial Reporting Council accredited professional valuer named DAN ODIETE & CO.

Property Location	Name of Valuer	FRC Number	Valuer's Address
Property Situate at No. 11, Bank Road, Ikoyi, Lagos State.	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway
Property Situate at No. 13, Bourdillon Road, Ikoyi Lagos State.	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway
40,000 Square Metres Bare-Land, Situate At Hampton Harbour, Freedom Way, Lekki, Lagos State	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway
Ap House Situate at No. 54, Broad Street, Lagos Island, Lagos State	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway
Property Situate at No. 14, Ruxton Road, Ikoyi, Lagos State.	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway
Boardroom apartments situated at Prince Samuel Adedeyi Street, Ikate, Lekki, Lagos State.	DAN ODIETE & CO.	FRC/2013/0000 000/1647	Road 2, Ikota Shopping Complex, Victoria Garden City, Lekki Expressway

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Valuation technique and Observable inputs

The following table shows the valuation technique used in measuring the fair value of Investment property as well as the observable inputs used

Valuation Technique	Significant unobservable inputs	Interrelationship between the key
The fair value of the investment property located at No. 11, Bank Road, Ikoyi, Lagos State was determined by applying the investment basis to derive the open market capital value upon which prospective investor would likely make a bid. The technique reflects the discounted information of the benefits derivable from the property over its useful economic life or the cost of erecting a similar property.	The unobservable input is the price of other similar properties in the area. The market value of the property is 3.25 billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases). —The quality of building increases or (decreases).
The fair value of 40,000 Square Metres Bare-Land, Situate At Hampton Harbour, Freedom Way, Lagos State was determined by applying the direct comparison approach to derive the open market capital value upon which prospective investor would likely make a bid. This method of valuation involves the determination of the current open market value of similar bare sites in the neighborhood, from recent sale transactions in the open market and application of same to the property under consideration, taking into account its special features and developmental potentials.	The unobservable input is the price of other similar properties in the area. The market value of the property is 9.49 billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases). —The quality of building increases or (decreases).
The fair value of the investment property located at No. 54, Broad Street, Lagos Island, Lagos State was determined by applying the investment basis to derive the open market capital value upon which prospective investor would likely make a bid. The technique reflects the discounted information of the benefits derivable from the property over its useful economic life or the cost of erecting a similar property	The unobservable input is the price of other similar properties in the area. The market value of the property is 1.88 billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases). —The quality of building increases or (decreases).
The fair value of the investment property located at No. 14, Ruxton Road, Ikoyi, Lagos State was determined by applying the direct comparison approach to derive the open market capital value upon which prospective investor would likely make a bid. This method of valuation involves the determination of the current open market value of similar bare sites in the neighborhood, from recent sale transactions in the open market and application of same to the property under consideration, taking into account its special features and developmental potentials.	The unobservable input is the price of other similar properties in the area. The market value of the property is 6.87billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases). —The quality of building increases or (decreases).
The fair value of the investment property located at No. 350 Ikorodu road, Maryland, Lagos State was determined by applying the direct comparison approach to derive the open market capital value upon which prospective investor would likely make a bid. This method of valuation involves the determination of the current open market value of similar bare sites in the neighborhood, from recent sale transactions in the open market and application of same to the property under consideration, taking into account its special features and developmental potentials.	The unobservable input is the price of other similar properties in the area. The market value of the property is 1.9billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases). —The quality of building increases or (decreases).
The fair value of the investment property located at Prince Samuel Adedeyi Street, Ikate, Lekki, Lagos State was determined by applying the investment basis to derive the open market capital value upon which prospective investor would likely make a bid. The technique reflects the discounted information of the benefits derivable from the property over its useful economic life or the cost of erecting a similar property	The unobservable input is the price of other similar properties in the area. The market value of the property is 2.20 billion.	The estimated fair value would increase/(decrease) if; —The rate of development in the area increases or (decreases). —Influx of people and business to the area or (decreases).

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21.1 Inventory

	Group		Company	
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
Available-for-sale	14,092,491	10,574,380	-	-
Work-in-progress	2,387,764	1,237,406	-	-
	<u>16,480,255</u>	<u>11,811,786</u>	<u>-</u>	<u>-</u>
At 31 December 2025				
Current	-	-	-	-
Non-current	<u>16,480,255</u>	<u>11,811,786</u>	<u>-</u>	<u>-</u>

Movement in Inventory

	Property N'000	Land N'000	Total N'000
As at 1 January 2025	3,149,335	8,662,451	11,811,786
Addition during the year	4,962,000		4,962,000
Work-in-progress	3,074,161		3,074,161
Properties sold during the year	(2,975,075)		(2,975,075)
Capitalized interest during the year	1,091,977	(1,080,027)	11,950
Reclassification to investment properties	(404,567)		(404,567)
Balance as at 31 December 2025	<u>8,897,831</u>	<u>7,582,424</u>	<u>16,480,255</u>
As at 1 January 2024	2,655,471	8,330,367	10,985,838
Addition during the year	981,780	3,242,433	4,224,213
Properties sold during the year	(1,073,044)	(1,082,991)	(2,156,035)
Reclassification	585,127	-	585,127
Reversal**	-	(1,827,358)	(1,827,358)
Balance as at 31 December 2024	<u>3,149,335</u>	<u>8,662,451</u>	<u>11,811,786</u>

Reversal**

In 2024, the previously recognized Alexander Land Property was cancelled, leading to the derecognition of the asset from the books. The reversal pertains to the cancellation of the transaction, which invalidated the Group's ownership rights over the property.

Inventories are the properties that are ready for sale and properties under construction as at year end.

The Group develops residential properties, which it sells in the ordinary course of business and has entered into contracts to sell certain of these properties on completion of construction.

The Group has concluded that these pre-completion contracts were not, in substance, construction contracts.

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	Group		Company	
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
22 Trade and other receivables				
Financial assets				
Account receivables	46,976,864	28,646,836	35,707,400	10,398,093
Due from related entities	1,593,145	769,896	-	47,764
Deposit for shares (note 22.1c)	25,002,640	10,837,387	7,224,618	10,820,810
Receivable from stockbrokers	10,776,503	5,385,640	10,776,503	-
	84,349,153	45,639,759	53,708,521	21,266,667
Loss allowance on trade and other receivables (note 22.1)	(1,274,713)	(664,990)	(1,756,392)	(465,419)
	83,074,439	44,974,769	51,952,129	20,801,248
Non-financial assets				
Prepayments	2,504,531	1,594,127	976,281	496,161
WHT receivable	3,577,735	4,123,324	256,267	211,484
Other receivables (Note 22.1a)	8,726,135	4,965,380	2,116,840	3,713,404
	97,882,841	55,657,599	55,301,518	25,222,298
Current	72,880,201	39,434,573	48,076,900	14,401,488
Non current	25,002,640	16,223,026	7,224,618	10,820,810
	97,882,841	55,657,599	55,301,518	25,222,298
22.1a	Included in the Other receivable balance is N4.726bn (2024: N4.965bn) advance payment made on behalf of clients for logistics and clearing which are reimbursable and others.			
22.1b	Loss allowance on trade and other receivables			
At 1 January	664,990	309,146	465,419	155,927
Additions/(writeback) of loss allowance	609,723	355,844	1,290,973	309,492
At 31 December	1,274,713	664,990	1,756,392	465,419
22.1c	The Group applies the simplified approach and recognises lifetime ECL for trade and other receivables using a provision matrix. The provision matrix is based on the historical observed default rates, adjusted for forward looking estimates. At each reporting			

The Group made a deposit for shares amounting to N25.1bn as of 31 December 2025 (2024: N10.83bn), representing an advance payment for equity investments in various companies.

The transactions are expected to be completed upon the issuance and allotment of the shares. The deposit is classified as a No impairment has been made at the end of the reporting period.

	Group		Company	
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
23				
Deferred tax				
Deferred tax assets				
Deferred tax asset	688,317	2,088,977	170,305	1,337,417
Deferred tax asset recoverable within 12 months	-	-	-	-
Deferred tax asset recoverable after 12 months	688,317	2,088,977	170,305	1,337,417
	688,317	2,088,977	170,305	1,337,417

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	Group		Company	
	31 December 2025	31 December 2024	31 December 2025	31 December 2024
	₦'000	₦'000	₦'000	₦'000
Movement in deferred tax assets				
At 1 January	2,088,977	2,041,790	1,337,417	1,550,440
Disposal of Subsidiary	(223,159)			
Charge/(release) in the year	(1,177,501)	47,187	(1,167,112)	(213,023)
At 31 December	688,317	2,088,977	170,305	1,337,417
The break down of deferred tax assets are as follows:				
Tax loss	1,897,554	5,758,894	469,497	3,686,992
Unutilised tax credit (capital allowance)	(1,209,236)	(3,669,917)	(299,192)	(2,349,575)
	688,317	2,088,977	170,305	1,337,417
Deferred tax liabilities				
Deferred tax liability	3,496,837	2,915,065	259,223	873,115
Current	-	-	-	-
Non-current	3,496,837	2,915,065	259,223	873,115
	3,496,837	2,915,065	259,223	873,115
Movement in deferred tax liabilities				
At 1 January	2,915,065	1,953,826	873,115	908,594
Charge/(release) in the year	581,772	961,239	(613,892)	(35,480)
At 31 December	3,496,837	2,915,065	259,223	873,115
Deferred tax charge/(credit)				
Deferred Tax Asset	1,177,501	(47,187)	1,167,112	213,023
Deferred Tax Liability	(581,772)	961,239	(613,892)	(35,480)
	595,729	914,052	553,220	177,543

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	Group		Company	
	31 December 2025	31 December 2024	31 December 2025	31 December 2024
	₦'000	₦'000	₦'000	₦'000
24 Funds under management - liabilities				
FUM placements	91,343,871	49,599,852	-	-
Investment securities	-	-	-	-
	91,343,871	49,599,852	-	-
Current	91,343,871	49,599,852	-	-
Non-current	-	-	-	-
	91,343,871	49,599,852	-	-
25 Borrowings				
Borrowings from related parties	6,478,212	2,333,517	34,601,067	29,925,391
Borrowing from banking institutions	48,382,010	6,748,483	45,449,224	2,840,519
Commercial note and private placement investment	68,053,458	112,235,386	43,934,771	51,130,811
Other borrowings	950,432	110,191	950,432	64,728
	123,864,112	121,427,577	124,935,494	83,961,449
Current	20,875,181	9,027,616	19,410,796	7,098,372
Non-current	102,988,931	112,399,961	105,524,698	76,863,077
	123,864,112	121,427,577	124,935,494	83,961,449
Borrowings represents funds obtained from different parties with tenor ranging from one to three years and with an interest				
26 Other liabilities				
Financial liabilities				
Due to related entities	934,576	608,147	-	39,365
Accounts payable	26,264,674	16,795,156	4,922,632	8,563,218
Accrued expenses	3,361,327	2,305,809	852,678	763,566
Non financial liabilities				
Deposit for Shares	50,676,666	-	50,676,666	-
Other payables**	7,638,642	5,498,678	1,069,203	1,530,342
	88,875,886	25,207,790	57,521,179	10,896,491
Current	88,875,886	25,207,790	57,521,179	10,896,491
	88,875,886	25,207,790	57,521,179	10,896,491
**Included in other payables are transaction taxes and other statutory obligations amounting to N4.394bn (2024:N3.17bn) that are outstanding as at the reporting period.				
27 Deposit liabilities				
Current deposits	16,870,590	12,469,580	-	-
Savings deposits	9,369,043	8,825,459	-	-
Term deposits	39,018,203	13,571,245	-	-
Unclaimed deposits	42,057	34,199	-	-
	65,299,893	34,900,483	-	-
Current	65,299,893	34,900,483	-	-
Non current	-	-	-	-
	65,299,893	34,900,483	-	-
28 Current tax liabilities				
Per statement of financial position:				
At 1 January	3,092,376	1,772,426	725,811	538,269
Charge for the year (Note 10)	3,863,938	1,642,716	246,735	164,508
Reclassification(on disposal of subsidiary)	(408,019)	-	-	-
WHT credit note utilisation	(1,705,440)	(66,253)	(140,856)	(51,512)
Tax paid	(1,538,413)	(256,513)	(55,757)	(6,899)
At 31 December	3,304,443	3,092,376	775,933	725,811

The charge for income tax in these financial statements is based on the provisions of the Companies Income Tax Act 2004 as amended, while Education Tax is based on Tertiary Education Trust Fund (Establishment, etc.) Act, 2011.

Income tax liability is to be settled within one year.

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29 Share capital

Ordinary shareholding

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to vote at meetings of the Company. All ordinary shares rank pari-passu with the same rights and benefits at meetings of the Company.

	Group		Company	
	31 December	31 December	31 December	31 December
	2025	2024	2025	2024
	₦'000	₦'000	₦'000	₦'000
The share capital comprises:				
(i) Authorised capital (iii)				
7,601,094,600 shares of 50k each	3,800,547	633,425	3,800,547	633,425
(ii) Issued and fully paid -shares of 50k each				
At 1 January	633,425	95,014	633,425	95,014
Rights issue	-	31,671	-	31,671
Bonus issue	3,167,123	506,740	3,167,123	506,740
	3,800,548	633,425	3,800,548	633,425

iii) **Authorised Share Capital**

During the year, the Company increased its authorised and issued share capital by ₦3.16 bn through the creation of 6,334,245 ordinary shares of 50 kobo each. The increase was approved by the shareholders at the Annual General meeting on the 8th May 2025.
As a result, the Company's authorised share capital increased to ₦3.8 bn as at the reporting date.

30 Share premium

Share premium is the excess paid by shareholders over the nominal value for their shares.

At 1 January	19,216,943	7,880,427	19,216,943	7,880,427
Rights issue	-	11,843,256	-	11,843,256
Bonus issue	(3,167,123)	(506,740)	(3,167,123)	(506,740)
Share issue expenses/Transaction Cost	(443,614)		(443,614)	
At 31 December	15,606,206	19,216,943	15,606,206	19,216,943

31 Retained earnings

Retained earnings represent undistributed profits, net of statutory appropriations attributable to the ordinary shareholders.

At 1 January	10,738,014	4,964,373	4,090,443	1,906,936
Opening balance adjustment	-	(138,660)	-	-
Restated opening balance as at 1 January	10,738,014	4,825,713	4,090,443	1,906,936
Transfer from profit or loss account	7,246,275	6,264,938	3,246,195	2,183,506
Transfer to regulatory risk reserve	-	(169,339)	-	-
Transfer to statutory reserve	132,368	(183,296)	-	-
Disposal of Subsidiaries	(2,391,774)			
Share of newly consolidated subsidiary	-	-	-	-
Transfer from reserves	4,147,917	-	4,147,917	-
Dividend paid during the year	(3,167,123)	-	(3,167,123)	-
At 31 December	16,705,676	10,738,014	8,317,433	4,090,443

32 Regulatory risk reserve

The regulatory risk reserve represents the cumulative difference between the loan loss provision determined per the Prudential Guidelines of the Central Bank of Nigeria and the Central Bank of other subsidiaries vis-a-viz the allowance/reserve for loan losses as determined in line with the principles of IFRS 9

At 1 January	185,424	16,085	-	-
Opening balance adjustment	-	-	-	-
Transfer from reserve		169,339	-	-
At 31 December	185,424	185,424	-	-

33 Statutory reserves

This represents the cumulative amount set aside from general reserves/retained earnings by the subsidiaries in line with the requirement of the various central banks. Nigerian banking regulations require the Microfinance Bank, one of the subsidiaries of the Group, to make an annual appropriation to a statutory reserve. Transfer to statutory reserve is made at the rate of 50% of the profit after tax in line with the requirements of the Regulatory and Supervisory framework for Microfinance Banks in Nigeria issued by the Central Bank of Nigeria.

The Other Non-Nigerian subsidiary, Cedi Capital Microfinance Bank Ltd, also makes appropriation which is based on its profit and in line with the requirement of the Bank of Ghana. This amount is non-distributable.

At 1 January	392,698	209,402	-	-
Transfer to retained earnings	(132,368)	-	-	-
Transfer from reserve		183,296	-	-
At 31 December	260,330	392,698	-	-

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34 Other reserves

This warehouses the fair value movement on equity and debt instruments that are carried at fair value through other comprehensive income, exchange differences resulting from the translation to Naira of the results and financial position of Group companies that have a functional currency other than Naira, and merger balances arising from the merger and disposal of some entities within the Group.

	Group		Company	
	31 December 2025	31 December 2024	31 December 2025	31 December 2024
	₦'000	₦'000	₦'000	₦'000
At 1 January	10,938,893	7,434,061	8,192,534	7,754,480
Impact of adopting IAS 29 as at 1 of January			-	-
Restated opening balance as at 1 January	10,938,893	7,434,061	8,192,534	7,754,480
Arising during the year:				
Fair valuation of items that will be subsequently reclassified to profit or loss	130,465		-	-
Fair valuation of items that will not be subsequently reclassified to profit or loss	6,392,798	1,075,111	9,056,066	1,408,875
Transfer to retained earnings**	(4,147,917)	-	(4,147,917)	(970,821)
Translation reserve***	313,390	2,429,720		-
At 31 December	13,627,630	10,938,893	13,100,682	8,192,534

**Merger reserve arose from merger and disposal of some entities within the Group

***Translation reserve comprises all foreign currency differences arising from the translation of the financial statements of the Group's operations in Ghana into the presentation currency.

34.1 Fair valuation of items that will not be subsequently reclassified to profit or loss

Net fair value (gain) on investments in quoted equity instruments measured at FVTOCI
Transfer of gain from OCI to retained earnings on disposal of FVOCI Instruments

8,571,589	858,476	9,056,066	967,637
-	-	-	-
8,571,589	858,476	9,056,066	967,637

34.2 Fair valuation on items that may be subsequently reclassified to profit or loss

Net fair value gain(loss) on investments in debt instruments measured at FVTOCI
Net fair value gain/(loss) on investments in other financial instruments measured at FVTOCI

-	-	-	-
174,930	-	-	11,023
174,930	-	-	11,023

35 Non controlling interest

At 1 January

16,420,829 11,931,208

Arising during the year:

Profit for the year

2,469,672 2,428,105

Fair valuation of items that will not be subsequently reclassified to profit or loss

2,223,256 634,539

Translation reserve

106,810 1,426,978

Adjustment (Note 35.1)

(1,785,268)

19,435,299 16,420,829 - -

35 The adjustment relates to the elimination of Atiat Limited non controlling interest arising as a result of divestment from the entity by the Group during the period.

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36 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise influence over the other party in making financial and operational decisions, or one other party controls both. The definition includes subsidiaries, associates, joint ventures as well as key management personnel.

36.1 Identity of related parties

Company	Relationship	Place of Incorporation	Primary Business Operation
VFD Group Plc	Ultimate Parent Company	Nigeria	Investment company
VFD Microfinance Bank Limited	Subsidiary of VFD Group	Nigeria	Microfinance banking services
Template Limited	Subsidiary of VFD Group	Nigeria	Provider of lending services
Anchoria Asset Management Limited	Subsidiary of VFD Group	Nigeria	Investment and fund management
Anchoria Advisory Services Limited	Subsidiary of VFD Group	Nigeria	Issuing house and investment adviser
Anchoria Securities Limited	Subsidiary of VFD Group	Nigeria	Stock brokerage services
Herel Limited	Subsidiary of VFD Group	Nigeria	Real estate & hospitality
VFD Tech Limited	Subsidiary of VFD Group	Nigeria	IT infrastructure and development
VFD Ghana Limited	Subsidiary of VFD Group	Ghana	Investment company
Movis Logistics Limited	Subsidiary of VFD Ghana	Ghana	Logistics and haulage company
Cedi Capital Microfinance Bank Ltd	Subsidiary of VFD Ghana	Ghana	Microfinance banking services
Rockshield Assets Management Limited	Associate of VFD Group	Nigeria	Physical security company
Movis Nigeria Limited	Associate of VFD Group	Nigeria	Logistics and haulage company
Product Studio Limited	Associate of VFD Group	Nigeria	Digital product development
O'Spaces Nigeria Limited	Associate of Herel Limited	Nigeria	Building
HSE Gourmet Limited	Associate of Herel Limited	Nigeria	Comfort-
EBAR Metro	Associate of Herel Limited/VFD Group	Nigeria	
Oson Capital Ltd	Common significant shareholder/Nonso (	Nigeria	Portfolio Management
Premiumgreen Ltd	Common significant shareholder/Nonso (	Nigeria	Investment Management Company

36.2 Key management personnel

Key management personnel constitute those individuals who have the authority and the responsibility for planning, directing and controlling the activities of VFD Group Plc, directly or indirectly, including any director (whether executive or non-executive). The individuals who comprise the key management personnel are the Board of Directors as well as executive directors and their close family members.

	Group		Company	
	31 December 2025 N'000	31 December 2024 N'000	31 December 2025 N'000	31 December 2024 N'000
36.3 Other information on Directors remuneration				
Emoluments:				
Chairman	15,000	12,500	10,000	7,000
Highest paid director	15,000	12,500	10,000	7,000
Other Directors	773,269	500,851	131,239	122,195
	803,269	525,851	151,239	136,195
Fees	227,975	127,975	68,000	46,125
Sitting allowance	184,037	122,691	16,000	40,070
Other emoluments	391,257	275,185	67,239	50,000
	803,269	525,851	151,239	136,195
The total number of Directors were:	95	96	14	15
36.4 The number of persons employed (excluding directors) in the company during the year was as follows:	743	728	45	40

36.5 Transactions and balances with related companies

The following transactions and balances arising from dealings with subsidiaries, subsidiaries and associate companies of VFD Group Plc during the year

	31 December 2025 N'000	31 December 2024 N'000
Cash and cash equivalents		
VFD Microfinance Bank Limited	102,214	12,251
Placements		
Herel Limited	2,051,678	1,448,422
Anchoria Advisory Services Limited (formerly Kairos Capital Limited)	15,574	-
Other receivables		
VFD Ghana	472,288	
Herel Limited	685,708	
VFD Tech Limited	47,764	
Anchoria Advisory Services Limited (formerly Kairos Capital Limited)	36,379	26,173

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	31 December 2025 N'000	31 December 2024 N'000
Borrowings		
Anchoria Asset Management Limited	33,599,927	23,999,948
Herel Limited	24,357	1,065,405
Template	3,257,452	4,322,373
VFD Tech Limited	644,093	501,753
Interest income		
Anchoria Asset Management Limited	-	1,414
VFD Microfinance Bank Limited	-	1,033
Herel Limited	426,276	1,037,935
Anchoria Advisory Services Limited (formerly Kairos Capital Ltd)	2,957	2,666
Template	87,987	2,930
Interest expense		
Herel Limited	78,965	427,150
Anchoria Asset Management Limited	2,949,979	2,307,381
VFD Tech Limited	142,340	45,098
VFD Microfinance Bank Limited	105,467	281,924
Template Limited	977,236	293,919
Dividend income		
Herel Limited	685,707	39,165
Anchoria Advisory Services Limited	68,669	17,037
VFD Ghana	472,287	490,277
Anchoria Securities Limited	58,320	11,880
Anchoria Assets Management Limited	325,191	154,410
Template Limited	15,562	-
Events after reporting period		
37	There was no event after the reporting period that should be included in the unaudited consolidated and separate financial statements.	
	Non audit services	
38	The Group paid the external auditors' professional fees of N1m for the provision of non audit services in relation to the deposit liabilities	
	Contraventions	
39	We are not aware of any contravention during the reporting period under review.	
	Comparatives	
40	Certain disclosures and some prior year figures have been re-presented to conform with current year presentation	

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
For the year ended 31 December 2025

41 Segment reporting

Segment information is presented in respect of the Group's geographic segments which represents the primary segment reporting format and is based on the Group's management and reporting structure. The Board of Directors, reviews the Group's performance along this line and resources are allocated accordingly.

The Group CEO is considered the Chief Operating Decision Maker (CODM). Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities within the group. Inter-segment pricing is determined at arm's length basis.

41.1 Geographical segments

The Group operates in the following geographical regions:

- Nigeria
- Ghana

Below is presented the Group's revenue and results from continuing operations by reportable segment

	Nigeria N'000	Ghana N'000	Total N'000
31 December 2025			
Investment and similar income	58,576,817	9,790,720	68,367,537
Investment and similar expense	(6,846,460)	(3,557,314)	(10,403,774)
Net investment income	51,730,357	6,233,406	57,963,763
Other income	5,967,617	460,412	6,428,029
Impairment/(writeback) on financial assets	(1,909,254)	(490,210)	(2,399,464)
*Net gain from financial assets at FVTPL	10,692,526	-	10,692,526
Net revenue	66,481,246	6,203,608	72,684,854
Personnel expenses	(5,061,947)	(1,461,416)	(6,523,363)
Other operating expenses	(11,848,786)	(2,072,170)	(13,920,956)
Depreciation and amortisation	(1,342,884)	(1,386,239)	(2,729,123)
Total expenses	(18,253,617)	(4,919,825)	(23,173,442)
Finance Cost	(36,817,583)	(1,386,239)	(38,203,822)
Profit before income tax	11,410,046	(102,456)	11,307,590
Share of profit from associate	132,150	-	132,150
Profit before income tax	11,542,196	(102,456)	11,439,740
Taxation	(4,232,447)	(227,220)	(4,459,667)
Profit for the year	7,309,749	(329,676)	6,980,073
Total assets	421,815,527	23,990,629	445,806,156
Total liabilities	364,829,280	11,355,763	376,185,043

	Nigeria N'000	Ghana N'000	Total N'000
31 December 2024			
Investment and similar income	62,553,766	12,012,437	74,566,203
Investment and similar expense	(9,930,071)	(5,653,292)	(15,583,363)
Net investment income/(loss)	52,623,695	6,359,145	58,982,840
Other income	7,708,243	1,555,800	9,264,043
Bargain purchase	634,613	533,642	1,168,255
(Impairment)/write-back of financial assets	-	-	-
Net gains on financial assets at fair valued through profit or loss	3,898,893	-	3,898,893
Net revenue	64,865,444	8,448,587	73,314,031
Personnel expenses	(4,009,720)	(1,299,221)	(5,308,941)
Other operating expenses	(11,971,059)	(2,097,447)	(14,068,506)
Depreciation and amortisation	(1,522,566)	(1,274,188)	(2,796,754)
Total expenses	(17,503,345)	(4,670,856)	(22,174,201)
Finance Cost	-	-	-
Operating (loss)/profit before income tax	46,092,873	2,710,446	48,803,319
Share of profit from associate	(24,789,337)	(10,624,002)	(35,413,339)
Share of profit from associate	34,387	-	34,387
(Loss)/profit before income tax	21,337,923	(7,913,556)	13,424,367
Taxation	(2,177,731)	(379,036)	(2,556,767)
(Loss)/profit for the year	19,160,192	(8,292,592)	10,867,600
Total assets	270,558,357	25,111,011	295,669,368
Total liabilities	224,015,363	13,127,780	237,143,143

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
For the year ended 31 December 2025

41.1 Operating segments

The Group applies IFRS 8 – Operating Segments in reporting its financial performance based on segments monitored by the Chief Operating Decision Maker (CODM) which is the Group Chief Executive Officer. The segments are structured based on the nature of operations and revenue sources.

The primary operating segments of the Group are:

- Segment A: (e.g. Investment business) VFD Group Plc and VFD Ghana Limited
- Segment B: (e.g. Banking, lending, leasing, and insurance business) VFD Microfinance Bank Limited , Cedi Capital Microfinance Bank Limited, Atiat Insurance Broker Limited and Template Limited
- Segment C: (e.g. Capital market business) Anchoria Assets Management Limited, Anchoria Securities Limited and Anchoria Advisory Service Limited
- Segment D: (e.g. Real estate & hospitality business) Herel Limited and Xenia Lifestyle Limited
- Segment E: (e.g. Logistics and haulage business) Movis Logistics Limited Ghana
- Segment F: (e.g. IT infrastructure and development business) VFD Tech Limited

Each segment's performance is evaluated using key financial indicators, including revenue, profit before tax (PBT), and total assets.

Segment Performance for the year ended 31 December 2025 is as follows:

	Segment A N'000	Segment B N'000	Segment C N'000	Segment D N'000	Segment E N'000	Segment F N'000	Total N'000
31 December 2025							
Revenue	40,328,959	15,974,714	8,176,147	11,971,893	9,110,805	2,793,597	88,356,116
Operating Expenses	(39,160,170)	(13,619,855)	(4,925,908)	(6,160,359)	(8,819,740)	(1,494,470)	(74,180,502)
Segment Profit Before Tax (PBT)	1,168,790	2,354,859	3,250,239	5,811,534	291,065	1,299,127	14,175,614

Segment Assets and Liabilities as at 31 December 2025

Total assets	111,482,797	84,505,736	158,399,438	69,725,731	18,574,283	3,118,171	445,806,156
Total liabilities	110,091,543	73,976,371	151,496,834	28,810,736	10,085,998	1,723,561	376,185,043

	Segment A N'000	Segment B N'000	Segment C N'000	Segment D N'000	Segment E N'000	Segment F N'000	Total N'000
31 December 2024							
Revenue	27,682,092	15,487,155	4,262,223	17,862,470	11,924,671	818,844	78,037,455
Operating Expenses	(27,061,297)	(13,135,935)	(2,656,935)	(14,814,984)	(9,538,988)	(812,859)	(68,020,997)
Segment Profit Before Tax (PBT)	620,797	2,351,221	1,605,288	3,047,486	2,385,683	5,985	10,016,458

Segment Assets and Liabilities as at 31 December 2024

Total assets	63,706,669	79,186,998	82,879,230	49,120,355	19,305,770	1,470,345	295,669,368
Total liabilities	58,155,263	68,882,748	78,523,142	17,860,422	12,360,618	1,360,950	237,143,143

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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42 Restatement of comparative financial information

Prior period corresponding balances

VFD Group disposed of its holdings in Atiat limited by selling off its entire stakes in the entity. The disposal was approved by the board on the 4th February, 2025. Below is a representation of the Financials from the subsidiary for the reporting year ended 31 December 2024.

The proposed disposal necessitated the reporting of the subsidiary as a discontinued operation and subsequent restatement of the prior year numbers as required by IFRS 5 - Non-current Assets Held for Sale and Discontinued Operations.

Statement of financial position (extract)	Discontinued Operation Atiat Limited
31 December 2024	
Cash and cash equivalents	1,681,288
Investment in financial assets	30,528,958
Investment in Subsidiaries	74,615
Property, plant and equipment	1,047,852
Goodwill	4,154,627
Other receivables	1,645,728
Operating Lease	2,034,409
TOTAL ASSETS	<u>41,167,477</u>
 Borrowings	 31,979,109
Other liabilities	608,249
Current tax liabilities	521,161
Deferred tax liabilities	237,432
TOTAL LIABILITIES	<u>33,345,951</u>
Net Asset of discontinued Group	<u>7,821,526</u>

During the year, the Atiat Limited business was sold and the net asset of the business disposed from the books. Please see below the computation showing the disposal of the net asset

In Thousands of Naira	Group
Consideration Paid:	
Cash received	7,214,480
Net Asset of disposed subsidiaries	<u>(4,478,606)</u>
Gain of disposed subsidiaries	<u>2,735,874</u>
 Consideration Paid:	 Company
Cash received	7,214,480
Cost of Investment	<u>(4,344,753)</u>
Gain of disposed subsidiaries	<u>2,869,727</u>

Statement of profit or loss and other comprehensive income (extract)	Reported Group	Discontinued Operations	Restated Group
31 December 2024			
Investment and similar income	74,566,204	(9,264,272)	65,301,932
Investment and similar expense	(16,661,802)	3,992,422	(12,669,380)
Net investment income	57,904,402	(5,271,850)	52,632,552
Other income	9,264,042	(461,799)	8,802,243
Net gains on financial assets at fair valued through profit or loss	3,898,893	-	3,898,893
Net revenue	71,067,338	(5,733,649)	65,333,689
(Impairment)/write-back of financial assets	(1,168,255)	623,749	(544,506)
Personnel expenses	(5,308,942)	491,683	(4,817,259)
Other operating expenses	(12,990,067)	563,273	(12,426,794)
Depreciation and amortisation	(2,796,754)	647,037	(2,149,717)
Operating profit before income tax	48,803,320	(3,407,907)	45,395,413
Share of profit from associate	34,387	-	34,387
Finance Cost	(37,587,896)	2,174,557	(35,413,339)
Profit before Tax	11,249,811	(1,233,350)	10,016,461
Income Tax	(2,556,767)	286,471	(2,270,296)
Profit for the year from continuing operations	8,693,044	(946,881)	7,746,163
Profit from discontinued operations	-	946,881	946,881
Profit for the year	<u>8,693,044</u>	<u>-</u>	<u>8,693,044</u>

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
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Group

Statement of financial position (extract)	As previously reported	Discontinued Operations	Restated
31 December 2024			
Cash and cash equivalents	13,345,756	(1,681,288)	11,664,468
Funds under management	49,381,873		49,381,873
Investment in financial assets	50,990,113	(30,528,958)	20,461,155
Loans and advances	62,300,053		62,300,053
Investment in associates	6,735,675		6,735,675
Property, plant and equipment	12,649,469	(1,047,852)	11,601,617
Goodwill	5,533,579	(4,154,627)	1,378,952
Intangible assets	341,854		341,854
Other receivables	55,657,599	(3,680,137)	51,977,462
Investment property	24,832,638		24,832,638
Inventory	11,811,787		11,811,787
Deferred tax assets	2,088,977		2,088,977
Funds under management	49,599,852		49,599,852
Borrowings	121,427,577	(31,979,109)	89,448,468
Other liabilities	25,207,790	(608,249)	24,599,541
Deposit liabilities	34,900,483		34,900,483
Current tax liabilities	3,092,376	(521,161)	2,571,215
Deferred tax liabilities	2,915,065	(237,432)	2,677,633
Retained earnings	10,738,014	(1,508,688)	9,229,326
Other reserves	10,938,893	(468,320)	10,470,573

Other National Disclosures

STATEMENT OF VALUE ADDED

31 December 2025

	Group				Company			
	2025		2024		2025		2024	
	₦'000	%	₦'000	%	₦'000	%	₦'000	%
Gross earnings	88,356,116		78,037,455		34,351,919		28,476,868	
Investment expense and finance cost	(48,607,596)		(48,082,719)		(23,383,475)		(21,696,888)	
	39,748,520		29,954,736		10,968,444		6,779,980	
Impairment loss on financial and non-financial instruments	(2,399,464)		(544,506)		(1,121,216)		780,852	
	37,349,056		29,410,230		9,847,228		7,560,832	
Bought in materials and services-local	(11,848,786)		(10,329,349)		(4,572,539)		(4,015,280)	
	(2,072,170)		(2,097,447)		-		-	
Bought in materials and services-foreign								
VALUE ADDED	23,428,100	100%	16,983,434	100%	5,274,689	100%	3,545,552	100%
Applied as follows:								
To pay employees:								
Salaries and other benefits	6,523,363	28%	4,817,259	28%	900,301	17%	739,088	21%
To pay government:								
Taxes	3,863,938	16%	1,356,245	8%	246,735	5%	213,499	6%
Retained for future replacement of								
- Deferred tax	595,729	3%	914,051	5%	553,222	10%	177,544	5%
- Depreciation and amortisation	2,729,123	12%	2,149,717	13%	328,237	6%	231,917	7%
- Profit for the year	9,715,947	41%	7,746,162	46%	3,246,195	62%	2,183,505	62%
	23,428,100	100%	16,983,434	100%	5,274,689	100%	3,545,552	100%

Value added represents the additional wealth which the Group has been able to create on its own and employees' efforts. The statement shows the allocation of that wealth between the employees, government and that retained by the Group for the future creation of more wealth.

FINANCIAL SUMMARY
as at 31 December 2025

Group	2025	2024	2023	Restated	Restated
	2025	2024	2023	2022	2021
	₦'000	₦'000	₦'000	₦'000	₦'000
ASSETS					
Cash and cash equivalents	79,474,436	13,345,755	8,373,710	2,979,874	3,897,405
Funds under management	77,352,590	49,381,873	62,018,613	26,981,985	15,170,585
Investment in financial assets	98,700,281	50,990,113	52,035,503	30,189,372	48,929,742
Loans and advances	26,254,558	62,300,053	19,533,384	21,734,456	956
Investment in associates	7,705,062	6,735,675	5,080,036	4,927,371	4,095,920
Property, plant and equipment	11,483,522	12,649,468	14,691,086	3,193,050	1,082,264
Goodwill	1,378,903	5,533,579	5,533,579	5,854,418	198,552
Intangible assets	193,629	341,853	379,512	263,783	615,442
Investment property	28,211,761	24,832,638	17,182,776	23,777,147	4,571,669
Inventory	16,480,255	11,811,786	10,985,838	5,241,495	-
Other receivables	97,882,841	55,657,599	21,421,300	25,156,043	24,144,385
Deferred tax assets	688,317	2,088,977	2,041,790	1,221,525	53,340
TOTAL ASSETS	445,806,155	295,669,368	219,277,127	151,520,520	102,760,259
LIABILITIES					
Funds under management	91,343,871	49,599,852	61,788,494	36,194,439	26,062,482
Borrowings	123,864,112	121,427,577	81,599,925	56,727,711	28,594,111
Other liabilities	88,875,886	25,207,790	12,632,224	7,118,184	15,817,378
Deposit liabilities	65,299,893	34,900,483	26,999,662	15,540,903	15,254,565
Current tax liabilities	3,304,443	3,092,376	1,772,426	1,625,947	903,861
Deferred tax liabilities	3,496,837	2,915,065	1,953,826	1,713,351	44,765
TOTAL LIABILITIES	376,185,043	237,143,142	186,746,557	118,920,535	86,677,162
EQUITY					
Share capital	3,800,548	633,425	95,014	95,014	63,342
Share premium	15,606,206	19,216,943	7,880,427	7,880,427	7,912,098
Retained earnings	16,705,676	10,738,014	4,964,373	11,007,551	5,732,971
Regulatory risk reserve	185,424	185,424	16,085	867	3,482
Statutory reserves	260,330	392,698	209,402	139,144	137,235
Other reserves	13,627,630	10,938,893	7,434,061	6,689,647	846,359
SHAREHOLDER'S FUND	50,185,814	42,105,397	20,599,362	25,812,650	14,695,487
Non-controlling Interest	19,435,299	16,420,829	11,931,208	6,787,335	1,387,610
TOTAL LIABILITIES AND EQUITY	445,806,155	295,669,368	219,277,127	151,520,520	102,760,259

FINANCIAL SUMMARY
as at 31 December 2025

Company	2025	2024	2023	Restated	Restated
	₦'000	₦'000	₦'000	2022	2021
				₦'000	₦'000
ASSETS					
Cash and cash equivalents	52,769,977	1,224,998	756,157	232,540	2,306,643
Investment in financial assets	66,367,741	54,996,205	53,886,066	26,648,477	26,954,249
Investments in subsidiaries	39,185,259	30,555,337	22,631,987	21,008,849	4,391,264
Investment in associates	6,646,704	5,856,295	4,447,982	4,328,443	4,095,921
Property, plant and equipment	977,562	574,183	590,540	261,759	340,367
Intangible assets	20,630	21,476	22,382	16,019	89,708
Investment property	2,877,000	8,802,000	600,000	1,880,855	2,389,201
Other receivables	55,301,518	25,222,298	6,766,002	20,669,557	21,300,524
Deferred tax assets	170,305	1,337,417	1,550,440	309,525	95,944
TOTAL ASSETS	224,316,696	128,590,210	91,251,556	75,356,025	61,963,822
LIABILITIES					
Borrowings	124,935,494	83,961,449	67,047,548	48,019,160	33,536,150
Other liabilities	57,521,179	10,896,491	6,058,655	4,148,761	13,619,041
Current tax liabilities	775,933	725,811	570,723	673,863	438,889
Deferred tax liabilities	259,223	873,115	908,594	872,430	238,559
TOTAL LIABILITIES	183,491,828	96,456,866	74,585,520	53,714,214	47,832,639
EQUITY					
Share capital	3,800,548	633,425	95,014	95,014	63,342
Share premium	15,606,206	19,216,943	7,880,427	7,880,427	7,912,098
Retained earnings	8,317,433	4,090,443	936,115	6,269,983	5,391,221
Other reserves	13,100,682	8,192,534	7,754,480	7,396,388	764,522
SHAREHOLDERS' FUND	40,824,869	32,133,344	16,666,036	21,641,811	14,131,183
TOTAL LIABILITIES AND EQUITY	224,316,696	128,590,210	91,251,556	75,356,025	61,963,822